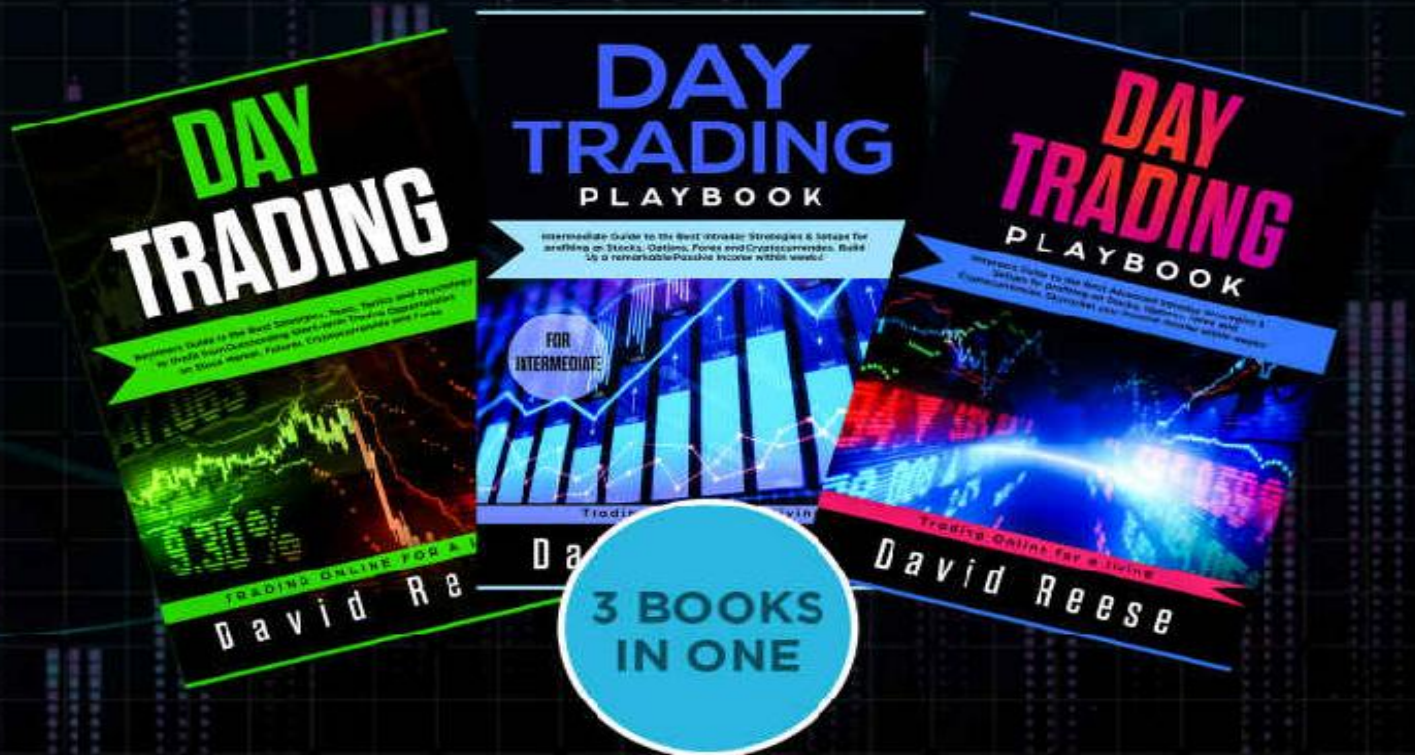


THE DAY TRADING BIBLE

FORM ROOKIE TO VETERAN WITHIN 4 WEEKS!

BEST INTRADAY STRATEGIES & SETUPS TO PROFIT FROM
OUTSTANDING SHORT-TERM TRADING OPPORTUNITIES
ON OPTIONS, STOCKS, FOREX AND CRYPTO



D a v i d R e e s e

The Day Trading Bible: Form Rookie to Veteran within 4 Weeks!

Best Intraday Strategies & Setups to profit from Outstanding Short-term Trading Opportunities on Options, Stocks, Forex and Crypto

By

David Reese

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Day Trading

*Beginners Guide to the Best Strategies, Tools, Tactics and Psychology to
Profit from Outstanding Short-term Trading Opportunities on Stock Market,
Futures, Cryptocurrencies and Forex*

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Introduction

Congratulations on downloading *Day Trading* and thank you for doing so.

The following chapters will discuss everything that you need to know to get started with day trading. Day trading is a great method that many traders may be hesitant about joining but as a beginner, it is a great way for you to enter the market and make a lot of money in a short amount of time. With day trading, you purchase a stock, hopefully at a low price, and then sell it during the same day at a higher price. If you can do this many times during the day, you can start to earn quite a bit of profit in the stock market.

This guidebook is going to take some time to explore day trading and how to get started with this process. It may seem intimidating in the beginning but we will go over some of the best strategies that you can use to really make it work for you. In addition to some of the top strategies for day trading, we will also look through the basics of day trading, how to pick out a good brokerage account, how to limit your risks a bit, and so much more.

Whether you have spent some time investing in the stock market or you are a beginner at all kinds of investing, this guidebook is the right choice for you. Make sure to take a look and learn all the tips and tricks and best strategies to make day trading work for you.

There are plenty of books on this subject on the market, so thanks again for choosing this one! Every effort was made to ensure it is full of as much useful information as possible. Please enjoy!

Chapter 1: What Is Day Trading

There are many different options when it comes to entering the stock market. Some are long-term investments where you make an income each quarter on the stocks you purchase. Others, like day trading, will be short-term with the whole trade occurring in one day.

Day trading is the buying and selling of securities in one single trading day. This can occur in any type of marketplace that you choose but it is most common in the stock market and in the forex market. Typically, to do well as a day trader, you need to have some knowledge about your chosen market and you need to have money. A day trader is going to utilize high amounts of leverage with some short-term trading strategies in order to capitalize on the small price movements that happen in a very liquid stock.

Day trading is very fast paced. You will purchase a stock, bond, option or other security at some point during the day. Then, sometime during the same day, you will sell the security. If you watched the market properly and the trade goes well, you will make a profit from that sale. If you made a mistake with your calculations, you will lose money.

You do not want to let your trade go on to the next day. This requires a different type of strategy than you will use with day trading. Mixing strategies during the same trade just to avoid a loss will actually make things worse. It is better to cut your losses with that trade and move on, closing out the trade before the end of the day.

With day trading, you are not going to make a ton of money off each trade. In fact, if you make a few dollars with each trade, you are doing a good job. The point here is to do a lot of little trades, taking advantage of the temporary ups and downs of the market. A lot of little profits can add up to a good payday when the process is done.

The potential profit that you can make from day traded is often misunderstood on Wall Street. There are many internet scams that like to take on this confusion and capitalize on it making a ton of money by

promising large returns in a short period of time. On the other side, the media continues to promote this trading method as a get rich quick scheme.

To determine whether you will be successful depends on a few important factors. Mainly, if you jump into the day trading game without enough knowledge about the market and how this trading method works, you will probably fail. But there are many day traders who are able to make a successful living from day trading. These individuals know about the market, have a good strategy in place, and can work with the market, despite the risks.

Day trading can be difficult. There are many professional financial advisors and money managers who worry about the risk of day trading and will shy away from it. They worry that in many cases, the reward is not going to justify all the risk that you take with day trading. It is possible to make a profit in this method but you have to really know the market and you must have the time to fully watch the market at all times while completing your trade. Even those who do well in day trading will admit that the success rate with this method is often lower than the other methods of stock market trading.

Common Characteristics of a Day Trader

Professional day traders are those who do this type of trading for a living. While other forms of trading can sometimes be done as a hobby or a gambling high, day trading is often not included here. Day traders are typically well-established in the field and they have spent quite a bit of time working in the stock market. This makes them equipped to recognize changes in the market and to learn the trends of various industries, helping them to pick out the right trades to make money with day trading. Some of the prerequisites to day trading include:

- Experience and some knowledge about the marketplace.

If you don't have a good understanding of the market and its fundamentals, you will most likely lose money.

- Enough money to start.

You need to have some savings or other money that you can put towards day trading. Make sure this is money that you can afford to lose. This helps to keep some emotions out of the trade and can help you make smarter choices with your trades. Often, you will need a large amount of capital is needed to capitalize effectively in this type of trading.

- A good strategy.

A trader needs to have a way to beat out the rest of the market. There are many strategies (some of which we will talk about later) that can help you with day trading. Each of them can be effective; you just need to pick the one you feel comfortable with.

- Discipline.

All day traders need to have some discipline. If you aren't able to stick with your chosen strategy, then you will lose money. Success is virtually impossible without some discipline.

Using Day Trading to Make a Living

There are two divisions when it comes to professional day traders. The first one is those who work alone. The second is those who work for a larger company. Most traders who do this kind of trading for a living will work for a large company. This is helpful because these individuals will have access to a lot of tools that an individual trader only dreams about. These can include some expensive analytical software, a lot of leverage and capital to start, and a direct line to the trading desk. These types of traders are looking for profits that are easy and ones that can be made looking at news events and arbitrage opportunities.

This doesn't mean that an individual trader isn't able to do day trading on their own. They may not have a trading desk of their own but they may have some strong ties to a brokerage and some other resources. If you are an individual trader, you won't be able to compete with some of the larger companies, but there is still a niche market that you can join.

If you wish to use day trading as a method to make a living, then there are a few things that are required to make this happen. These include:

- Some sort of access to a trading desk.

This tool is often reserved for those traders who work for a larger company or those who will manage a lot of money. The dealing desk provides these traders with the ability to do trades instantaneously which is very important to the success of day trading. If you don't work for a large financial organization, you may need to discuss with your broker what options are available for you here.

- Several news sources.

The news is going to provide you with the information you need to pick the best trades in day trading. You need to be one of the first to know when something big is about to happen. Then, you can jump in the market in the beginning and get a good price. Once everyone else catches onto the news,

you can sell your security and make a profit. Having at least three or four news sources that you look through each day can help you figure out the right trades to make.

- Analytical software.

When it comes to day trading, analytical software is going to be so critical. It may be a bit expensive when you get started but it is a necessity for most day traders. For those who are working on swing trades or technical indicators, you will rely more on this software than the news. Some of the features that you will want to find in your software include:

- Pattern recognition that is automatic.

This means that when you work with the trading program, you want it to identify technical indicators such as channels and flags. You may even want some complex indicators such as the Elliot Wave patterns.

- Neural and genetic applications.

These are programs that will utilize genetic and neural networks to help make your trading systems better. They are good at making more accurate predictions when you are trying to figure out where the price is going to move in the future.

- Broker integration.

Some software applications are going to make it possible to interface directly with the brokerage. This makes it easier for an individual trader to do an automatic execution of trades. Not only does this help you to get into and out of the markets at the right time, but it can also take some of the emotions out of the game.

- Backtesting.

Backtesting can be useful because it allows a trader to practice a bit. You will take your strategy and test out how it would have worked if you used it

in the past. This is not always completely accurate, especially if the market turns a different way. But in some cases, it can give you an idea of how your current strategy will work in the market by basing the information on historical data.

When these tools are combined, they can provide a trader with a big edge over others in the marketplace. And when it comes to working with day trading, they are really important. Without them, many traders without the right experience can lose money in the market.

How Is Day Trading Different Than Swing Trading and from Long-Term Investing

If you have ever researched other forms of investing or have done any other forms, then you will find that day trading can be a little bit different than the others. There are a lot of different types of investing that you can do and understanding how they are all different can make a difference in how you approach this kind of trading.

First, there is day trading. Day trading is when you get into the market at some point during the day. It can be any time that you want but most people choose to enter after the first five minutes are done to avoid any issues with the volatility in the market. Then, at some point during the day, you will exit the market. This can happen a few minutes after you do the initial trade, it could take a few hours, or you will wait until the end of the day. How long you stay in the market will depend on how well it is doing and the strategy that you picked.

Day traders will look at short-term charts to figure out moving averages, resistance and support lines, and to make better decisions in investing. Outside of news that happens right within a company, they will not concern themselves with how the company will work in the future or what changes will happen beyond that day.

The biggest thing here is that you enter the market and exit the market all in the same day. You should never leave your position open overnight. Doing this results in different strategies and is actually swing trading. Swing trading is similar to day trading but it takes place over a longer period of time. Most swing traders will last between two days and two weeks. This gives you a little more time to prepare and make your moves but it is still pretty fast paced. You will hold the position overnight but if your profits don't happen within a few weeks, you need to exit.

Swing traders are going to focus their energy on preparing for a big trend. You are going to look at the news and other indicators to figure out the best times to enter the market because a big change is about to happen with a

company within the next few weeks. These traders enter before others catch on to the change, getting the stock for a good price. Then, when everyone else is alerted to the news and rushes to purchase the stock, the swing trader can sell their stock and make a huge profit as well.

Then there is long-term investing. This is often what is done for those who want to earn an income from quarterly dividends in the company they invest in, or those who are looking to invest to help out with their retirement. They are looking for the long-term trend of a company and hoping that it goes up over many years rather than over a few hours and they don't really look at the daily ups and downs for a company.

With long-term investing, you are going to need to look more at the fundamentals of the company, rather than the technical parts. This helps you to determine whether the company is secure, if they will continue on the path they currently follow, or if there are any concerns that you need to focus on before investing in that company.

Day trading is very different from some of the other forms of investing but it is still very appealing to different investors. It provides an opportunity to really learn about the market and to make money quickly, as long as you are able to use the system in the proper manner.

The Benefits of Day Trading

There are traders who recommend against getting into day trading. They worry that day trading is too risky, too fast-paced, and that it is too hard to actually make any money with this form of trading. There are actually a lot of benefits that come from day trading as long as you know how to read the charts and how to do an accurate trade. Some of the benefits that you can get from day trading include the following:

- Day trading can eliminate some of your overnight risks.

Depending on how the market does, there can be fluctuations that go between five and ten percent. The stock that is making a higher low and a higher high, and which even closed that day at a new high, has the ability to open up the next day at a low level. In one night, if things don't go right, you could wipe out all of your profit. And this all happens when you are sleeping! This doesn't happen with day trading because all of the trades happen and finish in one day. Political developments, disasters, and news are not going to disturb you. You can finish the trade and then go to bed without worries.

- You can use leverage.

Many brokers will offer you several times more than your capital margin. This provides you with more opportunities to control more investment than is available. If you are careful with your trading, this is a good way to multiply the profits that you can make. Leveraging is not usually recommended for beginners because it could result in you losing a ton of money as well but it is something to consider.

- Gives you a better chance to learn about the market.

Because you are doing a lot of trades each day, this is a great way to help you test out some trading patterns and learn more about the market.

- It can be done at home.

You can technically do day trading from home around your own time. You would just enter and exit the trades around your other obligations. Or, if you get good enough at this type of trading, you would just work this when you want to and can get all the profits in your free time.

- The satisfaction of the different challenges.

Many traders find that the continuous changes in the market can give them a feeling of accomplishment. It is an adrenaline surge that they enjoy and that keeps them working on this kind of market.

The Negatives of Day Trading

While many traders are able to make a good income with day trading, it is not the best for every trader. Some traders may want to work more with a long-term option. They may be interested in something that has a little less risk. Or maybe they aren't interested in being hooked to the computer and worrying about all the little shifts that occur in the market and how it affects their current trade. Some of the disadvantages that show up for some traders who are considering day trading include:

- During market hours, this trading takes a lot of intense focus.

If you have a lot of trouble focusing for a long period of time, or there are obligations that make it hard for you to do this, day trading can be frustrating. Day trading includes a lot of staying on your toes to figure out when the best setups are going to come along.

- You may miss out on some overnight gaps.

As many professional traders will tell you, there is a lot of money being left on the table when it comes to those overnight gaps.

- The market may move a lot but that doesn't mean your trade will move.

This happens often when we talk about day trading. This depends on how often the market makes a big move and then you either have a loss or barely break even. As a new trader, this may not make much sense, but it does matter with day trader.

- The market hours aren't the best for everyone.

Those who live on the east coast may have no problem with the hours but if you live in any of the other time zones, it can sometimes be difficult and inconvenient to trade in the U.S. markets. Some like this time difference though because they can get up early in the morning and get some good

deals. Either way, you will have to watch the market and make the times work for wherever you are.

- There are a lot of opportunities for the trader to over trade.

Overtrading, either taking too many opportunities than you can handle or trading too big, is often something that happens with day trading. If you lack some self-discipline, remember there are always other trading methods to go with. The extra buying power that comes with this method of trading can give you a loose leash. If you have a lot of issues with staying disciplined, the temptation to overtrade could lead to your demise and a lot of lost money.

- You may spend too much on trading costs and commissions.

This can end up costing you a lot of money if you are not careful. Any time that you shorten up the timeframe you are working with which can come up with day trading, those commissions can sometimes cause issues.

- You will need more software than other forms of trading.

A good day trader will have some charting software, a scanner, and a broker to help them evaluate all the different choices that they can pick from. You can do day trading without this but it becomes a lot harder when you do.

Day trading can be a great way for you to make money but there are some situations where it is not the best option for you. Explore how day trading works and some of the positives and negatives before determining if it is the right trading method for you.

The Basics of Day Trading in Futures

Many people think of day trading as working with stocks. While this is one option you can choose, some people like to work with other options, such as futures. Futures can be effective because there isn't going to be a restriction on shorting when you work in this market.

First, let's look at what futures are. Futures are going to be financial contracts that will obligate a buyer to purchase their asset or a seller to sell their asset. This can be a physical commodity or a financial instrument. They differ from options, that is, you have to buy and sell these if you enter the contract, while an option will let you choose if you want to buy or sell. The contracts for these futures will detail the quality and the quantity of the asset you are purchasing, and you simply need to set up the time limit of these to be for one day, rather than over a few weeks or months, or even years, to make it day trading.

While a day trading strategy for futures will often have many components and can be analyzed for how profitable it is in many ways, it is often going to be ranked based on the win rate, or the reward to risk ratio. The win rate is how many trades won based off all the trades that you did. So if you win 55 out of 100 trades, your win rate is 55 percent. As a day trader, having a win rate above 50 percent is pretty good. You can also work with the reward to risk ratio. This helps you determine how much risk you have to take to get a certain profit.

Since you are required to purchase or sell the future based on the contract you pick, it is important to pick a day that has a lot of volatility. This ensures that the price has time to go the direction that you want before you have to sell off. If the market isn't moving much, you may have to sell before you can make a good profit, or purchase when the price is too high.

Day trading with the Forex market

Another market that you can consider using when it comes to a day trading strategy is to trade in the Forex market. The forex market is a global decentralized market that allows traders to invest in currencies. This includes all the aspects of buying, selling, or even exchanging currencies at a determined price. In terms of the volume of trading, it is the largest market in the world. The main participants in this market will be international banks. But some individual investors choose to get into the market and make money as well.

Trading in the forex market is a great way to take advantage of changes in one economy over another. You will find that it is very similar to trading stocks and other options, but with day trading, you will really need to pay attention to the market and watch when the price of one currency goes up or down. Some of the basic guidelines that you can follow when you choose to day trade with forex will include:

- Trade just when the US and London markets are open. You may only want to trade for a few hours a day, usually when the two markets open. This helps you to not get worn out and make mistakes.
- When you trade, work with the one minute charts. This helps you to keep up with the small changes.
- Only trade in the same direction of the trend. You won't be in the market long enough to worry about anything else.
- Wait for a pullback. This pullback needs to stall out at some point or show some signs that the price is starting to move back in the trending direction. This must happen before it reaches a major prior swing low.
- When you see a pullback, your price needs to consolidate, which means that it must move sideways for at least two bars. Then you can purchase a breakout that is above the high price of this consolidation. This can take some patience because it may not stall the whole way and you may have to wait for some time.
- Put in those targets and stop losses. These ensure that you are going to get the best results and won't lose too much money.

- If you hear that there is a major news event that is about to happen, you need to leave all of your positions a minimum of two minutes ahead of that. You don't want to trade again until after the news is released, so even cancel all pending orders when you hear of new news or when you plan to be away from the computer. This makes sure that you aren't going to stay in the market and get on the wrong side of consumer sentiment about the news.
- Create a good day trading routine. This keeps you on track and can help you avoid some mistakes in the process.

There are some investors who want to trade in other markets, but usually until you become more accustomed to working in day trading, it is best to stay with the US market. this way, it is easier for you to get the news that you need to make informed decisions.

Day trading with cryptocurrencies

A newer option you can choose for day trading is cryptocurrencies. These cryptocurrencies are taking over the world and many people are starting to notice. There are thousands of these currencies available and they offer security, anonymity, and a great way to make a profit if you use them the right way. And since their volatility is high, you can easily make a lot of profit in a short amount of time.

You have to be careful with this kind of investing though. There are no regulations on the currency and they aren't available on the stock market. They also have a lot of ups and downs with them so it is also easy to lose your money quickly if you aren't careful. You really need to do your due diligence here because with so many options of cryptocurrencies to work with, many of them are not strong, and many can be fakes. And since these currencies aren't regulated, you won't be able to get anyone to help you out if you pick the wrong type of currency.

Now, if you take the right precautions and are willing to watch the market to protect your money, cryptocurrencies can be perfect for earning money with day trading. In fact, after seeing the crash of Bitcoin in January 2018 after the currency reached almost \$20,000 and then crashed to under \$10,000 in a few days, investing in these currencies over the long-term isn't the best. But the high volatility in these currencies make them perfect to join into the cryptocurrency market, stay in for a few hours, and then get out and make a good profit in the process.

If you do decide to invest in cryptocurrencies, make sure that you take some time to research charts and the history of that currency. There won't be any reports from the SEC for you to read through and make informed decisions. Instead, you need to look online, read the charts, and learn the patterns of the currency on your own. But a smart investor who is willing to take the time and learn can make a big profit in no time.

Some cryptocurrencies, such as Bitcoin, are more established and can be great options to go with. Others are newer and you may need to do your

research on as well. You also need to check the amount of variation that comes with the market. if you are only going to make a few dollars on a trade, it may not be worth your time. Just like with your broker, these cryptocurrency markets are going to charge you to exchange your fiat money with the cryptocurrency of your choice.

Chapter 2: The Basics of Performing a Trade

Before you jump into the world of day trading, it is important to know some of the basics that come with investing. You don't want to start out on your first trade and then find that you don't even know what the different terms mean, or you can't read the charts that are needed to make profitable trades. For example, it is important for you to know what a "bid and ask" is as well as what the different order types that traders can place when they are ready to buy and sell in the market. Here we are going to explore some of these terms, and what they mean, so you can take your trade by storm when you are ready.

Bid and Ask

If you headed over to a financial website and type in the ticker symbol for a stock, there would be a lot of numbers that show up. You would see words like market cap, EPS, div and yield, beta, volume, 52 wk range, previous close, and more. This information is referred to as the level one information and it provides you with facts about the best available price for a stock at a certain time. Let's look at an example of this by looking at Intel (INTC) Corporation's stock information. If we did, some of the information that we would see includes:

- EPS – 2.30

This will show how profitable the company is.

- Market cap – 273.41B

This is what the company is valued at currently in the market.

- Div and Yield – 1.20/2.10%

This is the percentage of dividends that the company will pay out each year.

- Volume – 31,183,166.00

This is how many shares have been bought and sold for this company.

- Beta – 1.207

This is going to indicate how volatile the market is for that stock. When it is above one, it means that the stock is more volatile than the market.

- P/E – 24.82

This is going to be the price to earnings ratio that is found when you divide the market value and the EPS.

- 52 Wk Range: 33.23-57.10

This is going to show the lowest and the highest price that this stock has reached over the past year.

- Days Range: 55.80-57.10

This is going to be the lowest and highest price that the stock has reached through the last trading day.

- Open – 55.84

This is the price that the stock opened at last.

- Prev Close – 55.20

This is the price that the stock closed at.

When you are picking out the stock you want to trade with, you will want to take a close look at these numbers. These can show you how much the stock is moving (or how volatile so you know you can sell it later), and you can learn if the stock is likely to go above its current value. All of this information will come together to help you pick the perfect stocks to make a good profit from in day trading.

Types of Orders

When you enter into day trading, there are going to be several types of orders that you can pick. Some of the most common are shown below.

Market Order

This is an order to sell or purchase a stock at the best bid or to ask when an order gets to the market. A lot of traders like this type of order because it is seen as the fastest option. However, this isn't always the truth. It will guarantee that you get an execution but it can make it so that you get into or out of the trade faster than everybody else.

You should work to avoid this as much as you can. You really want to have more control over the trade than what the market order can provide. If you have someone else who is watching the trade for you, or you absolutely can't watch your own trades, it may work. But it is better to go with a different option when day trading.

Limit Order

With a limit order, you are setting it up to buy or sell when the stock reaches a certain price, or if it is sold or can be purchased at a better price than what you set. This is the order that most traders will go with. It ensures that they get the stock for the best price and that they can sell it for an even better price.

Some traders won't work with this option because they are worried that if they use it, the order won't get executed. They think the program will just miss out on their requests waiting for a good price. With this order though, the program will be set up to place your trade at any level that you want.

Stop Order

The stop order is an order that will become a market order as soon as a certain price is hit. This is often a method that a trader will use in order to

limit losses and can really protect the profits of the trader. You still need to watch what the market is doing and make sure that you know what is going on with your trade the whole time. Since the market can change in just seconds though, the stop order can be a great way to stop the trade before you lose too much money and can't do anything to prevent it.

As a new trader, it is important to know how each of these orders works. Start by studying the information in the first section and learning how you can use it to make a good trade. From there, you can place the right order for the trade that you are going to work on. Just remember that these trades are very short-term, ranging from a few seconds to no longer than one day. But when you know how the market works and pick the right stocks with the right orders, you can easily get some great results and some great profits.

Chapter 3: Opening up a Brokerage Account

In order to execute the trades that you want, you will need to open up a brokerage account. There are varieties of factors that are going to come into play when you pick out a brokerage account including the margin rates, the commissions you will owe, and any other fees the company tacks on. If you pick a bad broker or one who takes too many fees from you, it doesn't matter how successful you are with your trades; they will end up taking most, if not all, of the profits that you make.

If you plan to be a high-volume trader, you could end up paying a ton of commission fees each day to the broker. For those who plan to trade in high volume which is more common with day trading compared to other forms of trading, you will need to contact your broker and see what the rates are. Make sure to ask about all their fees and if they have any incentives or specials that could end up saving you money.

After you have a good idea about the costs and fees you will have with a broker, you will need to take a look at the platforms they have to offer. These platforms are very important because they could affect things like price quotes and execution speed for your trades. As a day trader, even a few seconds of delay in the processing can cost you a lot of money. Many brokers will have executions that happen in real time but there are times when slippage can happen. You should test out the brokerage's platform to see if it is comfortable and if you like how it works.

Take some time to look at the financial stability and customer service of the brokers you are considering. You want to pick out a brokerage that has great customer service because if a crisis happens, you want help quickly. Financial strength can be important because there are brokers who have gone out of business, and if yours does, it may cost you the entire amount that is in your account.

There are many different brokers you can consider using for your trading needs. Some of the best ones that you may want to work with include:

- MB Trading
- SpeedTrader
- Generic Trade
- OptionsXpress
- E-Trade
- Fidelity
- TD Ameritrade
- Lightspeed
- TradeStation
- Interactive Brokers

After you choose the broker you want to work with, you can set up your account, and add money. Most brokerages will require you to have money in your account before you even start with any trades. Take some time here to explore all the features that come with your new trading account, checking out the different graphs, the interactive tools and more. Then, when you are ready (and after you have taken a look through the rest of this book), you can start using your strategy to make money with day trading.

When you are setting up your brokerage account, you need to make sure that you watch out for some of the fees that you incur. Each brokerage account, even if you do most of the work by yourself, is going to charge some fees for doing the trades. You need to know what all of these are before you even think about trading, or you could lose all your profits just to pay for the brokerage account.

Some brokerage accounts will charge a base fee for each trade that you do. This can often get expensive especially since day trading relies on you being able to do a ton of little trades throughout the day. This is often not the best option in fees to go with unless you are a long-term trader who doesn't plan to get out of the market for some time. Most day traders will go on a commission basis so they only have to pay when they make a profit. When doing your strategies, make sure to factor in the fees or the commissions that you have to pay, and take those out of your profits when determining how profitable a trade is.

Chapter 4: Finding the Right Stocks to Trade

While we are going to explore some of the best strategies to use when you work in day trading, first, we need to have an idea of how to pick out the right stock to make day trading easier. You can have the best strategy in the world but if you pick the wrong stock, then you are wasting your time. Before you go any further, you will need to take some time here to study your stocks. The following factors below will help you pick out the perfect stocks to trade.

The Revenue of the Company

The growth of a stock is going to begin when the company starts to make money. If the company isn't making any money, then they may be brand new and it's too early to figure out how profitable they will be or they are about to fail. Either way, you won't really make money in day trading with them. The revenue is going to provide you with an idea of how much money a company is making. If you look at the revenue and see that it is consistently going up, this is a good sign that the company is growing.

- Fail.

If you see that the revenue of the company is decreasing, then the stock fails and you shouldn't use it for trading.

- Pass.

If you see that the revenue is going up, then the stock passes and may be right for trading.

Earnings per Share

The Earnings per share, or EPS, is going to show how much of the company's revenue is flowing out and into the pocket of its stockholders. The EPS is going to be the amount of money the company makes in profits per share of stock that it has.

- Fail.

If you see the EPS score is going down, then the stock fails.

- Pass.

If you see that the EPS score is going up, then the stock passes.

The Return on Equity

The return on equity is very important when it comes to picking out the stock that you will invest your money in. The ROE can be a good indicator of how efficiently the management of a company is able to produce returns.

- Fail.

If you see that the ROE is going down, especially if it has gone down over the past two years, then the stock fails.

- Pass.

If you notice that the ROE has been going up for at least the past two years in a row, then the stock passes.

Analyst Recommendations

You should take some time to hear what the analysts in the market say about a certain stock. While there are times when these analysts will miss out on important information or may miss out on a great opportunity, they do spend a lot of time researching the stock market. And when they are done, they will provide their recommendations. This can be useful information for a beginner in day trading:

- Fail.

The recommendation fails if the consensus recommendation doesn't reach the buy level.

- Pass.

The recommendation is going to pass if the consensus recommendation is to purchase.

Positive Earnings Surprise

Each quarter the company needs to release a statement about their finances. This is a legal requirement for them to be on the stock exchange and it provides investors and lenders with some important information about the finances of the company. Before a company releases these statements, many analysts will make some predictions about the ESP for the company:

- Fail.

If the earnings during the previous quarters for the company have been negative, then the stock fails.

- Pass.

If the earnings do come in and they are higher than what was predicted, then they pass.

Earnings Forecast

As a day trader, it is important to have a good idea of what the company could potentially earn in the future. This will help you determine if anyone is likely to want to purchase the stocks later on.

- Fail.

The stock will fail if the forecasted EPS is going to decrease.

- Pass.

The stock will pass if the forecasted EPS increases.

Earnings Growth

This is the number that a trader can use because it tells you how the analysts believe the earnings of a company will grow each year.

- Fail.

If the long-term five-year number is under eight percent, then the stock fails.

- Pass.

If the forecast for the long-term five-year number ends up being over eight percent, then the stock passes.

PEG Ratio

Another number that you can look at is the PEG ratio. This is a ratio that will include the P/E along with other factors that were important in the growth for a company. As a trader, you want to make sure that you are working with stocks that are predicted to grow in the future, so this ratio can be really important in determining this information:

- Fail.

If the ratio value is more than 1.0, then the stock fails your analysis.

- Pass.

If the ratio value is less than 1.0, then the stock passes.

Industry Price Earnings

The industry price earnings will show you the average of how much the company earns as compared to other companies in the same industry. This can help you to find out if the company is doing as good as, worse than, or better than other companies at that time:

- Fail.

The stock fails if the P/E ends up lower than the industry's earnings for that time period.

- Pass.

The stock passes if their P/E ends up higher than the industry's earnings.

Days to Cover

The short interest is going to help you know the number of shares that investors are short on. The days of cover will refer to how many days it will take the short sellers to cover the position that they are in. This information can help you get a good idea on whether the company is profitable, how long it would take them to become profitable, and if this is really a good investment opportunity for you to work with.

- Fail.

If the days to cover ends up higher than two, then it is going to fail your analysis.

- Pass.

If the days to cover ends up lower than two, then it is going to pass your analysis.

The more items that a particular stock is able to pass, the better option it is for day trading and making you a profit. With that being said, there are times when it is very hard for you to find a stock that is going to work with all of these different aspects, and you may have to decide which ones are the most important for your trading strategies. Try to hit as many, if not all, of these as possible to get the best stock for your trading needs.

Each trader is going to have their own strategy when it comes to picking out the right stocks to go with. We will talk about a few strategies to use in a few chapters, and sometimes these strategies will lead you to the right stock for your needs. But looking at the ten factors above can really make a difference in answering the question “What stock should I invest in?”

Chapter 5: Picking the Best Time to Trade

As a day trader, whether you are a beginner trader or a professional, you need to start relying on consistency. This is going to make it easier for you to pick the right stocks to invest in and can help you figure out if you are going to make a profit or not. For example, a stock that has consistent ups and downs in the market will be much easier to invest in because you know when the high and the low points will occur. A stock that is really volatile and doesn't have a pattern at all can be hard to invest in because you never know where it will go from one day to the next. There are a few tips that you can follow to make picking the best time to trade an easier decision.

When you want to trade in stocks, the best time to do this is the first two hours after your chosen market has opened, and then in the last hours before closing. So, trading between 9:30 and 11:30 is a good time to begin. This time is very volatile, which can give you a lot of price changes and a lot of potentials to make profits. Then, you can also consider trading at three to four in the afternoon because some big movements can occur at these times as well. For traders who can't spend all day trading and who only have a few hours available, the morning session is the best option.

If you are looking to trade in futures, when the market opens is the best time to trade. Active futures have trading activity all of the time, so the best opportunities for this will often start earlier than when the stock market opens. Try to focus your energy on trading between 8:30 to 11:00. The official time for closing the futures market can vary but you can also look at trading during the last hour as well.

During the week, the forex market is available for trading all day long. The most popular day trading pair that you may want to work with is EUR/USD. The time when the forex market is the most volatile is between six and five GMT. For a day trader who wants to work with the forex market, you should focus most of your energy on trading during that time. Often, the biggest changes in prices will occur from 12 PM to 3 PM GMT. This is when both the US and the London markets are open which means that both groups are doing a lot of trading at the same time.

Despite the common belief about day trading, you don't have to spend all day on the computer doing your trades, unless you want to. This can be hard to keep up with and may end up leading you to a lot of anxiety and stress. Chances are, many traders are going to be more consistent and make more profits if you only spend a few hours trading in the market each day. Going with some of the times that we have listed above, depending on the market you want to trade in, can make a big difference.

Overall, you can earn a profit when you trade any time of the day as long as you have a good trading strategy and you know when to enter and when to exit the market. So if there is some reason why you can't be available right at the beginning or right at the end of the market, then don't fret about it too much. You can always trade at the time that works best for you.

Chapter 6: How to Reduce Your Risks When Day Trading

Like any kind of investment, day trading does come with some risks. And day trading is often considered an even riskier option compared to some of the other investments you can choose. As a beginner, these risks may seem overwhelming and you may worry that this is not the right investment vehicle for you. There are a few things that you can do to help limit your risks as much as possible, including the following.

Only Trade What You Can Afford to Lose

When you enter a trade, make sure that you only trade the amount of money that you are comfortable with losing. There is a chance, especially when you are a beginner, when you may pick a bad trade and can lose money in the process. If you bet too much money on this, if you used leverage, or you made false assumptions about how the market would go, you could end up in big financial straights in the end.

Before you enter into day trading, consider setting aside a savings account. Take some time to put some money in savings before you get started, and add to it as you make profits. Only use the money in this account when you are trading. That way, when it is gone, you stop. And you didn't put your regular income or regular savings in jeopardy in the process.

Set up Your Stop Loss Points

Before you go into a trade, it is important to set up your entry and exit points. These are going to help maximize your profits like minimizing the potential losses that you could have. You need to have an idea of what price point the stock needs to be at for you to enter the trade. And then you need to have stop points for both ends of the spectrum for your profits and your losses.

Setting a stop point for losses can ensure that you only lose so much money. There are times when the market will plummet very quickly. If you don't have this in place, the market could slip down and you could lose a ton of money in a short amount of time. This stop point tells the brokerage account when you want to leave the market so you can limit your losses as much as possible.

You also want an exit strategy when it comes to how much money you want to make as profits. While this may seem silly as a trader, you want to earn as much as possible. But since there is a lot of variability in the market during the day, the market can often reach a high point and turn, without going back up again. Setting this point helps you to earn as much profit as possible without you staying in the market too long.

Work with a Broker

As a beginner, it is often best to work with a broker if you can. This can open up a lot of different resources to you that can make day trading more profitable. The right broker can be someone you bounce ideas off, someone you can ask questions to, and someone who can give you advice on the best stocks to follow for your trading.

You can also pick your broker based on the fees that they charge. Each broker is going to be a little different. Some charge a flat rate based on how many trades that you want to do. If you plan to do a lot of trades here, which is common for day trading, you may not want to go with that option. If you are spending \$4 for every trade you do, this is going to add up quickly when you do a bunch of trades through that broker.

Another option is to work on commission with the broker. This way, you only pay a percentage of the profits that you earn on the trades you do. This can be helpful as long as you make sure that you earn enough on the trades that you can cover the commissions and fees, and still have some money left over for profits in your pockets.

Stick with the Strategy You Chose Through the Whole Trade

After you take a look through some of the strategies we will discuss in this guidebook, you should have an idea of which one will work the best for you. Make sure to pick one that makes sense for you, has the number of risks that you are willing to take, and that works with your trading profile.

Once you pick a trading strategy, you need to stick with it, at least during that trade. Many beginner traders end up failing and losing a lot of money because they enter a trade using one strategy and then they move into a second strategy at some point during the same trade. Sometimes this is because they see they will lose money and they want to make changes to prevent this. Other times, they do it simply because they didn't fully understand the strategy they chose. Either way, it can result in disaster for that trade.

If you start with a trading strategy and find that it is not the right one for you, then finish of the trade and try a new strategy on the next trade. You may lose some money on that first trade, but you will limit the loss quite a bit compared to switching strategies right in the middle.

Take a Break from Trading When You Need It

Sometimes, you are going to run into a trade that is bad. You may not have put in the right exit points, or you may have picked the wrong strategy and it didn't work out well for you. This can be hard especially if you are a new trader and it is one of your first trades.

After this bad trade happens, or if you seem to be making bad trade after bad trade, it is time to take a break. At this point, if you stay in the market, you will let your emotions take over and you will continue to make bad trading decisions. You may want to make a lot of income from day trading but sticking in the market when your emotions are involved, and after having a bad time with trading, it's just going to make things worse.

The break doesn't have to be a long time. Even a few days to a week can be enough to help you refocus and come back with a fresh look on your trading. It can be hard to take a break. You want to try a new idea, you want to make the money you lost back, and you don't want to give up. But taking a break doesn't mean you have given up. It simply means that you are giving yourself time to think critically the next time you trade.

Learn How to Keep the Emotions out of the Game

With any type of trading, if you let your emotions get into the game, then you have lost. This can be hard for many people especially if they put more money than they can afford to lose into a trade. With day trading, emotions can be an even bigger issue because the market changes so rapidly and you have to get in and out as quickly as possible.

When you allow your emotions to start coming into play, you are basically losing all of your control to make smart decisions. No one can make good decisions when the emotions are involved, and with all the stress and issues that can come with day trading, those emotions will hit some extremes pretty quickly. This is why it is so important to go through and pick out a winning strategy and to stick with it. This will keep the emotions at bay and you can make the decisions ahead of time before the emotions of being in the market come into play.

If you are in a trade and find that your emotions are starting to get in your way, it is time to make some changes. In some cases, you will be able to stick with your stop points and be safe for the rest of the trade. But if you have already gone through and left the stop points behind, it is time to leave the trade, no matter where it is going, and restart. You may even need to take a little time off from day trading, especially after a trade that did not do that well, so that you can regroup and get back to the critical thinking.

Don't Follow the Trends

If you are jumping onto a stock that everyone else is as well, then you are already getting to the party too late. As soon as others start purchasing or selling a stock, the price has already changed and you are too late. This could result in you paying too much for a stock, or selling it for too little because you got caught up in the trend.

As a day trader, it is your job to learn to spot trends before they happen. If you read the news, look through the right charts, and use your knowledge about the market, you can easily jump onto a stock before the trend happens. When you do this successfully, you would then purchase the stock while the price is lower, before others catch on. Then, when others catch onto the value of that stock, the price will go up where you can sell it for a higher price than you originally purchased it.

You can use this idea when selling the stock as well. If you know that a stock has a price ceiling of \$55 and the stock is currently at \$54.99, or even above \$55, then it is time to sell. In the short trading period that you get with day trading, you won't really see the price of a stock go much above its ceiling price ever. You can see this trend and sell the stock at that high point before the market drags it back down and you lose money.

Day traders do not jump onto a trend because they know it means that they are too late for the party on that particular security. They learn how to read the trends through their own research and can accurately predict the best times to purchase and sell the stock to make the most profit.

Chapter 7: Day Trading Strategy 1 – The Candlestick Strategy

Now that we have spent some time talking about day trading and how to get started, it is time to start talking about some of the strategies that you can use to become successful in day trading. Day trading is difficult and if you do not take the time to pick a good strategy and learn it fully, it will become harder. The first strategy that we will take a look at is the candlestick strategy. There are a few options that come with it and it often depends on which direction you think the market will go.

To create a candlestick chart, you need a few things. These things include:

- The opening price.
- The highest price in your chosen time frame.
- The lowest price that happens in that same time frame.
- The closing price values for each time period that you want to show.

While you can work with the candlestick strategy with pretty much any kind of trading that you want, for the purposes of this guidebook, you need to make sure that you pick some time frame that fits into your day. Some people will pick a time period that lasts the full day, some choose to go for a few hours, or you can go down to just a few minutes. Just make sure that the time frame you pick is consistent.

The hollow, or the filled out part of your chart, is going to be known as the body, while the thin lines that you can see above or below the body will show you the low and high ranges. These lines are known as the shadows, tails, or wicks of your candlesticks.

The high part of this chart is going to be marked by the top of your upper shadow while the low by the bottom of the lower shadow. If you see that a chosen stock is closing higher than it opened at, then you can go into the chart and draw a hollow candlestick at the bottom of the body. This bottom is going to represent what the opening price was and then the top will show the closing price.

There are also times when the stock will close at a price that is lower than what it opened at. This is when you will fill the candlestick at the top of the body being the opening price and then the bottom will be your closing price.

One thing that beginner traders need to remember is that the hollow candlesticks that have a close that is higher than the open means that there is a little bit of buying pressure in the market. If there is a filled candlestick where the close comes out as less than the open, it means that there is a little bit of selling pressure.

Bullish Candlesticks

Now that we know a little bit more about these candlesticks, it is time to look into a few of the different ones that you can work with. One of the nice things about this strategy is that you can use it in any type of economy, regardless of if the economy goes up or down. You just need to find the right candlestick strategy to make that happen.

The first type of candlestick that you can look at is the bullish candlestick. Any candle that has a larger body near the top will be seen as bullish. This means that the buyers are in control of the price of that stock. When you notice that, this chart is going on realize that the buyers are the ones who keep pushing on the market to make the price go up higher and higher. This candlestick is not going to really tell you the price that the security will go up to but it will tell you that the bulls are winning and that they have the power, for now, to determine where the price will go.

Bearish Candlesticks

On the other side of things, there are also bearish candles. These are a bit different compared to the bullish candlesticks and you will want to trade in a different manner. When we look at a bearish candle, it means that instead of the buyers being in charge, the sellers will be able to control the price action for the market. Purchasing the stock at this time is not a great idea but if you already own the security, now is the time to sell.

When you look at the charts and see that there is a candle that is filled in and the body is pretty long, this means that the opening for that security was high, but the closing dropped down. This is the best way to tell that the market is currently bearish and it is not a great time for traders to get into it, unless they want to spend way too much on the security and not earn much, if any, profit.

Indecision Candlesticks

Another type of candlestick that you may run across is known as the indecision candlestick. There are two main types of these candlesticks known as Dojis and spinning tops. To understand what these indecision candlesticks are about, let's take a look at each type.

The Spinning Top

The first indecision candle that you can work with is called spinning tops. These are candles that have high wicks that look similar in size along with some low wicks that are larger on the bottom and show up as indecisive. With the spinning top, the sellers and the buyers have powers that are close to even, which means the stock could go either way. No one, neither the sellers nor the buyers, is in control over how the price will go at this time, but there is a fight to figure out who is going to win. The volume on these is often lower because the traders want to wait. No one wants to get in here and find out that they guessed wrong and that the wrong party takes over control of the price.

The trend in the price is going to show up shortly after you see the spinning top, so the decision is made fast. Once the fight is won, whether it is by the buyers or sellers, the price is going to start its new trend. This is why it is important as a trader to look at and recognize this kind of price action. Of course, it is better to wait a bit before trading in the market and then see which way things will go. If the price starts to move up, you can jump on because the price is going up. But if the price goes down, you should wait a bit and see if the market goes back up before you make a purchase.

Dojis

Another type of indecision candlestick you can work with is known as a Doji. There are a few shapes and forms of this candlestick, but they end up having nobody to your candlestick in the graph, or the body is pretty small to start with. When you look at your charts and see that there is a Doji

present there, it means that there is a big fight going on between your buyers and sellers and no one is coming out the winner in it yet.

There are some exceptions to this though. There are times when the Doji does show a bottom and a top wick, but these are not going to be equal. If the top wick is longer, this means that the buyer is trying to push the price higher but they were met with failure on this. This is sometimes an indicator that the buyers are not holding onto the power and the sellers may try to control the price.

You may also see some charts where the wick on the bottom is the longer one. With this, it means that the seller was trying to control the price but they were met with failure on this. This means that it is more likely there will be a takeover price by the buyers.

You can definitely use this to help you see what trends are going on. If one of these candlesticks shows up during a bullish trend, it means that the bulls are wearing out and now the bears are trying to take over control of the price. If this candlestick forms when there is a bearish downward trend, it suggests that now the bears are tired and now the buyers or the bulls will take over the price. This can help you to see when a trend is about to occur in the market and can help you to make some smart decisions.

The candlestick pattern is a great way to predict how the market is going. When the market is going up based on these candlesticks, you will want to purchase and then sell before they go down. When the market is going down based on these candlesticks, you will either want to stay out of the market if you are not already in, or you will want to sell before the price goes down and you lose too much money. Take some time to learn how to make these charts and you will find that they are a fantastic way for you to monitor the way that the market is going.

Chapter 8: Day Trading Strategy 2 – The ABCD Pattern

As a beginner trader, you may want to consider working with the ABCD pattern because it is basic and easy to trade with. Although it has been around for some time and it is simple, it is still effective, which is why so many traders are still using it. With this strategy, you will do whatever the other traders in the market are doing because you believe that the trend is your friend. Let's take a look at how this one can work.

The ABCD pattern will start out with an upward move that is strong. At this time, the buyers are aggressively buying a stock from point A and making constantly new highs of the day, which is point B. You will want to get into the trade at this point but do not chase the trade since point B is already an unusually high price. Plus, at this point, you are not able to say where the stop loss should be and it is never a good idea to trade without setting the stop point.

At point B, the traders who already bought the stock at an earlier time will start to slowly sell their stocks to make some profit, and this will get the price to come down. It is not a good idea to enter into a trade at this time because you will not be able to guess where the pullback will happen. However, if you see that the price isn't coming down from a specific level, such as point C, this means that the stock is working with some potential support. This means that you will be able to plan the trade and then set up the stops that you need so that you make the most profit.

This is a simple strategy that you can choose which makes it a great option for beginners. There are a few steps that you can take to make this strategy more successful. These steps include:

- When you look through the scanner to find a stock, that surges up from its original point A and this reaches a new high for the day or its point B, you need to pay some attention. You will need to look at that stock and see if the new price is able to become a support than what was found at the original point A. If it does have enough support, this will

then become point C for your trade. Be careful looking at this because you don't want to make an assumption and trade too early.

- After you have made your point C, you can watch the stock carefully throughout its consolidation period. From the information you glean during this time, you can choose the preferred share size to work with. This is a good time to come up with a good stop and exit strategy.
- When you see that the price is holding onto that support at point C, you should enter the trade at a point that is on or close to point C. The goal here is that your chosen security is going to move up to a new support point, known as point D, if not even higher.
- To work with this strategy, you want to have the stop loss end up at point C. If there is any time of the day where the price goes lower than your set point C, then you need to sell your stock and accept any losses that occur. The closer you can purchase the stock to that point C, the better with this strategy so that you can make sure your losses aren't too high.
- If you see that this stock continues to go higher, you will want to sell about half the position when it gets to point D. You can then move your stop higher to your entry point to help you make a profit.
- As soon as you see that the target is hit, or you see that the price is losing steam, even if it doesn't reach the goal, then you should sell the remaining shares that you have. When the price gets to a new low, this shows that the buyers are exhausted and the trend will go backward.

This strategy is a simple one you can work with but you need to really know how to read the charts you have and you must have the patience to enter the market at the right time to make a good profit. You also must be careful and watch the stock the whole time you are in the trade. The trend can easily turn on you and then you could have runaway losses. But as a beginner who can spend some time on the market and on your trade, you will see that the ABCD strategy is a great one to work with.

Chapter 9: Day Trading Strategy 3 – Reversal Trading

The bottom and top reversal options are two trading strategies that a lot of day traders will rely on. This is because the reversal strategies will have defined exit and entry points, which gives you some clear guidelines about when you should get into the market and when you should leave the market. You will be able to find the best reversal setups using a scanner and indecision candlesticks will help you to set up your entry points and more so that you get the best results with the reversal trading.

When you are working with a reversal strategy, you will notice that there are four important elements that need to be present. These four elements include:

1. There needs to be a minimum of five candlesticks present on a five-minute chart. They can be moving downward or upward, but they need to be present.
2. The stock will have an extreme five-minute Relative Strength Index indicator. If the RSI is above 90 or below 10, it should catch your interest. This RSI will compare the magnitude of recent losses or gains over a specified period of time to measure how fast and how much the price movement was. The values will be on a range from 0 to 100. This can be used to help you recognize a stock that is oversold or overbought. If the RSI is over 90, it shows that the conditions of the stock are overbought and if the RSI is below 10, it means that the conditions are oversold.
3. The stock is being traded near, or at least close, to an important support or resistant level.
4. Once you notice that there is a trend and that it is nearing its end which is something that you can see with those indecision candles, you are near the reversal. This is something that you as a trader need to pay attention to and be ready for because it is time to finish out the trade at this point.

Remember those indecision candlesticks that we talked about earlier? We are going to bring those back now. When you work with reversal trading,

you need to use these candlesticks. These will indicate that the current trend for a security is about to change. The Doji candlestick is a good one here because it can really show the changing trends.

For example, if you are looking through your charts and you see that there is a candle with a top tail, you can safely assume that during that market period the price did go up but the market didn't have enough power to hold the price at this level resulting in the stock being sold off. This kind of candlestick is going to show where the buyer lost the push-up the battle and soon the seller is going to control the price, which pushes everything back down.

This same process is shown when you go the other way as well. When the candle has a lower wick that is long, you can guess that during this period, the price ended up going down. But while going down, the price wasn't able to stay at these levels, so it was brought up again. With this battle, the sellers last the pushdown. The buyers are going to work to push that price up again.

With this kind of trading strategy, you should take a look at your chart for the indecision candlesticks because they let the trader know that the current trade is not going to stick around and things are going to change soon. But you must read the chart accurately so you can make sure that a reverse is going to happen. If you make the wrong trade, you are going to lose money in the process.

When an indecision candle or a Doji forms, you know that the reversal is about to happen. You can also look at the RSI to see if the numbers come in above 90 or below 10. Any time that this happens, you need to look for an actual entry that is near a strong support for the intraday when you work with the bottom reversal. But if you work with the top reversal, you want to look for the resistance level.

Since these work a bit differently, let's look at the bottom reversal first. For the bottom reversal, when you have a line of candles that is long and right next to each other and they are each working to make new lows, the first

candle that shows up after this line that has a new high that is near its support level is the one that will be the most important. For many traders, this is the time when they will enter the market. This is early enough in the trade that you are still going to get a great price for the security but the one candle that went up shows that the trend is about to change and it won't take long before you can sell your security for a great profit.

With these bottom trades, you also need to look for the right exit indicators. These are simple. If you see that the stock goes up before going right back down, then it is time to step out and take a loss. The stock could stay down for some time and you don't want to end up with a bigger loss. If you purchase the stock based off this strategy and then the price goes sideways, realize that this usually results in the price of that stock going back down, and sometimes dropping lower again, so it is time to get out of the market. Even if this flatline only lasts for a few minutes, get out and save your money.

With this strategy, if you enter at the right time and things hold constant, you are going to make a profit. This trend can sometimes be short-term and other times it will keep going up. Have a few indicators in place so you know when to take your money and leave so you have a profit, but don't stay in so long that you start losing money.

For the reversal strategy above, the biggest thing that a trader can do is watch out for stocks that are moving up or down, and then also look to see if there are any support and resistance levels that can make for the perfect trading opportunity. This helps because it takes some of the impulses out of the mix and can reduce the times that you would just rush into the trade because you are excited.

To make this strategy easier to understand and follow, here are some of the steps that you can take with the reversal strategy:

- Turn on your scanner so that it looks for a chart that has at least four candlesticks with a downward trend. You can then look closer at this

stock and check out the daily support and resistance levels to see if it is a good option.

- Don't just jump in at this point. You want to wait for some confirmation. First, you need to have the formation of a Doji or some other indecision candle. Then make sure that this chosen stock is traded near its intraday support level. Then look at the RSI and see if it is lower than 10.
- Continue to watch the stock at this point. When it comes to a new high at either minute 1 or minute 5, then you should purchase it.
- The profit target for this trade is either going to be the next support level, when the stock reaches a new low in the five minute periods, or the Volume Weighted Average price.

Another option to work with on this strategy is the top reversal. This is similar to what you find with the bottom reversal option but now we are working more with the short selling side. Here we are going to just look at the steps that come with this strategy to make it easier and help you see how the two reversal strategies are different.

- Set up the scanner as we did before but make sure that the four consecutive candlesticks are trending up. When this information hits the scanner, look at the volume and the daily level of your support and resistance to see if this is the right stock.
- The top reversal strategy also needs some confirmation. This could show up with an RSI that is above 90, or an indecision candle that is bearish.
- Once you look at the five-minute section and see that the stock has gone down to a new low, this shows that the market is having a weakness. This is the time for you to short sell your stocks.
- The stop for this one is going to be the high of your previous candlestick. Another option is to go with the high of the day.
- If you are looking for a profit target, you either need to take it out when the stock reaches a new support level, or when it reaches a new five minute high.

The reversal trade is a great one to go with and some traders will pick this as their only trading strategy because it is so successful. These strategies can actually take out some of the risks, as long as you use them properly, and you still have a good chance to make some higher profits. And since it works in both a bullish and a bearish market, you can use this reversal strategy no matter what the market is doing on a particular day

Chapter 10: Day Trading Strategy 4 – Moving Average Trend Trading

The next strategy that a new trader can use is known as the moving average trend trading strategy. The moving averages are used as a way to help you pick out the right entry and exit points on whichever stocks you are trading. There are many stocks that will get on their morning trend and then will be either on the downside or upside trend. You would then be able to see their moving averages in the one and minute charts. This is beneficial to you as the trader because you are able to ride out whatever trend shows up by following these moving averages.

While this kind of strategy does sound a little complicated to work with, it is actually a simple one to choose. Some of the steps that you will want to use for the moving average trend strategy include:

- When you are looking at your graphs and checking out your stock in play, you should look to see if there is a trend that is forming near or at the moving average. When you see this, it is time for you to consider getting into the market with this strategy. You will need to also spend some time looking at the trading data from the day before. This helps you to get an idea of how the moving average has changed and how the stock is responding to this average.
- After you have looked over the charts and seen which moving average is the best for your trade, you can purchase the stock. If you would like, you can also wait a little longer and confirm the moving average is the support. Consider purchasing close to this moving average line, or as close as you can.
- Then you can pick out your stop points. You should have your stop about five to ten cents below the line for the moving average. If you are doing this with a candlestick chart, you must make sure that you have your start close to your moving average and then do a long position.
- After you enter the market, you will just ride out this trend until your moving average breaks.

It is important to remember that you should never use a trailing stop if you are working with the moving average trend strategy. This one is also one of those strategies where you must give it your full attention, or the market may get away from you. While the scanner can be nice for finding the right trades you want to use, make sure the scanner is turned off and your eyes are turned on when you are doing the trade.

If you see that your chosen stock is moving really high from the moving average, this means that you are making a great profit. At this time, it may be best to take the half position rather than going all the way to your break. This is going to make sure that you make some profit, and sometimes you will see the moving trend go down before the break. If you let this happen, it is possible to lose out on all of the profit. But with the half position, you can at least make some profit.

This is a strategy that some traders like to do but many beginners will avoid because it leaves you exposed to the market for a longer period of time. Some of these trending trades can last for a few hours or more, and for some day traders, this is just too long to trust the market. Most day traders like to go much faster, getting the profit in a few minutes, but if you are interested in trading over a few hours, it could be the best option for you.

Some beginners like this option because it helps them to get familiar with the trading and it does not require decision making that is quite as fast as the other options. You also will not have to rely on Hotkeys when starting. You can use the trending strategy to recognize your stop loss and your entry points easier than some of the other methods as well, something that is especially important for those traders who are stuck paying higher retail commissions and who are not able to get in and out of their trades without paying a big fee. Since the moving average trend strategy has an exit and entry point that are easy to see, it is easier to get a good profit with only two orders, which can save some traders money.

Chapter 11: Day Trading Strategy 5 – Resistance Trading

Support and resistance trading are really popular and you will probably find a lot of traders who decide to go with this kind of strategy to help them do well. In these cases, support will be the price level when buying is so strong that it can reverse or interrupt the current downtrend that is going on. When your current downtrend ends up hitting a new support level, it will bounce. The support will then be shown on a chart using a horizontal line that will connect at least two bottoms.

On the other hand, the resistance will be the opposite. This is the price level where the selling position is so strong that it can reverse or interrupt the uptrend. When your uptrend hits that resistance level, the trend will stop and sometimes it will even tumble down. Resistance can be represented on your chart by a horizontal line that will connect at least two tops.

It is possible to get minor resistance or support. These will cause the trend to pause. But when you are working with a support or a resistance that is considered major, it can make the trend reverse. Traders who use this strategy will buy at the support and then sell at the resistance, often causing the strategy to be more effective because of the way they are behaving.

You will need to take a look at the daily charts to find the right resistance and support lines and sometimes it is difficult to find a line that is clear and easy to use. There are some days when you won't be able to make a line at all and you may need to choose a different strategy to work with for that day. If you can create that line, then this is a great strategy to work with.

There are some steps that you can use with the charts that you have available to help draw your own support and resistant lines. Some of the steps you can take to make this process easier and to really use this strategy include:

- Remember those indecision candles? You are going to see these in areas of support and resistance. These candles often show that buys

and sellers are fighting with each other to see who has the most control over the price.

- Often half dollars and whole dollars can be good support and resistance levels. This is especially true when you work on stocks under \$10. If you can't find your support or your resistance lines, check here and see if your line would work there.
- When you make your own lines, you need to have the most recent data available. This ensures that you are getting the best information for that stock.
- The more that your line is able to touch the extreme price of the stock, the better option this line is for your support and resistance. If it is too far from this extreme point, then it is not going to have enough value to make it strong.
- Only look at any support or resistance lines that stay with the current price range. For example, if the stock's price is around \$20 right now, you do not need to look at the region on the graph where the stock randomly jumped up to \$40. This is not an area where the stock will probably go back to so it doesn't make much sense to work from there.
- Many times the support and resistance is not just one exact number. Often it is more of an area. If you come up with a support or resistance that is about \$19.69 then you know that the movement is somewhere near that number, not exactly that number. You can usually estimate that the area is going to be somewhere between five to ten cents above or under that line.
- The price that you want to work from will need to have a clear bounce off that level. If you can't find that this price bounces at that level, then this is not a good support or resistance level for you to work with. Your levels need to be really easy to notice and need to make sense for the charts you look at. If you have any questions about whether you picked the right one or not, it's not the right one.

When we first create these lines, drawing them can be tricky. You want to make sure that you are getting the right support and resistance lines so that you know how to base your trades. But after you practice a bit, and test out your ideas with some backtesting, it will be easier to do and you can easily use this method with any trade that you want.

Once those lines have been drawn, you can then work on a good trading strategy to help you purchase and sell your chosen stocks based on these lines. Some of the best steps to help you with resistance trading include:

- Right when you wake up start to create your own watchlist. Look at the charts that you have available and then pick out the right support and resistance lines to go with that information.
- Set up the five-minute chart and watch the price action for a bit looking at your lines. If you find that near your lines there is an indecision candle forming, then this is confirmation that you picked a good area, and it is time to enter into the trade. Try to purchase the stock close to the support level to help reduce your risks.
- At this time, you also need to determine the right time to withdraw to make a profit if possible.
- Keep this trade open, even when you withdraw. This allows you to hit your target for profit, or until the stock gets to a new support or resistance level.
- Some traders decide that it is better to trade at half-positions that are near their profit target. Then they can move the stop up a bit to their entry point to get a breakeven point.
- If you look through your daily charts and there aren't any support or resistance levels that are obvious, you should close up the trade.

You will be surprised at how many of your trades can work with this method, and if it is done properly, it will alert you to the best time to enter and exit the market. You may need to practice creating these lines when you start, but after that, it gets easier and it will help you to make profitable trades.

Chapter 12: Day Trading Strategy 6 – Opening Range Breakout

Now it is time to look at another popular trading strategy that you can work with, known as the opening range breakout. This strategy is a good one for beginners because it can signal a point for entry, but you will find it doesn't tell you where you should target your profit. You can pick out the profit you want to reach based on other strategies that are in this guidebook. The opening range breakout is just to be used as an entry signal, but if you use the rules for trading, then you need to come up with your own exit point as well.

To work with the opening range breakout, you should pay attention to what is going on in the market. When you look at the charts during this time, you will notice that the Stocks in Play go through a violent price action. Buyers and sellers are flooding the market right when it opens and the first five minutes can be a crazy time. New investors and traders will also choose to get into the market right when it opens for the day.

Some investors will look at this time and notice that their chosen position went down through the night. They may panic if they don't realize what is going on and sell off their stocks. There are plenty of new investors who come in and see that the stock is at a low price. They will jump onto that stock before the price of that stock goes back up. Both of these movements are important because they are going to determine the stock's price and where it will go during that day.

As a day investor who will not hold onto their position for more than a day, you will want to wait out the beginning of the markets open. Wait at least five minutes before you choose which stock to invest in. When all those sellers or buyers enter the market, it is hard to determine who is going to become the winner in the market. You don't want to guess wrong during this crazy time and it is best to wait at least a few minutes to make sure you can see the solid trends in the market before investing.

Once this opening period is over, the trader can work on the plan they want to use for trading. For this strategy, you want to do a plan that is based on

either half an hour to an hour breakout. There are some that like to work with a smaller time frame such as fifteen minutes. The longer the time frame that you choose to work on with this strategy, the less volatility so often this is easier for a beginner to use.

Like with many of the other setups that we have talked about in this guidebook, the opening range breakout strategy is going to work the best with either mid-cap or large stocks or ones that won't go through huge and unpredictable price swings while you hold onto them. You also want to make sure that you don't go into this type of strategy with some low float stocks. Pick out a stock that has the ability to trade inside a range smaller than the ATR, or the Average True Range.

Working with the opening range breakout strategy, there are a few steps that you will need to follow. These steps include:

- After you have had some time to create your watchlist in the morning, you should wait until the stock market has time to settle down, so wait about five minutes. During this time, watch the price action and the opening range. You can also check out how many shares are traded during that time and then figure out from that information if the stock is going down or up. This time is when a ton of orders go through the market and you want to look at these numbers to see how liquid a stock actually is.
- During this time, you can also look through to see what the ATR of that stock is. You want the opening range to be smaller compared to the ATR so make sure the ATR number is nearby.
- Once those first five minutes of the market opening are finished, you may see that the stock will stay in that opening range a bit longer depending on what traders and investors want to do. However, if you see at this time that the stock is breaking out of this range, it is time to enter the trade. Enter the trade going the same direction of the breakout. If you can, go long if you see the breakout is going up, but go short if the breakout is going down.
- Pick out a good target for your profit as well. You can find this by looking at the daily levels from the previous day and identify where

the stock is before the market opens. You can also look at the previous days' close, along with the moving averages, to come up with a good target.

- If you can't find the right technical level for your chosen target or for the exit, you can choose to go long and then look for signs of weakness. On the other hand, if you want to take a short position, and then the stock goes high, this shows you the stock is strong and you want to cover the position as much as you can.

This method is going to work when you are doing the opening range and can work with any time frame that you want such as fifteen minutes or half an hour, but the steps above are for a five-minute trade. You will have to watch the market and find out what is the best opening range breakout depending on the market you are working with.

The opening range breakout is one that works well and can help ensure that you won't be fooled by any changes that occur right when the market opens that morning. But you do get the option to use it to look at how the market is doing for the day. Just make sure that when you do the opening range breakout, you don't trade during the first five to ten minutes or you may be caught in the wrong side of things.

The beginning of the market can be really volatile and it just isn't a good idea to jump on during this time. But after the opening of the market is done, you will be able to move into the market and utilize the breakouts that occur after it is done.

Chapter 13: Day Trading Strategy 7 – Red to Green Trading

While all of the different strategies that we have talked about in this guidebook can be great options to help you do well with day trading, as long as you do them properly, another option that you can choose to work with is the red to green option. The red to green trading strategy is going to rely on information that you can gather from the close on the previous day to let you know where the stock is going to go today. You can then make informed decisions to help you trade in the market.

While you look at this historical information, look at the current price of the stock. If the current price of the stock is higher than what you saw on the previous day, the market is moving up, going from a green day to a red day. This means that the percentage your price has changed is going to be negative. In most platforms, this negative number is going to be shown as red. This is known as a green to red move.

You can also see things go the other way as well. If you see that the price of the stock is lower than what is on the graphs on the previous day, this shows how the market is moving from a red day over to a green day. This means that the price change percentage is going to be positive for this trade. This positive change is going to be shown as green on most of the platforms that you use. This is an example of a red to green move.

The strategy that you use for this one is going to be the same whether you are moving from green to red or from red to green, except for the direction that your trade is going in, or whether you are doing a short position or a long position for it. To keep things simple for this strategy, we are going to stick with one of these and you can just follow the same rules depending on which type of market you are moving in.

We are going to start with the red to green strategy. To do this kind of trading strategy, you will need to follow these steps:

- When you start out the day and you are creating a new watchlist, you will need to pull up information about the previous day. Look

specifically at the close checking out what the price action was at that time.

- If you see these charts and notice that the stock is moving to where it was the previous day at the close with a high volume, you will want to go along with this strategy. You will want to use the profit target that occurred on the close of the previous day.
- The stop loss that you are going to use for the red to green strategy should be as near your technical level as possible. This means that if you purchase near the VWAP, the stop loss needs to end up where the VWAP has a break. If you want to purchase near a support level or the moving average, then you can place the stop loss either near that moving average or near the break in your chosen support level.
- It is a good idea to sell at the profit target. If the price ends up moving in your favor, it is time to consider bringing the stop loss up the break-even point and then make sure to not let this price go against you. When you are done with that, the red to green move should start working right away.

You will be able to use an approach in a similar way if you want to work on the green to red strategy because they work pretty much the same way.

Chapter 14: Day Trading Strategy 8 – Working with Either a Fundamental Analysis or a Technical Analysis to Form the Basis of Your Trades

Two of the basic strategy ideas that are found in many forms of stock market investing are fundamental analysis and technical analysis. In fact, many of the strategies that we have already talked about in this guidebook have touched on these two important topics especially the technical analysis. But how can you use these ideas to help you pick out the right stocks to purchase and make a profit from in day trading? This chapter is going to spend some time looking at the differences in a fundamental analysis and a technical analysis and the benefits of using each one.

How to Use Fundamental Analysis in Your Day Trading Activities

The fundamental analysis is a bit different compared to what to some of the other strategies that we find in this guidebook. While most of the other strategies ask you to take a look at the graphs around a stock and then determine when you want to invest and when you want to get out of the market, the fundamental analysis is going to look more at the company that is behind the stock, and how that company is doing.

The fundamental analysis is often going to look at a variety of factors behind the stock and factors that may not influence the price right now but could in the future. It looks to see who is running the business, what changes they are planning to make in the future if there is any change in the management, the debt to profit ratio of the company and more. It basically looks to see how financially secure the company is, something that isn't necessarily going to show up in the stock charts you look at.

Often, this fundamental analysis is going to be saved for long-term investing, something that you don't see much with day traders. It takes into account how the price of the company will go into the future when compared to where it is now, but these changes are often going to occur over weeks, months, or even years. Day trading takes place in one day. Because of this, most day traders will not use this information to help them make decisions about which stocks to trade in.

As a day trader, you probably won't spend a lot of time working on fundamental research. You could probably guess this by all the other strategies that we have in this book. Sure, most traders know that a demand in ethanol is going to make a difference in the price of corn during a particular time period. But day traders want to focus more on what the price is going to do right now compared to where it was a few minutes ago.

They aren't really that interested in what the price will do past that time period. How a farm bill, if it is passed, will affect the price of ethanol in the future is not really something that a day trader cares that much about.

However, having some knowledge about the fundamentals of a particular stock, or the basic factors that are going to affect how the supply and the demand of a security are going to do in all markets, can really help a day trader respond to various news events that they hear in the day. In addition, some day traders choose to switch their strategy a bit on occasion and go over to the swing trading strategy because they find that it will provide them more profits during that particular trade.

But knowing too much information about a company can be a challenge when it comes to a day trader. They don't need to know who runs the company, about big management changes, how the finances are doing, or any of that. In fact, many day traders can enter and exit the market without finding out about any of this information at all. Outside of little news releases and how that information will affect the stock and the market over the next few hours, they don't need the fundamental analysis that much, which is why you won't see it much in the day trading strategies.

Knowing a little bit about the fundamentals about a company can help in some cases but often it can slow down your day trading process. If you plan to trade daily in one or two particular stocks because they seem to follow the strategy you are going with, take some time to learn a few of these fundamentals. This will help you to notice when trends are changing and can keep you on the lookout for any big news events that can get you ahead of the game. Otherwise, it is probably not really worth your time to look at the fundamental analysis as a day trader.

Working with the Technical Analysis as a Day Trader

The technical analysis is going to work slightly different than what you find with the fundamental analysis. The fundamental analysis is going to look at the financial statements and more of a company to determine what the fair value of the business is, compared to what it is selling for on the stock market. With a technical analysis, the trader is going to assume that the price of the company's stock is already reflecting its value and then will keep its focus on statistical analysis of price movements.

A technical analysis is sometimes seen as complicated, but it basically has you look at graphs and determine the best time to enter into the market with your day trading. You can look at a lot of the different strategies that we showed in this guidebook and see a lot of options on how to do a technical analysis.

The technical analysis is going to be a method of evaluating stocks. It is going to use a statistical analysis of the activity in the market such as volume and price. The trader who uses this is not going to attempt to measure the intrinsic value of a security. Instead, they will use a variety of tools and other charts in order to find patterns they can use for their own investment decisions. There are actually quite a few different types of technical analysis. Some are going to rely on patterns that are found in a chart, others are going to use technical oscillators and indicators. Most traders are going to use some combination of these techniques. In any case, you would use historical price and volume data to help make decisions which are not seen with a fundamental analysis.

There are three assumptions that come with a technical analysis. These assumptions include:

- History is often going to repeat itself.
- The price tends to move in a trend.
- The market is going to discount everything.

Before we move on here, realize there are a lot of different options when you do a technical analysis. You can get things like chart patterns or a statistical indicator. With all of the strategies that we talked about earlier, you can look and see that a technical analysis takes many different forms.

The Market Is Going to Discount out Everything

Many experts are going to criticize this kind of analysis because it is only going to consider the movements in price while completely ignoring all of the fundamental factors that should be behind these decisions. But if you are a day trader who just wants to take advantage of some of the price movements that happen in the market, then this is not a bad thing.

As a technical analyst, you go into the market believing that everything from the fundamentals of a company to broad market factors and even the market psychology of the company is already going to be shown in the price of the stock. This is an important factor because it explains why a technical analyst is not going to concern themselves with the fundamental factors before they make decisions for investing. They assume that it is all tied together and then reflected in the price that the charts show.

Since all of this information is shown inside the current market price of the security, the only thing that is left for a trader is to analyze the price movements. These movements are not so much related to the company at that time but more related to the supply and the demand for that stock in the market at that time. If the day trader can estimate the supply and demand right at certain points during the day, they can translate that into some good profits.

Prices Tend to Move in a Trend

As a technical analysis, you are going to learn that the price for a stock is going to move in some kind of trend. This is sometimes a short-term, mid-term, or long-term trend. This means that the price of a stock is more likely to continue a past trend rather than move around erratically. It will only get off this trend if some big event happens that pushes it there which is why many day traders keep an eye on the news during their trades. Most

technical trading strategies are based on the assumption that the price will move in a trend.

History Is Often Going to Repeat Itself

Those who decide to work with the technical analysis are going to believe that history will repeat itself even when it comes to the stock market. The repetitive nature of these movements in price will be attributed to market psychology. These trends are very predictable and can be followed, and they will be based on the emotions of other traders, including emotions like excitement or fear.

A technical analysis is going to use some chart patterns to help them predict and analyze these emotions, as well as the movements in the market that come from these emotions, in order to understand the trends seen on the chart. While there are many forms of this technical analysis that have been used for more than 100 years, they are relevant because they show how these patterns in price movements will repeat themselves over and over again.

If you believe that the movement of price is going to keep up with the same trends that it did throughout history, then you can use this information to help you make informed decisions to help you reach the right investment options. This may take a little bit of time to accomplish, but with some research and some notes, you can use that same information to help you make smart decisions for your investments for a long time to come.

The Bottom Line

As an investor, you can easily work with either of these types of analysis. But while long-term investments can come up with some options that work great under either of these options, most day traders will just stick with the technical analysis, mainly because they don't care about the long-term implications of the stock and the information from this analysis is enough for their type of trading. Most of the strategies that come with day trading will rely on these technical analyses, and you basically just look at the charts surrounding the stock and make informed decisions based on that information. There are different ways to do this, you simply need to explore some of the other day trading strategies and pick the one that works best for you.

Chapter 15: Other Strategies to Consider with Day Trading

The other strategies that we have talked about for day trading are great options for a beginner. And many times, there will be one of the strategies that you choose to go with. As long as you use the strategy in the proper manner, and you stick with it for you're the entirety of your trade, you can see success with it. However, you may find that you don't like one option or the market is not doing what you want, so you are ready to change things up a little bit. Let's take some time to look at some of the other strategies that you can consider when you want to get into day trading.

Gap Up, Inside Bar, Breakout Strategy

The first strategy we are going to work on is the gap up, inside the bar, breakout strategy. This trading signal is going to start when you look at some of your charts and you see there is a gap up. Then, if the second or the third ten-minute bar develops and it becomes an inside bar, then this is the perfect setup that you need to make this strategy work for you.

Some traders will do this option but change it up a bit. They will work with some stocks that have a partial gap up, rather than the full gap. But traders only want to do this if they are listed high on the gainer's list. When we are looking for this partial gap, rather than a full gap we are talking about our setup having a gap that is higher than where it ended up at the previous days close. In addition, this gap still needs to come in lower than the previous days' high. This can provide you with some good signals that the stock is the right one but it ensures that you have more options to work with from the beginning compared to working with the full gap.

When you are working with this strategy, you want to keep the charts to a minimum time frame. For example, you may only want to go with one or two of these ten-minute bars before you start with your inside bar. Beware though, if you see that there are more than these two ten-minute bars, it means that the price has had way too much movement at this point and you should avoid this option because it isn't the most effective setup.

As soon as you have the right inside bar, without too much volatility going on in the market, it is time to purchase your stop. Make sure that this stop is right about the high you see in your bar. The trigger is the breakout that is above your inside bar.

At this point, you may have to wait for a little bit. You want to find the right trade signal that will make you go long. Then, if you have already put the right stop in place, it is time for you to think about some logistics such as where and when you want to exit this trade. You need to put the stop in the right place because if it is hit, you will want to cut your losses and get out of the market before trying out some new trade.

Gap Up, Attempt to Fill, Breakout

We can also use the gap up idea to work on the next strategy. This one is pretty simple to work with and it can rely on the common sense of the trader to make it work. As the name sounds, you will look for a stock that has a new gap up, and that is then trying to get this gap filled. Whether the stock is actually able to fill up this gap to the previous days high or not isn't going to be as important with this strategy. The important thing with this particular strategy is that the market needs to look like it is trying to fill up that gap. Even if it doesn't succeed, it should at least try, or this is not the right stock.

For this process to work, you must look at the chart and see that the price dips down below the first ten-minute bar you set. You do not want to see the first bar being the one that fills in the gap, or you can't use this method and see success. A small and gradual attempt to fill this gap after the first bar can work because it shows that the price will head in the right direction, but it won't do it too quickly.

When you see that after these few steps the stock starts to gap up a bit and then the market continues to try and close that gap, it means that you will be able to find quite a few traders who are trading short. And these traders will look at the market and assume that the stock is going to finish its downward trend. They will either sell off to not lose money, or they will trade with the assumption that the stock goes down.

When the stock does turn around and with the pattern we are looking at, it will go back up and these traders will be in a bad position. They may have lost any gains that they earned in the process and they will need to decide whether the stop they picked out, in the beginning, can actually make them some money or not.

From here, the pattern is going to continue and you will notice the breakout. This breakout is going to be very fast paced and it can occur at a volume that is higher than normal. The traders that went short in this situation will feel squeezed without the stop. Some of these traders will decide that it is

best to get back into the market here using the long position instead of the short position.

This helps to increase the breakout even more than before. You can get in on the low part of the trend, when the price of the stocks is lower, and then sell once that breakout occurs and everyone is trying to get back in. If you can read the charts and know that the trend is not going to continue down but will end with a breakout that goes upwards, you can get on at the right time and see some profits in the process.

The Gap Up, Afternoon Breakout (Also Known as the Gainer)

Depending on the market you enter when you are ready to trade, another simple option that you can choose for your trading is known as the gap up, afternoon breakout. Just like with the other few strategies that we have discussed in this guidebook, you are going to use your scanner to help you find the gap. The difference here is that you are not going to do this right when the market opens, like what you would do with the other options. Instead, you are going to search around for these gaps in the late morning or early in the afternoon.

During your scan for this one, you want to search around for some simple patterns. In specific, you want to look for consolidating and basing patterns. You want to look at the charts and see that there is a big and strong rise in the price that occurred throughout the whole morning. Then, you want to look at the later morning, or even in the early afternoon, and see that the price has settled down a bit to be less volatile than before.

Often when you are looking at the stocks that did well in the morning with their performance because they have a higher than average volume are the ones that will often make a high that is a bit more than average. Then these stocks are going to settle down a bit and relax. At the time period when you should trade, these stocks will look pretty steady and like they aren't heading up or down. If you see this, then you know that is the stock you want to trade here. Once you see that stock inching back up to its resistance point, then it is time to put in a buy stop order and then wait for the breakout that will come soon.

While this is a simple method to work with and can be a great way for a beginner to start, there are a few drawbacks with it because there are a few stocks that won't be able to make it to the right starting points. You can always leave the stock and take the loss if it doesn't move. But there are some stocks that will do really well with this and will explode quickly. If you jump on at the right time, you can make a ton of money with this.

The Fibonacci Retracement Pattern

Some of the other strategies that we have discussed in this chapter are a bit shorter in time frame compared to some of the others. This one is going to be used on a thirty-minute chart. On this chart, you want to look for a stock that reached higher highs compared to what it did on the two days before. You want to have a 15 SMA cross above the 35 SMA on that day. The main thing that you want to look for when using this idea is to find a price that can give you a retracement back to both the 28 and the 68 percent the next morning. You will see that this happens when you look through your 30-minute chart and you see that there is either an inverted M or U pattern.

Once you see that this price is moving back over to the retracement level on the following morning, then you can look to see that the price is forming on a rising bar looking at the MACD histogram. Remember that you do not need to get the numbers at perfect levels but you will need to stay near that 62 and 38 percent as much as possible. The main thing here is that you want to see a good retracement with the movement back to where that first impulse showed up. Once you are able to find this setup on the chart, you will notice that it is time to see a breakout trigger on the ten-minute chart.

Once you see that this happens, you need to switch over and start looking at the ten-minute chart. This chart is going to show you the right information. You will wait for the breakout of the high that was on your thirty-minute bar. When you see this happen, enter into the market and then you can wait for that breakout to occur so you can make a profit.

Gap Down, Fill Gap, Inside Bar, Breakout

There are some traders who feel that it is a bad idea for you to enter the market with a stock that is gapped down. If you look at the stock and see that it meets some other criteria, you can find that a short squeeze action is the best way to help send these stocks up for that day which will result in you earning a profit as well.

This is an easier option that you may think in the beginning. You will need to use some of the ten-minute charts in the beginning. If you are looking at these charts and notice that there is a down gap that is filling up, and then there are some second and third ten-minute bars that form as the inside bar, then you are in the perfect setup to make this strategy work.

When you see this happen, you will need to place the buy stop above the high for this new inside bar. The trigger that will tell you to make a purchase is when you see that a breakout is going to occur above the high for that bar that is on the inside. You can then place the stop order so that it is low of the inside bar. You can also choose to do another area if you find that it is lower than the bar to increase your profits.

Other Methods That Can Help with Day Trading for a Beginner

This guidebook has spent some time talking about the different day trading strategies that you can use when it comes to doing this trading strategy. All of these have provided professional traders with success and some good profits, but you need to know which one to use and work on learning exactly how to do it. If you know how to use the strategy properly and you learn how to keep with it throughout the whole trade, then you can make any of them work for you.

There are also a few other popular trading strategies that you can work with that will make it easier for you to earn money in the stock market with day trading. Some of the best trading strategies that you can use and that work well for a beginner include:

- News trading.

News trading is a great option to go with because you will listen for some big news events and watch out for new trends that can form before others find out about them. If you know that a company is about to release a big announcement soon, you can easily get onto the stock, purchase it when the price is low, and later that day, when the announcement is out, you can sell the stock for a higher price when everyone else jumps on. You need to be able to read hints in the market to make this work. If you jump on after the news is released, you will be too late and won't make much of a profit.

- Range trading.

This is a good strategy to use for those traders who have a lot of time and patience to help them get the right research done. With this trading strategy, you may need to spend some time following a stock, learning the range for lows and highs for that stock throughout time. You can then pick out the best time to trade based on these highs and lows.

- Pairs trading.

For this one to work, you need to make sure that you are trading in pairs. You want to first work on picking a category that you want to trade in and then you will go short on the stock that you see as well. You would do the second trade as well, going long on a trade that you consider strong. When you do these two trades at the same time, it is much easier for you to make some profits in the process.

- Contrarian trading.

We spent some time earlier in this guidebook talking about one of the strategies where you are going to follow the actions that the market is taking. If you see that the overall market is going up, you would make a purchase. But if you see that the market is going down, you would sell the stocks. This strategy is going to work a bit different. You will look at the trends that come with the market and then trade against them. When you see that the market is starting to go up, you sell the stock. And when the market is heading down, you will make a purchase. This can be hard to work with as a day trader because it is the opposite of what they are used to working with. But if you do it properly, it can be a good way to make money.

- Chart patterns.

The chart pattern is a great option to work with when you are trying to earn profits in day trading. It often helps out when finding the right entry and exit points on an investment. If you use these charts and use some technical indicators such as the relative strength index, the rate of change, or the commodity channel index, you will be able to figure out the best times to enter and exit a trade. You can pick out the chart pattern that makes the most sense for you. Just put the right information into your chart and then make decisions from there.

- Technical indicators.

If you like to have a lot of information before you make your decisions with day trading, then technical indicators will be the best option for you. These technical indicators will be important to the day traders because they can

help show trends in the market that may be hard to see on their own. Looking at these indicators and making sure that you can interpret them the proper way will ensure that you can make a profit.

As you can see, there are a lot of different trading strategies. Many traders have worked over the years to create strategies that can help them to earn a profit with their stocks, and with all of the different types of stocks that are available, you are sure to find one that will work with the strategy that you would prefer. As a beginner, it is up to you to learn some more about these strategies and then pick out the one that you would like to use. With the right strategy and the right stock, you will be able to earn a good profit in no time with day trading.

Chapter 16: Steps to Complete a Successful Trade

Now that this guidebook has taken some time to discuss a lot of the great trading strategies that you can use to see success with day trading, we are going to put it all together to help you come up with the steps you need to take to really get your trade off the ground. You will have to do a bit of the work here such as setting up the account and picking out the strategy that you want to work with but this chapter can be your checklist to help you out when you are ready to perform the actual trade. Let's take a look at the steps that you should take in order to do a successful trade in day trading.

Building up Your Watch List

The first step when you are ready to get started in day trading is to do some research. When you first wake up in the morning, look over your notes and your research and then use that information to create a good watchlist. This watchlist can be important because it can limit you down to just a few options that you plan to use for trading on that day. There are thousands of stocks on the market and making this watchlist will make it so much easier for you to pick the right stocks to invest in.

There are different methods you can use to create this watchlist. But one of the best options is to use a scanner. These scanners can look for specific criteria that you want out of a stock and can make things faster than trying to look through them all on your own. To make the scanner work, you just need to list out the requirements that you want the stock to meet and then the scanner will alert you as soon as it finds one that meets these.

You do need to take this a step further. When you see a few stocks show up on the scanner, make sure to check them out personally rather than just investing in the first ones that show up. When you look through the results on the scanner, you will quickly see that a few are worth your time and you may invest in them, but there will be plenty that is not worth your time and you can skip over these.

Decide Which of These Stocks Work Best for You

After the scanner has given you a few options for stocks that meet your requirements, you can decide which of these are the best stocks. You may have a specific strategy that you would like to go with and then choose the stock that seems to be following that strategy the best. You can always change strategies from one day to the next, or you can choose to stick with one strategy if it is serving your purpose.

As we discussed in some of our strategies before, make sure that you do not trade in the market for at least the first five minutes after the market opens. Some professionals wait even longer than these five minutes for the market to settle down.

There can be a ton of commotion and crazy ups and downs in the market during those first few minutes and investing at this time can hurt your profits. If you spend time looking at your scanner and then investigating the stocks that you receive, it will probably be at least five or more minutes before you are ready to enter the market anyway, but it is still important to be aware of this volatility and learn how to avoid it.

Put That Entry and Exit Strategy in Place

Now that you have a few stocks that are ready to go, you're probably excited to get into the market and start doing your trading. Before you make that purchase, you need to finish up your strategies. This isn't just the overall strategy but also the enter and the exit strategy so you know how to get into and out of the market at the right times.

The first strategy you should work with here is your entry strategy. This is the place where you are comfortable and will purchase your stock. Your aim is to get this entry point as low as you can so that you don't spend too much money and to increase your profits later on. When you look through the charts for that stock, you should be able to figure out a safe entry point that will provide you with a reasonable price on that stock.

You also need to come up with an exit strategy. It is important to have a stop for losing money and one for earning money. First, let's look at the stop for losing money. There are times when the strategies that you pick or the decisions that you make are not going to turn out how you wanted and the stock may start to lose money. The point of this stop is to ensure that you can control how much money you will lose in the process. Once the stock ends up reaching this number, you will withdraw from the market, no matter what the stock does later on.

Without this stop, you could end up with a little bit of trouble. Many new traders see that the stock is going down, and they keep riding it out. They hope that the market will turn around. Sometimes the market will turn around, but then there are times when the market will stay low or keep going down. And without a stop, you could be without a whole bunch of money. Depending on how far the market goes, you may not be able to cover the losses either. It is much better to have that stop in place and then exit the market at a comfortable loss rather than letting things get out of hand. You can always get back into the market later on if things begin to improve.

After you pick out the stop loss, it is time to get your profit stop in place. This is one that a lot of beginners are going to skip because they assume that it is best to just ride out the market until they stop making profits. But day trading finds that the market is going to do a lot of ups and downs, even in markets that are pretty stable. You want to have a profit stop so that you can get out of the market before the prices go down and you are not able to earn any profits at all. Yes, it's possible that the market will have a big breakout and you are going to miss out on some potential profits, but it's just as possible that the market could tank as well and you would lose your profits.

Purchase the Stocks You Want

After you created your watchlist and came up with your enter and exit strategies to keep you safe, it is time to actually go into the market and make your purchase. You will want to have all the criteria in place for that stock before doing this. But if you are working with a strategy, that is going to outline the criteria for you, so just follow that.

If you plan to work with your broker when doing day trading, you would just give them your order to get the trade started. The order is going to include a ton of information that can help the broker do everything that you want. This would include information on which stocks, in particular, you want to purchase, how many shares of each you want to purchase, how much you will spend on these stocks, when you want to enter the market, and when you want to exit the market. The broker is then able to take that information and place the order for you in the system.

There is also the option for you to do all of the work on your own. This is fine to do but most beginner traders are not going to pick this option because they worry about messing things up or doing something wrong. Make sure that if you are doing this choice that you work with a good platform that can get the work done quickly for you. If the platform ends up being really slow, or there are some mistakes done on your side, it could really ruin your trade.

Pay Attention to the Market Until the Trade Is Closed

You will quickly find that day trading has some differences compared to other stock trading options. Many other options are longer-term; you purchase the stock and then ride out the market, hoping that your choice will go up over some time. But with day trading, you are only letting the trade occur in one day. The purchase of the stock, as well as the sale of it, all need to happen sometime between open and close of the same day.

This does make day trading a riskier option to work with compared to some of the other stock trading options. This means that you need to really want the market and make some quick decisions on when to buy and sell your stocks. If you don't watch the market, then how are you going to be able to make these quick changes when needed?

Day trading is unique as it takes advantage of the little ups and downs in the value of a stock during the day. If you look at the long-term charts of a stock, you will notice that it stays pretty steady. There may have been a few news announcements or a few other things that come up on the charts that change the trend, but overall, the stock will probably go upwards. But if you look at a week or even a day of historical value on the stock, you will see a lot of little ups and downs. None of them are that big, but they are there. Day trading is attempting to capitalize on these.

As a day trader, you get to focus on watching these ups and downs that occur during the day. This can make it easier to know when you should purchase a stock in the first place and then it helps you to figure out when you can sell the stocks to make the biggest profits, or to keep your losses to a minimum.

Once you enter into a trade, you need to pay attention to the market and there may be times when the market changes quickly and you will need to make some quick changes to your position, or close it out, to help you earn more profits or keep the losses down as much as possible. Day trading is not one of those methods where you can place the order and then walk

away. If you don't have the time to sit and closely watch the market, make sure to not place an order until you have more time.

Sell Your Stocks When They Reach Your Original Exit Points

Remember how we sent some exit strategies earlier? This is when they are going to come into play. These numbers are important to the day trading because they take some of the risks that come with day trading and will limit how much money you will lose if the market doesn't go the way you would like to. Regardless of how the market goes, you want to stick with your exit and entry points. The second you ignore them, you have let the emotions play into the mix, and you are not going to win as much as you think.

It is a good idea to listen to your exit point not only when the market is going down but also when the market is going up. Some people understand why they should follow the exit strategy when the market is going down and they do not want to end up losing too much money in the market. It is a bit harder on them when the market is going up. They may have placed a stop for how much profit they wanted to make, but then they see the market still goes up and they do not want to get out at that time.

While it may be hard, make sure that you are listening to your exit strategy, even when the market is going up. Sure, the market may go past that point, but then it may hit a sharp downturn and you could lose all of that profit. This is another method in place to ensure that your investment stays safe. If the market continues to do well and keeps going up, you will be able to jump back in later on.

Take Some Time to Reflect on That Trade and Write Down Some of the Information as Research Later

As a beginner in the day trading world, there are a lot of things to learn about the market. This is even truer if you have never invested in the past. As a trader, it is your job to learn as you go and make some changes if it is needed. But when you are learning a lot of strategies and keeping track of a large number of trades that are done in day trading, it can be hard to remember everything over time.

Getting a journal and writing down some of your mistakes, your tips, and more after each trade can make a difference. You don't have to write down a lot of information unless you want to. Just have a few lines or a paragraph. This may seem like it wastes your time. But if you ever get stuck on a trade later on, or if you are trying to figure out why you are in a slump and not getting the profits that you want, looking back through this information can make a big difference in how things go in the future.

Startup Your Second (And Third and Fourth and So on) Trade

Day trading moves very fast. It is likely that your first trade can be done in a few minutes, though as a beginner it will probably take a little bit longer to finish. If there is still time left in the day when you finish up that first trade, then go through these steps again and complete the next trade. Day traders earn a big profit simply by doing a bunch of little trades.

The more of these successful trades that you can get into one day, the more profit you will make. Just make sure that you are following the same steps that we talked about above and take the same precautions that you did with your first trade. If there is not enough time during the day, or you worry that you will rush yourself if you try to do another trade, it is fine to take a break and resume the next day.

There are times when you are going to get into the day trading market and you will make a bad trade in the morning. It may not have gone your way, you may have tried to switch your strategy part way through, or maybe you let your emotions get in the way. If the trade was really bad and you feel upset about it, then it is best to just call it good and take a step away from the market for the rest of the day.

As a beginner, this is especially important as you get your bearings. These losses can hurt a professional investor, much less a beginner, and if you stay in, you may resort to revenge trading, which basically leads to a downward spiral that can cost you way more money than just taking a break. Yes, you may want to earn more profit or get more experience in the market. But taking a break can give you time to get your head back in the game and will give you the renewed confidence to do better in the morning.

Getting started with your day trading adventure can be an exciting time. As long as you follow the rules, learn to read the market and you pick out a good strategy, you can make money with this investment choice! It is hard and very fast paced, but it is also a very rewarding form of investing that many people enjoy working with.

Conclusion

Thank you for making it through to the end of *Day Trading*. Let's hope it was informative and able to provide you with all of the tools you need to achieve your goals whatever they may be.

The next step is to take a look at the market at the time you read this guidebook and decide the best strategy to use. There are a lot of different strategies that you can work with, whether you are a beginner in day trading or not and the one that you choose can often help you pick out which stocks you want to invest in, as well as the enter and exit points of your trade. This guidebook will provide you with the information that you need to start out in day trading and make a profit, even as a beginner.

There are many traders, especially those who are beginners, who worry about getting started in day trading. They think that this is a dangerous or risky method of trading and they may choose to go with something else. But for those who truly know how to read the market, and who are willing to choose the right strategy and stick with it, day trading can be a great way to enter the market and make some good profits in the process. This guidebook will give you the tools and information that you need to be successful as a beginner in day trading.

Whether you are just getting started exploring some of your investment options in the stock market, or you are seriously considering day trading as your chosen investment vehicle, take some time to read through this guidebook to learn more about day trading and how it can work for you.

Finally, if you found this book useful in any way, a review is always appreciated!

Day Trading Playbook

Intermediate Guide to the Best Intraday Strategies and Setups for Profiting
on Stocks, Options, Forex, and Cryptocurrencies Build Up a Remarkable
Passive Income in Weeks

By

David Reese

Introduction

Congratulations on downloading *Day Trading Playbook 2019* and thank you for doing so.

The following chapters will discuss everything that you need to know to get started with day trading and to see it turn into success. This guidebook is going to take it to the next level, moving out of the realm of the beginner and working with individuals who have been exploring the idea of day trading before, and who have maybe seen some success with some of their trades in the past. We will spend time looking at more advanced concepts and strategies that will help you to really see success and huge potential profits when you decide to work with day trading.

This guidebook is going to spend some time talking about more advanced strategies that work well. We will look at momentum trading, the pullback method of trading, and even selling short to name a few. We will also divide it up into some of the methods that you can use to help day trade with cryptocurrencies and the Forex market as well.

There are a lot of different investments opportunities that you can choose to go with, but day trading ensures that you are able to make some good money in a short amount of time. When you are ready to learn how to up your skills in day trading and really increase your profits with this investment strategy in no time, then make sure to check out this guidebook to get started with all the intermediate level strategies and skills that you need.

There are plenty of books on this subject on the market, thanks again for choosing this one! Every effort was made to ensure it is full of as much useful information as possible, please enjoy!

Chapter 1: Why Should I Day Trade?



When many of us think about trading, we will focus on the idea of long-term investments. Maybe we have some thoughts about how much money we are able to make on the dividends of a company if we hold onto the stocks for some time. And many people have some kind of retirement plan in place that allows us to prepare for the future, but we start it at a younger age and keep adding and letting it grow for many years.

When it comes to day trading, we won't just focus on the long-term trends of a stock or another security. Instead, day traders are going to focus on the daily fluctuations that occur in the market. Even securities that have an uptrend will be able to work with day trading because they all have daily fluctuations of going up and down.

Day traders tend to take advantage of these ups and downs in order to make as much income as possible. By purchasing the security when it is below its average or near a support, the investor is able to get it for a discount. Then, when the price of that security starts to go back up, at least to its moving

average or above, the security can be sold again, and the investor gets to walk away with a nice profit in the meantime.

The trick here is that all that work needs to be done in one day. Day traders must enter the trade and then sell that same security within the same day. Sometimes this will be quick, and they will do the whole thing in a few minutes. Sometimes it will take a few hours. And other days it may take all day. But no matter what, the trade needs to be completed and the position closed out before the end of the day.

There are a lot of different options that you can choose to work with when it comes to day trading. Most people choose to work with stocks because the stock market provides them with a lot of choices to go with and it's pretty easy to work with. But it is also possible to do some day trading with other types of securities such as options, cryptocurrency, futures, Forex, and so much more!

The Benefits of Day Trading

There are a lot of benefits to working with day trading. Everyone can profit from this kind of trading, as long as they are willing to take some time to look through the trends and all the charts and make some sound decisions. You also need to be willing to leave your emotions at the door. While day trading can be profitable and a lot of fun, many times it can be challenging and emotional as well, especially if a trade starts to go against what you were hoping to see.

Some of the benefits that you will be able to enjoy when you get started with day trading include:

- **Lots of stocks to choose from:** There are a ton of securities and stocks on the market that you can choose from. This provides you with plenty of opportunities to enter the market and provides you with some freedom when it comes to seeing results. And if you want to add in some variety to the trading, you can just pick out a different security to work with for that day.
- **Can work in almost any market:** You aren't restricted to just working with the stock market. Even though this is the most common place to work with trading, it isn't the only option that is available for you to choose from. You can do some day trading with the Forex market, futures, options, cryptocurrencies, and the stock market. You also get the benefit of being able to earn a good amount of income even if the market is in a downturn. There are always some securities, even when the rest of the market is struggling that will have ups and downs still, and you can profit from these as well.
- **Lots of strategies to work with:** Even though you will only stay in the market for a short amount of time with day trading, there are still a ton of strategies that you can choose to work with. And the neat thing is that each of these strategies allows you to work on different securities and different market conditions. With day trading, you can do well with your trading regardless of what the market may be doing from one day to the other.

- **Plenty of rewards:** One thing that a lot of people like about day trading is that it provides a huge potential for rewards. There are many day traders who are successful throughout the world and they use their experience and their research in order to earn some big returns on every trade. Even beginners can see some great results as long as they are willing to learn and pay attention to the market. The high rewards are some of the biggest reasons that so many people choose to get started with day trading.
- **Daily source of income:** Every day that you sit down at the computer and get to work is another day where you can bring in an income. Day trading provides you with the potential to earn an income from home each day, as long as you pick the right securities and the right strategies. When it comes to long-term trades, it can take months or more to make any significant amount of money. The fact that you are able to make a good income from home each day is another reason some people really love working with day trading.
- **Risk overnight:** With other forms of investing, you will hold onto your position overnight. There is always some risk to holding the position overnight because you never know when the price is going to drop and start out lower the next day, and there is nothing you can do to prevent this when you are asleep. Day trading is going to get rid of this risk because you will exit the trade the night before, and never have to worry about your position going down in value.

Should I Start Day Trading?

When you first get started with day trading, it can sometimes be a difficult task to start on. You need to know at least a little bit about the trading world, and you need to have a good idea about your tolerance for risk, enough capital on hand, and some realistic goals before you can get started with this as a viable career choice.

Many people have found success with day trading as a full-time income. They have been able to learn the market, and they have enough resources, capital, and time to work on it. Using this as a career choice is going to take up a lot of time and it will not happen overnight. You must take time to practice a few different strategies and perfect them, and you need to have enough money to start to handle some of those trades that may go south. If you can only fit this in on occasion when you have time, or you are hoping to trade with very little capital, then you will find that making this into a career choice is going to be almost impossible.

If you do read through the information there is about day trading and decide that the thrill and the challenge of it sound right for you, always remember that starting small is the best option. While successful day traders are going to handle hundreds of these trades a day at some points, as a beginner, you should focus on just a few stocks and then build up from there. Going all out, in the beginning, makes things complicated, and when too many plates are spinning, you may get confused and will suffer some losses.

And finally, you must be able to keep your cool in some stressful situations. Day trading is challenging, fun, and can always provide you with something new each day. With that said, if you don't watch out, you may run into some troubles with your emotions getting in the way and ruining your best chances at making some profits. You need to keep the emotions out of the game and stick with your trading plan, and you will find that it is much easier to see results and profits with your day trading journey.

Day trading can be an exciting endeavor to get started with. Many people like the idea that they can use this to earn money each day, and if they are

good at doing their research, keeping the emotions out of the game, and they can be realistic with their goals, they are going to see some amazing results with profits and a full-time passive income.

Chapter 2: Selling Short

Now that we have had a chance to review a bit about day trading and why it is such a great investment opportunity, it is time to look at some of the different strategies that you can use to make day trading successful for you. By this time, you may have already used a few different strategies and tried out day trading a little bit. But in this chapter, we are going to start out with one of the intermediate strategies that you can use to see some great results. And we are going to start with the selling short strategy.

Selling short is going to be the sale of some kind of security or another financial instrument a seller has borrowed in order to make a short sale. The seller thinks that the security they borrowed is going to decline in price, which means that it will be easier to purchase that security at a lower price later. The difference between what the security was sold short at, and the price that it was purchased at, is going to be either the loss or profit for the seller, depending on the numbers you have.

Anyone is able to short any instrument or any asset, including stocks, bonds, currencies, commodities, and hybrid securities. Any company that has some shares that they will trade on the market will usually have millions of shares that their stockholders will hold onto. These stockholders may include individual and institutional investors, employees, managers, and executives. However, all these people are going to have a common interest, and that is how they want the company to continue to succeed in the future. This is the way that they earn money on the stocks. The result of this is going to be that the shares appreciate over time and provides wealth to the shareholders.

Anyone is able to purchase the shares of a company as long as they have money to invest in it. Investing in stocks has long been a popular means of accumulating wealth. Many times, an investor is going to purchase shares of different companies and they will either trade them off quickly or hold onto them for a longer period of time. Buying shares are known as going long, and long is only going to refer to investors that buy stocks and don't

short them. For example, mutual funds would be going long without any short stocks.

These kinds of stocks are easily bought with cash or through another account known as a margin account. If the investor is able to pay cash, they will pay off the complete amount that the stock is worth. If they are working with the margin account, they will pay part of the amount before borrowing the rest from their broker, using the stock as their collateral. You would do short selling with a margin account if needed.

Investors are often going to go long when they have the hopes of seeing an increase in the price of the stocks. Traders will then go short when they hope the price of the stock will tumble. When they sell short, this allows them to sell a stock that they don't technically own. The reason that they can do this is that they borrow the stock from the brokers and then they will sell that stock at the current price of the market. The profits will then be credited to the margin account of the seller. And if they earn enough in profit, then they get to keep the rest. Then, in the future, the seller will be able to cover their short position by purchasing it and repaying the stock that was loaned back to the broker.

The difference that comes up between the sale and the purchase price will end up being the loss or the profit for the seller based on how much they were able to benefit from the sale.

This idea of short selling is often a topic that is greatly misunderstood in investing. Short sellers are often seen as callous individuals who will try to get a gain no matter what it costs. They are seen as people who don't care that much about the companies or individuals who may be destroyed in this process. However, the truth about these kinds of traders is quite a bit different. You will find that short sellers, when they are successful, will allow the market to function better because they will add more liquidity to the mix, and they will restrain any over-exuberance that occurs with the investors in the market.

Too much of this optimism can drive the stock market to really lofty levels when it is a peak time. The process of short selling is going to be a reality check that will keep the stocks from being raised to extraordinary heights during these times. Shorting is risky because it is geared to go against the trends in the market. And you will find that it can get riskier as the market starts to surge. This is why it is often reserved for traders who have some experience with the market and know more about what they are doing.

The idea and the process of short selling is something that most traders are not familiar with. Many people are used to doing the normal buy low, sell high when they invest. There are very few who know about the sell high and buy low. When you do short selling, it will allow you to profit from stocks that tend to drop in price. Basically, you are going to borrow shares from your broker to sell, and then you return those later on. If you are lucky and can read the market well and your trade works well, you can then purchase those shares at a lower price than what you sold them at.

Borrow and locate

When you are trying to short sell your stocks, you will end up borrowing the shares that you need to sell from your broker. This is because everybody who trades has a different reason why they want to play the market. A normal investor is sometimes going to purchase a stock and hold onto it for a year or more. They may not be worried about the various price fluctuations that occur during the day because they are looking to see an overall increase in the value of the share.

Then there may be another type of trader that thinks the same stock will drop during the day for that share. This trader may choose to borrow the shares from their broker. Then when the market opens, they will sell these shares, wait for the price to drop, purchase these reduced-price shares later, and then return them at the end of the day.

Of course, for this method to work, the broker first needs to have enough shares that you want to short. And the price actually needs to go down enough so that you can earn a profit from what you borrowed in the

morning. And if your broker doesn't have the number of shares that you need, it is still possible to get them. Your broker may then decide to borrow the shares from different sources. This is called a borrow. If the broker has to go and find these shares, you will need to pay an extra fee for the work, so make sure that you really know what you are doing and that you are certain the market will go down before you choose to go with this method.

Short Setups

As with any other type of trader, the short seller has to go out and find the setups that will let them make assumptions about the action of a particular stock. Short sellers aren't going to short a stock or choose to work with it because they think it is overvalued or because they think it comes from a bad company. They choose it because they think they can borrow it at a high price and sell it there, and then purchase it for a lower price later on during the day. Finding these short setups is critical to ensuring that you will be able to make an actual profit in the process.

Short squeeze

Short sellers are going to be in possession of some shares that they are borrowing and that they need to return. But what happens to them if the trade goes bad. If the market is bearish as a whole, but the stocks price is bullish, those doing a short are going to get trapped. When this is happening, this will be known as a short squeeze.

Shorts that get trapped will need to return any of the shares that they borrowed before the losses can accumulate. This can make up a really vicious cycle for all participants. When the seller does go through and return these borrowed shares, this will be covering the position. When the position is covered, the shares are bought and then returned, which will essentially raise the prices of the stock even more. Over time, this will cause other sellers to liquidate their shares. The short squeeze will make the price of the stock increase, even if there isn't really a justification for the increase.

Parabolic shorts

If you have a stock with a rapidly increasing price, this is going to be known as a parabolic move. These moves could sometimes be justified. But they will be overly exaggerated, and they won't show you the real value of the company. If you are working in day trading, you may have even looked at stocks that were running around 100 percent for a single day. This can help sellers who sell short because it provides you with an opportunity to take advantage of a price drop in the stock when it heads back to its realistic price. However, you must work well with timing in order to get the best trade.

Float rotation

The number of shares that you can trade with for a company will be the stock's float. These are the shares that are traded on a daily basis. The float rotation is going to occur when the float of the stock is traded so much that the hands that own these shares will change all the time. Is this something important to know? Yes, each time the stock changes hands, it is going to affect the selling and buying activity. Keeping track of this can help you know whether the market will move in your favor or not.

Margin and risks

You must remember that when you are working with the strategy of shorting sell stocks, you are just borrowing them for a bit, less than a day, from your broker. This is similar to the process of borrowing money and you should treat the process in the same manner. Another thing to remember is that there is a risk when you short sell.

Let's look at it this way, if you purchase the stock at \$10 a share, making a long trade, the maximum you would end up losing is \$10 a share if the price did head down to zero, which isn't likely. If you are short selling a stock at \$10 a share, you could lose \$20 a share if the price decides to go up to \$30, rather than getting down. This is why those who are interested in short selling need to be ready to handle any risk that comes up. Most traders, because they don't know how to handle the risks or don't know how to use

this method right, will end up owing the broker later on when the trade goes south.

If the trader does make the right assumptions and the stock goes down, they will then be able to purchase the shares and return them, making a good amount of profit in the process. If the price of the stock stays the same, you will still lose money though because there will be some interest charged by the broker based on the value of those shares.

If the price of those stocks goes up, the trader is going to lose money, both on the investment and the interest. The fees and the interest that your broker will charge will go back to the broker, rather than to the person who owns the stock. In fact, the owner of the stock never even knows that the shares they owned were loaned out.

Investors are going to be people who carefully research and want to keep their position for months, and even years. They will try to find companies that will help them to do this. This is what long-term investing is all about. Those who are working with the short side will spend hours doing some research to see whether a company will see a discount on the price of their stocks.

There are a few things to remember when working with short selling. First, you can't do this process if your brokerage doesn't have anything to borrow. If many people recently sold their stock, this means there may not be any, or at least not enough for you to borrow. If this ends up being the case, then you will have to pick another strategy or choose another stock.

In addition, the stock market is basically there to help the business that owns them make money. There are going to be some rules in place to ensure that the bias is upward in market. These rules will sometimes hurt a short seller, so you need to be careful.

The Rewards and Risks of Short Selling

While the idea behind short selling seems simple and makes sense, there are rewards and risks that come with using it. Some of the risks that are associated with short selling include:

1. A skewed risk to reward payoff: Short sells can carry a risk of infinite loss, while a maximum gain that can occur only if the value of the stock goes to zero is limited. A long position where the loss is based on the money invested and the possible profits boundless is usually a better choice to go with.
2. Shorting can be expensive: It is possible that your costs will go above the trading commissions when you deal with short selling. A large cost will show up when you borrow these shares, plus there will usually be a lot of interest with this method as well.
3. Going against the grain: Short sellers are going against the market and are hoping that the upward trend is going to reverse.
4. Time is so important: The timing of a short sell is going to be important. If you wait too long or do it too early, it can end up being a disaster to your trade.
5. Regulatory risks: Regulators can and do ban these short sells due to market conditions. This could trigger a spike in the market and for the seller to cover their position at a great loss. Stocks that are shorted greatly have risks to buying in and regulators will often try to stop this happening.
6. It requires a lot of discipline. The number of risks that come with this trading strategy and it is only going to work for the traders and investors who have the discipline to cut their losses when it is needed. Holding onto a short that is unprofitable in the hopes that it will come back isn't a very realistic strategy. This kind of strategy needs constant adherence and monitoring to stop losses.

Short selling is an advanced strategy that is going to work the best for investors and the traders who already know about the regulations and risks that are involved. A normal investor would do better with options or other

strategies to avoid the risk of guessing on the decline and getting it wrong. But once you learn how to use this strategy, you will find that short selling is a great weapon to have available and can potentially bring you in a lot of profits in the process.

Chapter 3: Moving Stocks

Day trading is a technique where an individual trader is able to purchase or sell stocks many times in the same day, in the hopes of taking advantage of the small changes that occur in the price of the stock through the day. Day trading can be done anywhere if you have the right resources and tools. Knowing as much about the day trading endeavor as possible can make a big difference as well. Let's take a look at some of the information that you should know in order to get started with day trading and to get more out of the strategies you choose, including the selling short we talked about earlier.

High Volatility and Liquidity

Liquidity is important because it is going to talk about how easy it is to obtain the stock and the amount the price of the stock is affected by the trading. It basically tells you how easy it will be to purchase and sell the stock at any given time. The more liquid your stock is, the easier it is to trade it. Liquid stocks are often going to be more discounted than other stocks, meaning that they are going to be available at a cheaper price.

For example, any equity that is offered by a corporation that has high market caps will be considered more liquid compared to the lower market caps of some corporations. This means that you will find it much easier to find sellers as well as buyers for these particular stocks.

Stocks that are considered more explosive can be useful when trading. This means that it is going to experience more variety in the cash flow. The market is able to anticipate this kind of change and it allows day traders to take advantage of the mispricing. Having some uncertainty in the market is what makes it so perfect for day trading.

Trade Volume

Another thing to consider with your stocks is the trade volume. The amount of a particular stock that is traded at a time will help to show how many times it is bought and sold in a particular trading period. For a day trader, we are only interested in the time period of one day.

Heavy volume shows that there is a lot of interest in the stock. It doesn't really matter if the effect of this, whether it is positive or negative. A surge in the volume of a particular stock could be due to a price movement that is about to happen. Day traders will rely on the TVI to see if it is safe to purchase stocks because it allows them a chance to see how much money is going into and out of a stock.

Criteria for Selecting Your Stocks

When you are ready to get started with the stock market and day trading, there are thousands of companies and stocks to choose from. And you can choose any of these that you would like. Because of this, it can be difficult to know which stock or security is going to be the best for day trading.

There are the same numbers of securities to choose as there are strategies to work with them. Some of the rules that you can consider when getting your securities picked out include the following:

- **Liquidity:** This is going to be one of the most important factors to consider when picking out your security. Liquid stocks mean that you will be able to easily buy and sell them when you are ready. Liquid stocks are going to trade on very large volumes compared to others, which means that the larger quantities can be bought as well as sold without changing their price.
- **Medium volatility:** You will usually want to have some volatility. Going with no volatility just means the security price stays steady and doesn't move at all, and this won't provide you the opportunities that are needed to day trade. But too much volatility and you increase your risks and make it hard to do well.
- **Group followers:** Many traders are going to look for stocks that will move in relation to the index group and sector. This means that when the sectors go up, the prices will head up as well. These are very reliable stocks and the moves they make will be predictable, which can help those who are getting started with day trading.

Picking Entry and Exit Strategies

Being able to identify stocks for day trading is just one of the steps that you can take to help get yourself started. You also need to know how to enter and exit your position to maximize your profits. You can pick out the best stock in the world, but whether or not you can see a profit from this is going to be more in how you time the trades and the strategy that you use. The entry and exit points that you pick will often vary depending on the strategy you use and other factors, but there are some guidelines that you can work with.

First, make sure that you trade with the current trend. The market is going to move in waves, and a successful ride means that you will need to go with the flow. You don't want to go against the trend. What this means with day trading is that during a bull run, you should look for the stocks that seem to have a lot of potential to rise, and then when a bear market shows up, look for stocks that will fall. Always watch the trends though because they will change on a regular basis, but you can usually get a few trades into each trend at least.

Finding the trend that you want to follow is sometimes hard. Trendlines are simple and can be a good strategy though. When you are ready to do a trade in real time, you can make the trendlines to see the trends in different degrees. The more lines you draw, the more signals you will have and the better insight you will get into the market.

You should consider selling your weak stocks in a downtrend and then sell the strong stocks in an uptrend. One way that you can pick out a good stock for day trading is to find ones that are moderately high related to the S&P 500, Dow, or Nasdaq indexes. Then you can isolate the ones that are strong or weak based on the index you choose to go with.

If you notice that the market is moving higher, then you should pick out stocks that are moving aggressively rather than a future. If a future were to pull back, you would find that this kind of stock isn't going to pull back at all or at least as much. You can then see the stock take on the market higher,

giving you more profit with a lower risk. A small pullback ends up with an even lower risk.

If an index starts to drop, then the short sell stocks will drop more. When an index starts to move up higher during the downtrend, weak stocks aren't going to see as quick of movements, and sometimes they won't move around at all. If you are working with the less risky weak stocks, make sure that you go with one that is in a short position so that you can get a bigger profit as the market falls.

The stocks that are considered stronger and weaker can change each day. There are certain areas that could be weak or strong for weeks on end. Make sure that you wait and look for the pullback. The trendlines are a visual guide where the prices in the market will stop or start. When you are picking out your stocks for day trading, you can use a trend line for entering into a new wave that is following the same direction as the trend.

For the long position trades, you should purchase the stock when the price starts to make its way down the trendline, and then it moves back up. This is similar to short selling while in a downtrend like we talked about before. Then, hold on and be patient here because you need to wait around until this value starts to move up on the downward slope. When it starts moving down, this is your signal to enter the market.

For those who can be patient, two long trades are going to provide you with a low-risk entry because the buy is made very close to the stop level. Depending on where you place it, this stop level could be just a few cents lower than the trendline, and then if there is any downward movement, you will pull out of the market.

Always gather the profits while you can. The exit strategy is just as important as the enter strategy because it tells you when it is time to take the profit or the losses and then get out. If you are earning a profit, it is best to get out before the market reverses and makes a correction, and this can be a very small window at times. Any time that you enter a trade and see

that it is profitable, take this profit right away before the trend has time to change.

Now, there are two main rules that you can follow to make some profits if you choose to trade with a trend. If you are doing an uptrend or a long position, you should take the profit either at, or just above, the first high price trend that shows up in the trends you set. If you are doing a downtrend or a short position, you should take the profit at, or just below, the first low price that shows up in the trend.

The market is only going to make double. If it gets much higher than this, there may be some problems that come in. You can also take profits at the same price. This method could be used for the downtrends. Then the profits should be taken a bit lower or at the prior low price. Never decide to play if you see the market stalling. Markets are going to trend all the time and stalling means you are losing money. Even with day trading, there are lots of trends that will reverse often, so getting a good direction is difficult. If you are looking at some charts and you don't see highs and lows showing up, then the movements aren't big enough to earn a profit and your risks are too high.

One thing that doesn't happen as often but is still important to watch out for is when the price is pretty much moving in a horizontal range. This is going to show that the entry and the exit points will be anything, and you can't do anything in this market. When you see this, don't trade, just look for another market or another day to trade.

Do some monitoring on a daily basis to find the stocks that move the most

One other thing that you should check out for is the stocks that will move a lot each day. Before you go to bed at night, make a list of the stocks that you would like to watch. This list can include a lot of different stocks, such as those that have the biggest percentage loss, the biggest gain, or the ones that were the most volatile during that day. You can even add in some volume criteria to help make sure the stocks will keep their volume for

everyday trading; preferably it is a minimum of 1 million shares. A screener or a scanner can help you to do this.

Monitor any stocks that are volatile

Volatile stocks are going to be your friend when it comes to day trading. You can pick out your stock by watching a few of them and see how it moves each day. You can monitor the ones that are the most volatile, the biggest gainers, and the biggest losers on the different trading sites out there. Many times, the various brokers, including your own broker and the different platforms, will provide you with this information.

Take special note if you see any major changes during the day. If one stock opens and it is then down ten percent while staying there, then there won't be much action happening with it. If the stock opens down ten percent, but then you notice it is moving either up or down, then it is time to consider trading it. Trading sites can provide you with a good list of the stocks that look like, or are currently, breaking out of the resistance levels or their chart patterns.

Trading on the stocks that are big movers

If you would like to make sure you are picking out the stocks that are the most guaranteed to move big each day, but you don't want to spend a ton of time researching each and every day, you can use a scanner to help you find volatile stocks and then use these to trade with. You will need to do a minimum of one scan on the weekend, and then you can use these to help you trade during the week.

If you don't mind doing the research, or you don't want to leave the fate of your investments in the hand of a scanner, then you can do a daily monitoring approach. You can run a screener each morning and night and then see if you are able to find stocks that show the biggest movement in price. Or stocks that have a new earning to release or a press release can work too because they create some big price movements. You can use these screeners throughout the day as well to help you monitor the stocks at any time.

Chapter 4: Breakouts and How to Use Them to Stay Ahead of the Curve

Another strategy that you may want to consider working with is known as the breakout. The breakout is when the price of your chosen stock starts to move outside the support and resistance levels that you had seen before. The breakout traders will go into the market using a long position any time the price for that particular stock starts to go higher than the resistance. If the price heads below the support, then the trader will go for a short position. If the stock starts trading even farther from the barrier price, in either direction, then an explosion can increase and the prices will continue to trend towards the direction of the breakout.

If you are able to predict that there is a breakout about to happen, regardless of the direction, then you can potentially make a good profit from the idea. Many people are interested in purchasing the stock if the breakout is going up, and even if you purchased near the resistance, you can make a profit if the breakout goes high enough. The breakout going down means that more people are trying to sell the security and that is bringing it below the resistance that you have set. You can also use this to your advantage if you purchase the stock at the right time.

It is possible for these breakouts to happen no matter what kind of environment the market is in right now. The more explosion that you see in the price movement, the more you can potentially make. As the explosions occur during this time, it is going to see an expansion when prices start to go above and beyond their normal ranges.

The nice thing about breakout trading is that it can be a good strategy to work with, no matter what kind of timeframe you are on. It works with a daily, a weekly, and more timeframe and you will stick with the same concepts. And it is a concept that works with long-term, swing, and day trading so you can make it work for you even if you try to change up your chosen strategy.

These levels can sometimes be key Fibonacci levels, resistance, support, or trend line. But remember that all these levels on your chart are going to be psychological because they show the beliefs of the trader at various price levels. But if you are able to look for the signs that show up on your charts, and accurately pick out the way the breakout is going to occur along with the right time, then you can really earn some profits.

What Are the Big Misconceptions about Breakouts?

Buying at a breakout and then selling during a breakdown will automatically make you money, right? If you truly hold stock in this statement, then you should contact your broker and remove your funds right now before placing them into a savings account. If you believe in this system, you are going to end up with a big loss on the books.

Professional traders will spend their time waiting for stocks to hit new lows, then look for a large order and then scoop up all they can see. This means you are a beginner trader. You will look at the computer and wonder how all of this occurred. In this scenario, the indicators aligned. The stock was below average. And the last bars were down before you went to sell short.

But then the stock bounced back bigger than ever. In this case, even with some of the signs in place, you ended up losing money with the breakout strategy. This is because someone else, some big players in the market, were messing around with things to make it worth their own money too. As you become better with the trades, you can do something like this too or at least recognize that it is happening and can avoid making these trades.

Don't do your trading during lunch

Each morning, when you get into the market, there is going to be a lot of gossip, news, and earnings, along with other reasons about why a stock may start to move quickly with a lot of volumes. This is why many traders who don't have a ton of experience with all of this will wait until the dust has settled down before they do any of their trading. But another period of time that you may need to watch out for is during lunchtime.

Lunchtime can be dangerous because it is the time period when a lot of traders will take a look back at what their trades have been doing during the day, and they will make the adjustments as needed. This is a time that can be very volatile as well. You can spend some time watching this period and seeing what happens but be careful about getting caught up in some of the accumulation periods that occurs here.

Times

There are actually a few times that you should be aware of when it comes to looking for the breakouts you want to trade on. The perfect times to at least be on the lookout for these is at 9:45 and 10:45 in the morning, and then again between 2:00 and 3:15 in the afternoon. This doesn't mean that a breakout is always going to occur, but it is definitely a good time to watch the market and see what happens with it.

Remember how we said that the afternoon can sometimes be a tricky time to trade in because of all the volatility? Because of this, many breakout traders will choose to do it at the 9:45 and 10:45 times and will avoid the afternoon one as much as possible. However, there are some situations where the afternoon breakout may work in your favor. Some of the guidelines that you can follow to do the breakout trading during some of these explosive times include:

1. Trade on stocks that are valued at least \$30 or more: Cheap stocks are just going to get cheaper. While some traders like to go for these because they hope there will be a very large upward swing and they will make more money, this doesn't always happen. If your profits end up being small on these cheaper options, it can all get eaten up by commissions.
2. Don't fade the gaps: Yes, the gaps are going to get filled. But the question here, especially with day trading, is whether it will be filled up by the time you need it. If you trade the breakouts, things have to happen very quickly and precisely, and you won't have the time to wait for a stock to act the way that you want.
3. Stay clear of stocks that are either down or up more than five percent: You never want to be stuck in a trade that moves too much or the volatility will make it hard to predict how the trade will go.
4. Trade stocks that have a price range of two dollars from the prior day's low or high: The goal for this one is to trade the breakouts. The bigger your trading range, the greater the odds of having a stock that has room for trending.

The strategy

Now that we know a bit about breakouts and what they are like, it is time to pick out the strategy that you want to work with. The stock price is going to move higher, pull back, and then move to the same high again. An experienced trader is able to make a strategy for what they would like to do before this trade happens. They think that the trend is already up, but it could be in either a double top chart or a range pattern. If the price starts to decline lower than the previous low, it is possible that the trend is moving to a downside. But if the price moves just a little below or pauses right below the previous low, then it makes a sharp turn and goes back up, then now is the time to purchase quickly.

When you see this happen, make sure to enter the trade, and set up your stop loss right below the newest low and then watch the conditions for when it will allow you to profit for the exit point. If the price ends up going just a bit higher, watch to check if it breaks above the previous high. If it pauses at the top, then that is your sign to get out.

This is a strategy that is simple, it will take some focus and practice to make it work and it is possible that a false breakout can happen at some point. Any time that you are looking to trade on a breakout, then you should ask yourself the following questions

- In which direction does this trend appear to be going? This is the direction that you need to trade in.
- What will cause the false breakout to go opposite to the trend? If this happens, where and how will you get in? Do you use a limit order or market order? How far will the price need to move to get back into the pattern?
- Where are you going to set up the stop loss?
- Where will you be able to get out and still earn a profit?

You should have these questions going through your mind as the trade is setting up. You must know the answer to each one. If the trade happens, you can do it without hesitating and know what to do. For a stock to be called

out on a false breakout will depend on the context and the stock that you will trade. If it is an explosive day, the price will need to go back into the pattern a lot larger than a day when the volatility is low.

Think about the quickness and the depth of the breakout. If you notice the price is breaking from the pattern, then never trade with a false breakout strategy. For your purposes of trading, your false breakout should be as small and short-lived as possible. You also want to see a move back that is quick. If you see the price of the stop drop quickly, but the movements are choppy and then go slowly back, this shows that your buyers aren't that eager, and you should stay away from trading.

The risk that you get on these trades will be small, so don't try to get greedy on them. Hold onto the stock until you see the momentum lowering a bit. This is sometimes going to be near the other side of the pattern. It is also possible to hold for a breakout to happen in the direction of your trend. Then you can get out if you see the false breakout happens in a direction opposite your trade.

The entry point

Once you have the right stock to trade, it is time to decide when you would like to trade. The easiest thing to consider is the entry point. These are pretty black and white when you are working with a breakout. When the prices get close to the resistance levels, the trader should take a bullish position. If the price becomes too close at going below the support level, you would decide to take a bearish position.

When you are trying to figure out whether the trend you are seeing is a real breakout or a fake one, the best thing to do is wait for confirmation. A fake out can occur when the price opens beyond the resistance or the support level, but then when you get to the end of the day, it will move back to the earlier trading range. If a trader decides to act too quickly or without confirmation, there isn't much of a guarantee that the price won't continue onto a new position. The best thing to do is wait to find the volume as confirmation or wait until they get to the end of the day.

Exits

The time that you exit this strategy is going to be very important in determining how well you are going to be able to either make money or protect your investment. There are three exit plans to consider when working with the breakout strategy and they include:

Where you can exit and make a profit

When you are in the planning process and trying to come up with your objective, you need to look at the behavior of the stock. You can use some of the recent action that has been seen with the stock to help you figure out the target price when trading price patterns.

Another thing that may work is to calculate the swings that occur in the price. Then take these numbers and average them to help you figure out the right target prices. If you notice that a stock has made average swings of five points over the past few swings, then this is a reasonable objective to use in your trading plan.

These are a few of the ideas that you can use to figure out price targets as a trade objective. This is the goal that you should choose. Once a goal has been reached, a trader can make three options. First, you can choose to do a stop loss and take the profits. Or you can exit and take the profits, or you can exit a part of the position and then let the rest of it raise and see how well it will go.

Where you can exit for a loss

The hope here is to enter the breakout and make a profit. But there are times when the breakout won't turn out the way that you want, and you will need to go through and prepare yourself for failure. Once a stock has been able to break out, the old resistance is going to be the new support, and then the old support will turn into the new resistance. This can be handy when you are learning whether or not a trade is successful or failing and will make it easier to set up your stop loss.

When you take a position, look at the old resistance and the old support and then use this information to close out as early and as easily as possible from a losing trade. When a trade is failing, it is natural to want to stay in the market and try to make the money back. But it is much better for your overall starting capital. Don't allow the loss any room to roam, and if you aren't careful, the losses can add up quickly.

Setting your stop orde

When you are trying to decide when to leave the losing stock, you should use the resistance and support level past where the prices broke. The stop parameters are going to make sure that you are protected without having to make the trade so risky. Setting a stop that is higher can be a problem though because they will cause you to exit out of the market too quickly and then the prices may fluctuate and go up and you miss out.

This process is sometimes seen as quite mechanical. When you want to set up your stop-loss order, if you place it above the old resistance level at this time, then the price won't be able to test these levels and the trader would be stopped out of the trade too early.

You may have to experiment with the right stop order on this one, to make sure that it is low enough that you won't be kicked out of the trade too early, but not so low that you end up losing a ton of money in the process. And with breakouts, this can be really hard to work with. But with some practice and learning how to really read the market, you will be able to see some results.

Tips for Trading on a Breakout

Trading on a breakout can end up being incredibly profitable if you are able to do it in the proper manner. With this said, there are times when it can be difficult, and you will need to take extra precautions to learn how to do it in the proper manner. Some of the things to remember when it comes to trading on a breakout will include:

1. Find the right stock to trade: It is a good idea to go with stocks that have a strong resistance and a strong support, and then let this be the one that you watch. The more strength there is in the support or the resistance, the better the outcome will turn out.
2. Look for the right breakout: Just because you have a stock that looks promising doesn't mean that the trade should be taken too early. Wait around for the stock to make the right move. Wait until the stock gets to the end of the day to watch the price to make sure that you get in at the right time.
3. Set reasonable objectives: You should set some expectations of where you want to take this trade. If you don't take your time here, it is hard to figure out when to leave the trade to maximize profits and minimize losses. You can figure this out by the average stock move, or you can measure the support and the resistance distance.
4. Let the stock retest: When the prices break out of the resistance will become the support. The reverse will happen if the breakout goes past that support level. You should note that with most of the trades that you work with, the stock will try to do a test for the price it just broke. Be prepared for that.
5. Understand what happened when a trade fails: Once the stock takes it turn to retest an earlier support or resistance level and it then breaks through it for the second time, this is the point where you know the breakout has failed. Take the loss now and walk away, rather than staying in and letting your emotions take over.
6. Exit as close to the close as you can: You don't always know what is going to happen with a stock when the market begins. You should wait until it gets nearer to the end of the day to help you leave a losing

trade. If the stock stays outside of these supports and resistance lines once it gets close to the close, then this means that you should exit the position.

7. Have some patience. These breakouts are nice, but they are going to require you to have some patience. If you follow the rules that we have outlined above, you will be able to cut out some of your emotions and stay objective about your trades. This makes it easier for you to have the right amount of patience to see good profits in the process.
8. Get yourself out of the market at target. When the target profit is met, get out, regardless of what is going on with the rest of the charts or what happens when you are gone. This helps to protect you and ensures that you will at least earn a profit.

Trading with a breakout strategy is a great way to ensure that you are going to be able to get the results that you want out of the trade. These are sometimes easy to find, but other times, there can be issues with the process because you may end up with a false breakout. Being able to avoid these and picking strategies that help you stay on target with your goals, while earning a profit with the breakout, can take some time and practice.

Chapter 5: Pullback Strategy

Now that we have taken some time to explore the breakout strategy and all about selling short with your trades, it is time to work on what is known as the pullback strategy. This is a strategy that can be used when it is time to trade stocks that are very strong and tend to trade on a pretty high volume. These strategies are going to provide you with a ton of opportunities after active thrusts that go either higher or lower.

However, there are some issues with this one. For example, some traders find that earning profits can be harder with this strategy compared to some of the others. The stock that you just went and purchased on a dip or short sold into resistance could possibly keep going and this forces you into a large loss. Or there is the issue of this method just sitting around and doing nothing, which can cost you in time, money, and lost opportunity with other trades.

Now, there needs to be some conditions met for a pullback to turn and be successful before you even consider taking on the risk. For example, you need to look for a trend that is strong. When the trend is strong, this means that there will be more traders lining up and trying to jump into the trade at this time, and hopefully shortly after, too. You will find that any security that takes on a brand new high or dumps a new low will reach this particular requirement once they are done and have pushed through the breakdown and breakout level.

Another thing that is often needed is some vertical action. This pushes constant profits because it will encourage some movements in price that are pretty quick once you get in position. It is best when the stock turns fast after either doing a bottom out or a topping out. This is something that must happen because the range could undermine the profits, if you aren't careful, during both the bounce or the rollover.

When the pullback looks like it is about to get in motion, make sure to do a process that is known as cross-verification. This cross-verification is going to show us the shallow price zones where different supports and resistances

will start to line up. This can favor you with a quick reversal, along with a strong thrust in the primary direction of the trend. If the zone does get compressed, the bounce may increase, and then you will notice that a new support or resistance will line up perfectly.

Taking Profits with the Pullback Strategy

Of course, just like with any of the other trading strategies you choose to go with, the goal of this one is to make profits. You want to make sure that you are aggressive about taking profits after the trade entry, and then you can pocket the profits or the cash as soon as the stock recovers. You also need to make sure that you have a way to reduce your risks.

One of the best ways to do risk management in this kind of trade is to simply place a Fibonacci grid over the last wave of trend or the whole wave of the pullback. Doing this combination is going to reveal to the trader the best price levels where the two grids can line up, and it can even show you a few of the barriers that may have been hidden. Smaller ranges and gaps must be looked over too because they carry some risk when it comes to lower highs and higher lows.

And then there is the exit. Just like with the other trading strategies that you do, you must make sure that there is some kind of exit strategy and hopefully, some stop points, to ensure that you are able to walk away with a profit rather than losing out. The best exit for this one is going to happen when a price starts to move very quickly in the chosen direction, and it goes into a barrier, including the last swing low in a downtrend or a swing high when we are talking about an uptrend.

What Stop Loss Strategies Should I Use with a Pullback?

Losing stocks with a pullback strategy will occur for a few reasons. First, you didn't calculate the extent of your trend wave, and this caused you to enter into the market too early. The second issue may be that you came into the trade at the right time, but the trend will keep going and it breaks off with the logical signs and mathematics that you saw at the entry signal. Third, the bounce will start, but then it stops, choosing to cross through the price since the risk strategy that you chose to go with ended up failing. And the last one, the one that is the easiest to manage, is that you put a trailing loss behind the position for when it moves in your favor, and then adjust it once the profits increase.

The stop is so important when it comes to working with any kind of day trading because it can help to reduce the amount of loss that you incur. You want to make sure that this goes the way that you want, or the pullback may push against you and your profits a little too much.

Some Strategies to Use with Pullback Trading

Now that we have gotten some time to look at the pullback strategy and what it entails, then it is time to learn the steps and the strategies that you can use in order to get started with day trading. Some of the best tips and tricks to follow when looking into the pullback method include:

1. Look for one of the stocks that you have been following and see if it takes off and trends sharply, going either up or down. You don't want to take your entry here and instead choose to just watch while the security tries to clear the hurdles. Then the security will stop and reverse. When the security starts to pull back on the five-minute chart, it is now time to decide whether you are ready to join in or trade the action.
2. Predicting the price movements is an interesting game that is going to require skill and patience. Some corrections that you see will roll over into areas that may empty out the accounts. And then there are times when this same setup is going to take off and hit some new heights. The problem here is that it is almost impossible to tell which one is going to be the case.
3. The first pullback has some good odds of quickly ejecting in the directions of the new trends. You need to sit back and see how deep this kind of correction will go. If you are watching and notice that it hits a ton of support levels before it reaches the reversal, then it is possible that the seller may come up when the price tests is a short-term high. This can be a great trade.
4. Another rule to work with is known as the 6-out rule. You will start the count with the lower bar and then go to the trend extension. You will want to keep an eye out for the same angle pullback, or any sideways pattern that could mess up our best efforts. The next trend that you are looking for is going to show up right at the sixth bar for congestion.
5. At this point, you may be wondering how it all comes together and works. Most day traders are going to work to set some indicators on their chart, and the job of these indicators is to measure out between five and eight bars. The six-bar correction is going to show some of

the short-term support that occurs at these settings. Then the following bar could signal out a change in trend while still be able to trigger a wave of selling in those who are fast-fingered and ready to jump into the market.

6. You will also find that most markets are going to work in some form of patterns. For the most part, the countertrend positions will include the pullback, the bounce, a pullback again, and then it will find its new support. You may have to fool yourself by trying to get into the market when you are on the first bounce to increase profits.
7. Use some short-term oscillators to help measure the rally's duration each day. After the price thrusts, the odds of the trend continuing in a downward manner is going to decrease. The oscillators will be nice because they measure how deep the condition is at that time. Indicators watch for all the signals that the trader needs when they are making decisions, but you must make sure that you plan out your trades to try and get in front of them.

The pullback strategy is another great option that you can choose to go with, but it can be a little bit challenging at times. You will need to learn how to manage your risks, while also being careful to watch out for the risks as well. Make sure to look through this chapter to learn more about the pullback strategy and how it can work well for you!

Chapter 6: Scalping Trading and How It Can Yield Big Profits

Scalping can be one of the most challenging strategies to work with. It is going to take a lot of focus and discipline to even hope to succeed, but those who enter this strategy and are successful with it can lead to lots of profits. Scalping has been around for some time, but many traders are choosing to go with some of the other options for trading. However, there are several reasons that traders still want to work with scalping including:

1. There are more opportunities for trading.
2. The profit targets that you are working with are going to be small, so it is easier to fight off some of the greed.
3. There is the potential to do a ton of these trades each day, which means more potential to make money.
4. The risks are pretty small.

Scalping is going to specialize in making profits on tiny price changes right after entering the market and then selling to take the profit. You need to have an exit strategy that is very strict because one bigger loss can get in the way of some of the small gains that you made throughout the day. You also need to have a few tools in place, like a broker who is a direct access, a live feed, and stamina.

Scalping is going to work on the idea that a stock is going to finish up its first movement stage, which means it moves in the desired direction in a small window of time. But sometimes it's uncertain which direction the price will go. There are some that will increase, and do better, and then there are some that won't.

The goal of a scalper is to make a lot of small profits, and then work to protect them so they don't disappear from one or two bad trades. This is the opposite of letting the profits run because usually you will buy or sell too quickly to see good results. Scalping will get results by having more winners and won't focus as much on how large of a win it turns out to be. Someone who is successful in scalping is going to have a higher amount of winning trades versus losing ones to ensure they keep the profits higher.

The theory that you will find when you are working with the scalping trading strategy includes:

1. Less exposure means that there is less risk. Since it has less exposure to what is happening in the market, then it is less likely that you are going to deal with a bad event.
2. Easier to benefit from the smaller moves. A large difference between the supply and the demand is possible to get ahold of those larger price swings. You will find that it is much easier to earn profits with scalping because a stock will see a profit of ten cents easier than it will for one dollar.
3. Small moves are going to happen more than the large movements. It is possible to fail with other trading plans because you are waiting for some large movements, and these aren't going to happen as often. But the smaller movements are more common. You can take advantage of this when working with scalping.

There are also two ways of trading that you can choose to work within scalping. Scalpers are going to make many trades during the day. They will work with one-minute charts because the amount of time they hold onto the security is going to be small, and it is imperative for them to see the setup as it is forming in real time. Working with a direct access broker and having an automatic execution of the orders can be so important for scalpers.

And then there is the supplementary style. The supplement scalper may choose to go with some other kind of time frame outside of the one-minute charts. The most obvious time with this one is any time the market starts to look choppy or comes with a shallow range. If you are able to find a trend that is obvious in a longer timeframe, going short can help you with scalping.

Scalping Types

There are a few different types of scalping that you can choose to work with. Market making is the first option here. With this one, the scalper is going to try to profit by using the spread by making bids on a particular stock. This can work when you find immobile stocks that trade with a large volume, but there isn't much change that will come in. This one can be hard to complete successfully because it often involves a lot of competition with bigger traders and you need to have more capital from the beginning. It also provides you with such a small profit when you get started that if there is any change that goes away from the position you start with, you will easily exceed your target for money lost.

The second type of scalping is performed when you purchase a large amount of a stock and then you sell it for a profit after a relatively small change in price. Traders will enter positions for thousands of shares and then will wait for a small move that brings them a profit. These are often going to be so small that they are measured out in cents rather than dollars. These approaches rely on the stock being liquid and will allow the trader to enter and exit 3,000 shares or more easily.

The last style that you can look at is a lot like traditional forms of trading. The scalper is going to enter how many shares they want to do on any signal or setup from the system, and then they can close the position when they see the first exit signal is made close to the one to one ratio.

Scalping with the help of an oscillator

One of the most popular options to choose when you are ready to scalp is to use the oscillator. This is because the indicator that is there is going to help you with the price action. It sounds simple, but in fact, beginners may find that it is the hardest of all the methods of trading to figure out.

Oscillators are going to be leading indicators and they will sometimes send off false signals. If you scalp with one oscillator, you will find that predicting the action correctly will happen about half the time, and then the

other half of the time your prediction will be wrong. You can technically get the same results if you just flipped a coin instead of using this method. And while 50 percent is good enough for some other strategies, with scalping, you need to do better than that or you will end up with a loss.

Scalping and the Stochastic oscillator

This kind of oscillator is going to be a bit different because the stochastic will have a lower and an upper level. The lower level you are looking for will include all the oversold area. The upper level is the part that is overbought. When you see these two separate lines cross upwards from the lower, the long is going to get triggered. When these same two lines end up crossing from the upper, a short will be generated. Often, this isn't something that you work with on your own. You may need to also bring in a different form to ensure the signal is stronger before you make any trade on it.

Hence why many traders will choose to combine the stochastic oscillator with the Bollinger band. When you enter the market with just the stochastic part showing the overbought and the oversold signals, you can then bring in the Bollinger bands to help show these signals and confirm it before you enter the market.

The Bollinger band is popular in trading, and you can definitely use it to confirm what you find with the oscillator. To get this confirmation, you need to see the price of the stock cross the red average that is moving in the center of the indicator. Then you would stay with each trade until the price reaches the opposite Bollinger band level. Then you can sell.

How to manage your risks while scalping

When you are working with scalping, you want to make sure that you are lowering your returns with every trade, but you still want to make sure that you end up with a ratio that has more wins than loss. The risk that you take on for each trade should be small, and the stop loss order that you place should end up pretty close to your entry. Never risk more than point one percent of your personal buying power on every trade.

This is lower than what you saw with some of the other suggestions that we discussed before. These suggested about one to two percent. But scalping is going to be much different. There will be 100 or more of these trades during each day once you get going, and the risks are going to be much higher than you may have seen in the past. This is why keeping the risk down a bit more is such a good idea to protect your investment.

Things to Remember about Scalping

Scalping can be a great way to help you make some money on the very small movements that occur in the day trading market of your choice. It is sometimes hard to work with though because it moves so quickly and there are so many different transactions that you have to get done from one day to another. Some of the things that you should consider and remember when you are getting started with day trading include:

1. When you are scalping, you will want to enter trades for a short time period in order to catch on to some of the fast price movements.
2. These can expose you to less risk than other investing options because it is smaller amounts.
3. You should take the time to do a lot of these little trades each day if you want to see a good profit.
4. When you are scalping, make sure that your ratio is fifty percent or higher.
5. Always control the greed, which is easier with scalping because you are working for time profits instead.
6. Oscillators can be useful when you are scalping because they provide you with indicators. But most of them are going to be the most effective when you use them with other methods as well.
7. Make sure to find indicators that are going to work well together, and end up complimenting each other, to provide you with the best signals.
8. Money management when you are scalping is so important. Some rules that you can consider when you are trying to manage your money in scalping include:
 - a. Invest less than one percent on each trade.
 - b. Have a stop loss that is no more than point one percent away from the entry price.
 - c. Continue with the trade for as long as it takes to connect to your opposite Bollinger band.
 - d. You can make somewhere between point two and point three percent on every trade depending on how things go.

9. If you decide to scalp on a time frame that is higher than the targets that you choose to work with.
10. You must keep around a good bankroll to scalp trade. Small accounts can easily see all their finances gone through commissions if you are not careful.

Scalping is another great option that you can choose to work with when you want to see some money with day trading. This is very fast paced, and it will take up a lot of your time and attention to see the results. Follow the tips in this chapter and you will be able to see some great results in no time!

Chapter 7: Momentum Trading

Day trading is always going to be a lot about momentum. The only way to go and earn profits is to find the stocks that are actually moving and not the ones that are stuck doing nothing. No matter what market you are in, there are always going to be some kind of stock that is moving at least twenty to thirty percent. But the question to look into here is where you are going to find these stocks before they do this movement so that you can earn money from that new movement.

What do we need from this kind of momentum strategy? We need to make sure that any stock we pick out is one that is moving. Stocks that stay pretty much stable and look like horizontal lines on the charts aren't going to provide you with any opportunities, especially when it comes to day trading. How are you going to find these though? Paying attention to the charts, reading the variety of news charts that you have, and using a stock scanner will all help you to find the right stocks to use with momentum trading.

All of the stocks that fit into the category of momentum stocks will have a few things in common. If you scan stocks with the right kind of criteria, you should be able to receive at least ten stocks that you can trade on each day. These stocks are going to be great because at that time, at least, they are going to move about twenty to thirty percent each day. These are the best stocks to go with because there is enough movement that you can actually earn a profit.

Because it can be hard to know which kind of stocks will work the best for momentum trading, you may find that it is common to make changes to your stock choices all of the time. And in some cases, momentum investing can seem much less like an investing strategy compared to some of the other methods, and more like a knee-jerk reaction to the information you find in the market. The idea of selling off the loser stocks and then buying the winners may seem seductive, but often it is going to fly in the face of the buy low and sell high that is often seen with investing. Let's take a

closer look at momentum trading and explore more about what it can do to help you earn a profit, even when you are day trading.

Who started momentum investing?

Though he was not the first person to invest with the momentum trading idea, Richard Driehaus was the one who took this practice and then was able to make it a strategy to run all his funds. The philosophy that he used was that more money was made with the idea of buying high and selling higher, compared to purchasing stocks that were underpriced and then waiting around for the market to re-evaluate them and hope that the prices go up.

Driehaus believed in selling off any of the loser stocks that he had and then letting the winners ride it out. Then he would use the money that he earned from the stocks he sold off and re-invest those in some of the other stocks that were looking good and about to take off. Many of the techniques that were used in this are not the basics of what many people recognize as momentum investing.

The precepts of momentum investing

Momentum investing is going to be a bit different than some of the other strategies that you may have used. This one is going to take advantage of some of the volatility that occurs in the market and it does this by taking short-term positions in stocks that are heading on the way up, and then sell them the moment there are signs of their value or price going down. Then, the capital that is earned from those original stocks is going to be moved to help fund a new position.

For this kind of trading strategy, the market volatility is going to be similar to the waves in the ocean, and the momentum is where the investor is able to sail up the crest of one, and then jumps up to the next wave before crashing down with the first one. The momentum investor wants to take advantage, as much as possible, of any investor herding by leading the pack in and then being one of the first to grab their money from the endeavor and running before it goes off.

The elements that come with a good momentum trad

Trading in a momentum market is going to require some risk management rules that are more complicated and sophisticated compared to other strategies just because they are there to help address some of the volatility that occurs. You also need to watch out for some of the overcrowding and any of the unexpected traps that will reduce the profits you can earn.

Market players who decide to go with some kind of momentum trading will often ignore these rules because they become blinded by an overwhelming fear that they will miss the rally or sell off while everyone else books the windfall profits. You have to learn how to avoid all of these to ensure that you see good results and lots of profits in momentum trading. The rules that are needed in this strategy can be broken down into five elements including selection, risk, entry, management, and exit, and we will talk about each of them below.

Picking out the right securities

You should make sure that you are going with securities that are liquid any time that you are working with a momentum strategy. You do not want to work with either inverse ETFs or leveraged ETFs because the price swings aren't going to accurately track the way that you want them to. Working with regular funds can be the best for momentum trading but they do grind through some of the percentage gains that are smaller compared to individual securities.

What this means is that you should spend your time looking for securities that are highly liquid, preferably ones that trade at least 5 million shares each day as much as possible. There are a lot of stocks that are popular that meet these kinds of criteria, but even issues that are considered low float can turn into instruments that are highly liquid when news flow and intense emotional reactions draw in market players from diverse sources.

You may even find that there is a flavor of the day with momentum trading. This can be when a new product, a new concept, or even a new division in the market or for a company, will start to capture the attention of the public, and sometimes this will be completely different than what the experts had thought about before. These can be the perfect stocks to go with when you are looking for something to invest in as it goes up, and that will earn you a good deal of profits if you can get on quick enough.

Be careful with the risk control

The risky side of this equation is another thing that you must pay attention to in detail, or you will find that your momentum strategy is going to fail. There are a lot of things that are great about working with this trading strategy, but there are also some downfalls that can show up as well. Some of the pitfalls that may show up with momentum trading will include:

1. Jumping into the position before all the signs are in place. You do not want to jump into this position without first confirming that the momentum is happening.
2. Closing the position too late. The second you see that the market is reversing and about to go down, jump ship and get off. It can often go down quickly after that jump and waiting too long to close the position can really harm your profits.
3. Failing to keep your eyes on the screen. This can cause you to miss out on some of the trends that happen or when they end up changing. It can also lead to missing of reversals or signs of news that is going to change up the market and you may not have been looking for before.
4. Keeping a position open overnight. Stocks can be really susceptible to many factors on the outside, even after the market has closed for the day. These kinds of factors may not seem like a big deal, but they can cause some radical changes to the patterns and the prices of the security over time.
5. Failing to close out a bad position faster enough. This means that you are using momentum trading, but you are doing it on the wrong side, and you will lose money.

Perfect entry timing

The best trades that use this strategy are going to occur any time that a big shock to the news hits because these triggers a very quick movement in the stock from one price level to another. In turn, this is going to set off buying or else selling signals and many observant traders will jump in and earn their reward with profits right away. From here, another batch of momentum capital is going to enter, and this will evolve the trade even more, and this can cause a counter swing, one that is going to shake out anyone who isn't in for the long haul. The hot money population is now going to come back and will hit hard, triggering a volatile whipsaws and major reversals.

The best way for you to do this and to get the most amount of money with a low amount of risk is to get into the position as quickly and early as possible. You should never jump on when it is considered an aging trend. The opposite is going to happen when you are in real-world scenarios because many times a trader is not paying attention and they miss out on these opportunities until late in this cycle. They will either miss out completely, or they will jump in so late that you will miss out on earning some good profits, even causing you to lose money in the process.

The timing is going to be so important with this kind of trade. You must make sure that you catch the momentum early on. This reduces your risks because the swing doesn't have to be as high for you to make an income on it. If the momentum is already in place, you may want to consider whether this is a good one to enter or not. The later you get into it all, the more it has to rise for you to earn any profit, and in some cases, you can enter so late that the downtrend will occur, and you will end up losing money on the trade

Managing your position

The next thing that we need to look at is position management. This is really something that takes you some time to master because many of the securities that you will work with will carry ask and bid spreads that are so wide, which means that for you to make some profits, the movement has to be bigger. Finding the right position can make the difference between whether you are actually going to be in the position to make some good money along the way.

You must make sure that you are choosing out a good holding period because the risk is going to increase the longer you keep your position in day trading. You will find that the day trading strategy is going to work really well with this kind of strategy, but it will force the players to take on larger positions to compensate for the greater profit potential of multi-day holds. If you would like to get multiple sessions, then you should make sure that your position size is a bit reduced compared to before.

Making sure that your exit is profitable

The exit on this kind of strategy is going to be just as important as your exit on some of the other strategies as well. You want to make sure that you leave the market as soon as the price is moving rapidly into a technical state that is overextended. This is often going to be shown with a series of bars that go vertical on the one bar chart. Or you may see a price piercing that shows up either on the third or the fourth standard deviation of a top or bottom 20-day Bollinger Band. If the barriers hit onto a major trendline or one of the prior lows or highs, then it is time to consider your exit as well. This allows you to leave the market when it is still high and when you can still make a profit, without having to worry about the changing market and the potential profits you may lose.

Are there Really Benefits to Momentum Trading?

Now that we have spent some time looking at momentum trading and all that it has to offer, you may be wondering how beneficial this can be. There are some challenges that come with this form of investing, and it can be difficult to know when the momentum is going to occur and when you should jump from one to the other. But it can be beneficial as a trading strategy that makes you some good money. Some of the benefits that you may be able to see with momentum investing include:

1. bringing you higher profits in a short amount of time: There are a lot of profits that are lucrative if you use this form of investing in the proper way. Let's say that you purchase a stock that will grow from \$50 to \$75 based on an analysis report that you read. You would then work to sell at a profit of 50 percent before the price of the stock corrects. This means that in a few weeks or a few months, you have made a return that is 50 percent. Over time, it is possible to make the potential profit even bigger, and it may surprise you how much you can make from this if you can do it correctly.
2. Taking the volatility of the market and using it for your own personal advantage. The key to investing in this method is being able to take advantage of a market that is highly volatile. The investor with this strategy is going to look around for some stocks and securities they want to invest in, and they want ones that are on their way up. They will then sell these before the price starts to go down to help them get a higher return on investment.
3. Able to leverage based on the emotional decisions that investors use. The entire idea of working with this form of investing is to make your purchases and sales based on specific points for each. This helps you to keep some of the emotions out of your choices. Instead, you will be able to take advantage of how emotions are playing with other investors and then make a profit in the process.

Momentum trading is going to be a great option for a lot of investors to use to grab onto some good stocks and make a profit from it. You need to be

able to get into the market early on to see some profits from this, but a successful day trader is able to grab on and see some amazing results with their profits as well.

Chapter 8: Strategies for Day Trading in Cryptocurrencies



Cryptocurrency is quickly growing in popularity. It is estimated that there are more than 1000 different versions out there, and they all work in different manners. For example, Bitcoin, one of the most popular cryptocurrencies and the very first one, is used just like the regular currencies you use on a day to day basis. Ethereum is more for startups who are trying to enhance the blockchain technology. And there are many other options that are out there, and they are used in different ways.

One neat thing that you can do with these cryptocurrencies though is to use them in day trading to help you to make some money in the process. Since there is a lot of volatility that comes with these markets, which means that once you learn how to work with the charts that each has, you will be able to benefit from the many highs and lows and ups and downs that come with these cryptocurrency markets out there.

In this chapter, we are going to take some time to look at a few of the day trading strategies that you can use for day trading to get the best results possible. Some of the different strategies that you can work with to use day trading on cryptocurrency includes:

Breakout

The breakout procedure is going to revolve around the idea that the cost is going to clear a predetermined dimension in your outline with some expanded volume. This strategy is going to have the trader go into a long position after the currency breaks above the opposition. Then you will again enter into a short position once you see that the currency breaks underneath it. You can use a lot of the same options and suggestions that we gave earlier in this guidebook when it comes to using the breakout strategy. And since there are some really big highs and lows with the cryptocurrency market, you are definitely going to see some good breakouts that show up.

Scalping

You will find that scalping is going to work really well with this kind of security. There are a lot of trades that occur in this market on a regular basis. People all around the world are always looking to find ways to make more money from these markets, and there is a constant exchange between various other currencies and the cryptocurrency that you want to work with. Scalping will help you to make profits in the process.

For this, you will just watch for all the downturns that come with the market and then you will purchase the currency. Then you will move on to selling it as soon as the price or the value goes up. The most important thing to remember here is that there are going to be some fees for exchanging the currencies back and forth, so factor this in when you are looking to do this method to make sure that you will actually earn some profits in the process.

Steady incremental profit accumulation strategy or SIPAS

When you first get started with your day trading journey, it is always best to eliminate any of the wild swings or the unexpected fluctuations that will show up in the market. This is why it is often best to start with USDT and trading it to Bitcoin or one of the other altcoin pairs so that you won't end up with a lot of fluctuation concerns on both sides of your currencies. USDT is a good baseline that will not cause a lot of fluctuation either.

Assuming that the exchange you are using for cryptocurrency is going to work with USDT, and all of the major and reputable ones do, the goal for the day is for you to produce at least one to two percent from a few altcoins. You want to make sure that the altcoins have a history of stability over the past two or more days. This is going to help you to produce a profit that is at least 7 percent in a 12-hour period of time. If you do this over a week, you can earn more than 50 percent in profits.

In addition, if you are able to find an altcoin that has been doing some consolidation over the past few days, then this is a good option to go with as well. What we want to make sure we are avoiding here is big fluctuations to the price. Using this simple strategy can make sure that you stay on track and that you will profit from that initial investment in two weeks or less.

It is also possible for you to go for a higher profit than what we are talking about here. This isn't a problem and can be pretty easy but remember that the bigger the profit you want to earn, the more risk you add to it all. And greed is always going to result in a drain to your profits, regardless of how much knowledge you have about the market and everything else.

For the most part, the one to two percent increments is the best. If you are able to stick with these numbers, you will be able to avoid all of the big losses that can occur once the emotions, and a large amount of money, are on the line in that particular trade.

There is a lot of volatility that can show up in the market for cryptocurrencies, and it is important to really understand the market, to pick

out one that has been relatively stable over the recent time, and then work with that one to do the right day trades that will bring in profit. If you can bring it all together, you will be able to make some good profits in the process.

Chapter 9: Looking at the Forex Market



Day trading on the forex market can be a popular choice as well. Many people like to go with this method because it allows them a chance to trade in a market that is highly volatile and that will help them to have a lot of options with currency pairs that they just aren't able to find with other methods. The forex market is the biggest and more widely used market in the world, and it is open 24 hours a day 5 and a half days a week due to where it is located.

The forex market is going to include all of the different currencies that are found throughout the world. There isn't a central entity that controls it all, and each country is in charge of running their own currency. But there are many times when you may need to use the Forex market, even if you aren't planning on doing any day trading.

First, if you would like to purchase a product from another country, even when you are still in your own country, you, or the country who is purchasing the item for you, will need to exchange the local currency for the currency where the item is located. So, if you would like to purchase some wine from France and you live in the United States, you would have

to take the USD that you have and exchange it on the Forex market for the Euro before purchasing.

Have you ever traveled to another country? It is likely that when you traveled, you had to exchange out the current currency for the local currency of where you are going. This makes it easier for you to purchase what you need while you are traveling because that new country is only going to take a certain type of currency. To do this exchange, you would need to work with the forex market as well.

Because of all these different exchanges, ones that people are doing on a regular basis, the forex market is really liquid, and it is seen as one of the biggest markets for exchange available. And because there are lots of different exchanges that occur in that market, there are a lot of opportunities for a day trader to come into the market and see some great results.

There are a lot of different strategies that you can choose when it comes to investing in the forex market. For now, we are going to take a look at one specific strategy, the 2 EMA bounce that is perfect for those who are ready to enhance their trading skills and see some great results in the process.

For this strategy, you will have a time frame that is either fifteen minutes, one hour, four hours, or daily. For the first few times that you trade on this strategy, the four-hour time frame is usually seen as the best. The EUR/USD currency pair is a good one to work with to help you to work with to get the best results, but some other good currency pairs include GBP/USD and the USD/CHF.

The indicators that we are going to use are the Exponential Moving Average 7 period, also known as the EMA7, and the Exponential Moving Average 21 period, also known as EMA21.

First, we need to take a look at the rules that you would use if you wanted to purchase trading signals or you wanted to do a long trade. You will need to look at the charts and determine if the price you see is in an uptrend. If it is, then this strategy can be used. The things that you want to look for to find the uptrend includes:

1. The EMA7 line will come in above the EMA 21 line.
2. Your EMA21 line will either be flat, or it is rising. It is best if this line is going up.
3. The price that you see the currency trading at must be above both of these lines.

When we are double checking to see whether the price is in the uptrend, it is important to have patience and wait for a pullback or the retracement. The price will need to drop from higher than your two EMA lines and then it should fall somewhere between these two lines. Then, you will look for one or more bars to touch your EMA21. It is fine if it goes just slightly below this line, but if the decline gets too low, then you should avoid this choice.

After you see that the pullback occurs and that the price touches or goes right below the EMA21, you can then place a buy order of 1 pip above the high of the last candle. When the price goes above the high of the last bar by just one pip, along with the spread, we are going to enter a long or a buy trade.

Make sure that you don't forget to set up the profit targets and the stop loss. Place the stop loss about five pips below the low that you see in the retracement candle. This helps you so that the pullback can have some room to go down before it pushes back up, and you aren't taken out of the trade too early. But it will also protect your investment at the same time.

Now, when it comes to the profit target, there are going to be a few options that you can work with. First, you can work with any of the pivot points that show up. It is also possible to use any of the following:

1. The first strategy that you can work with is to take the target price and place it about two times above the potential loss. So, if the entry price comes out at 1.1250 and we place the stop loss at 1.1200, the potential loss that we may experience is 50 pips. Our target should be about 100 pips or 1.1350.
2. The second strategy you can use is to watch the slope that your EMA7 line. When the line starts to change and goes down, then it is time for

you to leave the trade.

It is also possible to work with this strategy when you want to sell your trading signals. For this one, you want to make sure that you are finding out whether the price is moving in the downtrend. To figure this one out, you will want to look at the following:

1. Is the EMA7 line following below your EMA21 line?
2. You can also look to see whether the EMA21 is either flat or falling. So take a look at and see if the slope that comes with this line is pointing down.
3. The price should be trading somewhere below the EMA21 and the EMA7 line.

When we are taking a look at these charts and we are looking to see if there is a downtrend, you will want to wait and be patient for a bit for the retracement or the pullback to occur. The price should rise from below these two lines in order to enter the area that shows up between the two EMA lines. Then, you want to make sure that at least one of the bars is either touching or bouncing just above the EMA21.

After we do see this retracement occurring and it touches the EMA21 or just above it, we will then need to put in a sell order of one pip below the low of our last candle. When the price breaks below the low of the last bar by one pip, along with the spread, we will decide to enter into this trade, which is an example of a short trade.

For the stop loss, you should place it about 5 pips above where you see the high of the retracement candle. This allows you for an uptrend a little, but not enough that it is going to cause you to lose a lot of money on the trade.

If you are working on the profit targets, there are a few options you can choose from. You can look at the charts to help you determine which one is the best for your trading needs. First, you can look at the charts and see if there are any good pivot points that would make good profit targets. Two other strategies that you can use include:

1. The target price should end up being about two times the potential loss. So, if you have an entry price of 1.1250 and you add your stop loss at 1.1300, the potential loss is going to be at 50 pips. The target for your price should be at 100 pips or at 1.1150.
2. For the second strategy, it is time to watch the slope of your EMA7 line. The slope for this strategy should be downward, but if you start to see it go upward, then this means the trend is reversing and you should leave the trade before your profits are gone.

The forex market is a great option for you to choose when you want to begin day trading. There are a lot of currency pairs that you are able to work with depending on the day and since many people are always trading on the market. This provides you with plenty of opportunities to enter the market and make some good profits, without having to worry about it as much as some of the other methods. As an intermediate, you may decide that it is time to enter into the Forex market and see what a difference it can make to your profits today!

Chapter 10: When Am I Ready to Trade on My Own?

There are a lot of benefits of working with a broker, especially when it comes to day trading. This kind of method of trading is going to be very fast paced and it is nice to have someone with the skills and the knowledge to help walk you through all the complexities. But over time, there are some traders who decide that they want to have a bit more freedom and do the work on their own, or they have learned about the market enough and they want to cut the broker out to help save money.

The time when you trade on your own and get rid of the broker is going to depend on a number of factors. You must consider how much experience you have, what market you want to trade in, how confident you are in your abilities to trade, and more. Understanding the different types of brokers and how they can work to benefit you is also important.

But when we are answering this question, we are looking mainly at the two basic categories of brokers that you can choose from — the online or discount broker and the full-service broker. One is going to cost a bit more, but they provide you with a lot of advice and help along the way. The second one is going to cost less, but you will have to do more of the work on your own. Let's take a look at each of these to help us better understand how each one works so you can pick the one that is right for you.

Full-Service Brokers

The first type of broker that we need to take a look at is the full-service broker. This is what you probably visualized when you think about investing. This is a well-dressed, friendly business person sitting in an office chatting with clients. They are known as the traditional stockbrokers who you can walk into their office to meet, the ones who know a lot about you financially and personally.

When these individuals come up with a financial plan to help you out, they are going to take a look at a lot of factors about your personality such as your lifestyle, marital status, personality, age, risk tolerance, income, debts, assets, and more. By getting to learn more about you, these brokers will ensure that you come up with the right financial plan. Even as a day trader, you will be able to discuss your plan with them and get a lot of advice and more in the process.

Not only can these brokers help you out with all of your investment needs, but they can help with other financial problems that you may come up with in your life including budgeting, retirement planning, tax advice, and estate planning, which is why they are known as full-service. While you are probably only looking for them to help out with investing right now and how it relates to day trading, you can definitely work with them in order to help with other financial issues that may come up later.

Online or discount brokers

While you may start out with a full-service broker and maybe even choose to stay with them for the long-term, there are some individuals who will decide that the best choice for their investment is to work with an online or a discount broker. These kinds of brokers are not going to provide you with any investment advice. Basically, they are there to just handle your orders and nothing else. You must do all the research and the work for these, but they are beneficial because they tend to cost less than the full-service broker.

If you are looking to take control over your own investing and you don't want to deal with someone else taking more commissions, then an online or a discount broker may be the right choice for you. Since there isn't someone there managing your account, answering your questions, or upkeeping an office, the cost of these accounts will be down compared to the others. For some day traders, especially those who have some experience in the market, it can be tempting to go with an online or discount broker because they can save a bit of money on their transactions, bringing more profit home in the process.

The cost that you do incur with this kind of broker is going to be based on a per transaction basis. You are able to go online to find these kinds of brokers and you can set up the whole account online. And they don't require a ton of money to get started with. Once you have taken the time to set up an account with this kind of broker, you will then just need to get onto the website and go onto your account, allowing you to buy and sell stocks right away or at any time that you would like.

Both of these brokers can work nicely, and they provide you with a ton of benefits along the way as well. But you have to decide which one is going to work the best for your needs. For those who would like to have a broker who walks them through the process, someone who can place a lot of the orders, and someone who can answer their questions, the full-service broker is one of the best options to go with. But if you would like to do some of the

work on your own in order to save money on your investments, then the online or discount broker is the best option.

The Benefits of a Broker

There are actually a lot of benefits that come from having your own broker. Many beginners, and even more advanced traders, will choose to go with a stockbroker because it provides them with the advice they need, the platforms, and so much more. Even at this point in your day trading adventure, it is worth your time to consider having a broker and keeping them on. Some of the benefits that you can receive from a broker include:

1. **Advice:** The right broker is going to be able to offer you a ton of advice. They can help you figure out how to invest, how to grow your account, and even how to manage and maintain your money. If you find a security that you want to trade in, but you need some advice and some help, the broker is the one you would turn to. These brokers are trained and have a lot of experience in this, and they will provide you with some of the best professional advice in the financial business.
2. **Trading:** A broker can, and will, execute the trades for you if you choose. They can submit the stock, bond, mutual fund, commodity, option, Treasury Bond, and CDs buy and sells that you want. They are also able to complete a few other things that you need including customer tender offers, add lot offers, reorganization items, and more.
3. **Record keeping:** One of the biggest benefits that you can get for using a broker for your trades is record keeping. A broker and their firm will keep records of the trade confirmation, the monthly statements for what you earn, and a lot of the reporting statements that you need at the end of the year. They will also keep ahold of the activity that occurs on that account for the past seven years. Many people will keep their broker around just to help with these ‘end of the year statements’ rather than doing the work on their own.
4. **Teacher:** Those who are brand new to investing can learn a lot from their professional and seasoned broker. The broker is going to provide them with a lot of insight and can help you learn about the risks and rewards, as well as the disadvantages and advantages of the different investment vehicles.

5. Conflicts: If you find that you picked out a broker and then you run into some troubles with them at some point, you have some options for recourse to work with. You can then take your complaint with the company or the firm where the broker is employed. And the company will answer your complaint and help come up with a solution that works for everyone.
6. Rule and regulations: There are some rules and regulations in place to govern brokers, and each and every one of them needs to adhere to these standards. Their job is to basically help you to keep and grow the money while acting in an ethical manner. The good business sense that comes with a good broker means that they will be rewarded in many ways, including by the clients being happy and serviced.

When to Trade More on Your Own

With day trading, you will start to complete a ton of different trades all in the same day. The more that you are able to trade, the more money you can potentially make in the process. Some of the best day traders can do 50 or more trades in a day and earn profits on the majority of those trades to bring in money. Because you are completing so many trades in such a short amount of time, you will gain a lot of experience, especially compared to traders who only trade on occasion or stick with the long-term trading strategies.

As you gain more experience and get more comfortable with the trading that you are doing, you may find that you need the assistance of your broker less and less. Many beginner traders will find a good broker and stick with them because this is easier. The broker will help them set up the account, offers advice, and can give them a lot of advice and charts and other tools and resources to make it easier to trade than ever before.

This is a great way to start out. But it often costs more. Many beginners will do this anyway because it allows them to have a chance to learn and get help right from the beginning, while also reducing the amount of risk that they take on. It's like having a mentor on your side to help you to do more trades and learn more as you go.

But as you do more trades and gain the knowledge that is needed, it may be time to look at other methods that don't need to rely on a broker so much. This can give you more freedom and can even save you some money since you no longer need to pay for a full-service broker to get the work done. You can look around at other opportunities to invest and find the one that works the best for you.

Once you notice that you don't need as much help from the broker, and you are seeing some successful trades without having them there to answer questions or direct you as much anymore, then it may be time to switch over to doing it yourself. You can technically start trading at any time that

you would like on your own, but building up some confidence and working towards that as your ultimate goal can really make a difference.

If you do go off on your own, still take the same precautions that you did when working with a broker. This will give you many more opportunities and will ensure that your money isn't getting risked too much. Also, don't rush leaving your broker. There are many benefits to working with a broker, and for some people, they will prefer to stick with theirs even when they are doing a lot of the work on their own. This is just as good as well. You have to choose your own journey with day trading. Some people like to go off and do it on their own, and some people like to have another professional there to help them out with their trades. The choice is up to you.

Many times, you will have the question about whether it is time to start trading on your own. The answer to this is going to depend on who the trader is, how much experience they have, how comfortable they feel with the market, and what their goals are for the future. You have to determine what works the best for you and go from there.

Chapter 11: Are There Days to Avoid the Stock Market?

When you are working on day trading, you may be overly excited to get right into the market and to try and earn a good profit in the process. You may go in with the best intentions of going into the market right away and seeing some great results in the process. While this is a great thing to have some goals, you do have to be careful about how you enter the market and whether you are making the right decisions for your trades and your profits.

While day trading can be done in many different market conditions, you may find that there are some days when you shouldn't get into it at all. Knowing what signs to watch out for and why you should avoid the market, and why each day isn't always the best for investing, can make a big difference in how much risk you take on. Some of the reasons that you should choose to avoid the stock market, at least for that day, include:

When the market has been shaken up

Sometimes there is some major news that comes out and people start to scramble. Or maybe the government does something, and it increases the volatility of the market as well. If you are looking at the market and you see a ton of volatility and movement that happens with many stocks and the market as a whole, then it is probably a good idea to avoid the market as much as possible and wait for it to slow down a bit.

Volatility is something that more advanced traders may try to work with, but often it can be risky even for them. The market will settle down, and some clearly defined trends will show themselves if you can wait a bit. Protect your investment and your capital and just wait out the storm if you notice that a particular stock, or the market as a whole, is having too much volatility.

When you can't find a stock to meet your strategy

Sometimes, you just won't be able to find the stock or the security that you want for this kind of trading. Sure, you want to get into the market as quickly as possible and make some money, but you probably don't want to spend all day looking at brand new stocks and checking to see whether they will work with your strategy. And then there may be some days when the stocks you are comfortable with are too volatile or maybe their line is horizontal, and it is not worth your time to even try.

If these are cases for you, then just take the day off. Do not try to increase your risk just because you are desperate to get into the market or because you feel like the day will be a failure if you don't trade. Your capital and your investment are too important and missing one day isn't going to make you miss out on much overall.

When you can't devote your day to the work

Day trading is not something that you can just check in on occasion and hope it will turn out well. In fact, you will probably need to devote your whole day to it if you are hoping to add some profits to your account. By the time you create your watch list, wait for the volatility of the market to subside, look for the patterns that go with your chosen strategy, and then do at least a few trades, most of the day has passed by.

Day trading can quickly fill up your day and avoiding this can seem almost impossible. Yes, it would be nice if you could join the market in the morning and then just show up at night and take the profit, but this just isn't going to happen. If you need a strategy that allows you to just check in on occasion, then a long-term investment option is better for you.

Now, there are things that come up that can make it more difficult to trade each day. If you are feeling sick, have something come up that will distract you, or just don't feel like you can emotionally handle the day trading for that day, then go ahead and take the day off. Give yourself a day or two to refresh, and then you can come back ready to tackle the work and see some amazing results again.

Day trading can be a full-time job, and many times you will be able to find a ton of great opportunities to work with to increase your profits. But there are going to be some days that you will try to get into the market, and just won't see any good trades to work with. Or maybe you are worn out and decide to take a day off to relax and recharge rather than make big mistakes and harm your profits. Knowing these things ahead of time and being willing to walk away when things don't go the way that you want can go a long way in helping you to see success with day trading.

Chapter 12: How to Turn Day Trading into a Passive Income?



Day trading is a great way to earn a good income. Whether you decide to do it on your days off during the week, or you want to turn this into a full-time way to make an income, there are plenty of opportunities available for everyone who wants to give it a try. But if you are already experienced in trading, and you want to take it to the next level, then learning how to turn day trading into a passive income can seem like the logical next step.

There are so many things to enjoy about turning day trading into a passive income. This basically means that with minimal amounts of work, you can bring home an income while enjoying some of the other things that you want out of life. There are a few different methods that you can use in order to create this passive income and see some results without all the work.

Now, to some people, this may sound like it is too good to be true. The truth is, it does still take some time and it won't happen overnight. But with the right knowledge, a good strategy, and maybe even the right amount of capital and software, you will be able to take your day trading endeavors and turn it into a way to make money without having to be attached to your

computer all day long. Some of the ways that you can turn day trading into a passive activity include:

Automation

To help you make day trading passive income as easy as possible, you should consider turning on some automation. When you use these systems in the proper manner, they can bring in a ton of good profits. This is because there are only so many trades that you can go through and manually make on a day to day basis. While a sophisticated algorithm can help you to automatically enter and exit positions as soon as the criteria that you enter into the system have been met.

These systems are going to enable you to trade in a number of markets at once, which would be really hard to do if you went through and tried to do it all automatically. In fact, after you have taken the time to enter in the entry and exit positions to the system, it is going to execute the trade for you as soon as those criteria have been met.

These programs are going to enable you to do your trades in more than one market at a time. This can be hard when you are going through this manually because then you take your eyes off the trades and will miss out on some opportunities. Once you have gone through and programmed in your criteria, you are able to generate a passive income, even when you are busy with other things. You just need to learn the market first and pick out the right strategies to work and it will get done for you with the right automation system.

Many people doubt these programs because they worry that it is too good to be true. However, it is estimated that as much as 75 percent of all the trades that are done on the NASDAQ and New York Stock Exchange will come from these algorithms, which can demonstrate how powerful these can be.

Software

Before you try to do a passive income with automated stocks trading, you must make sure that you find the right kind of software that is reliable and will do a good job with your trades. With any kind of software that you are

choosing, you should do some research and check reviews before you decide to invest your money in them.

Once you have chosen the right software, it is time to get a good strategy. If you have already been doing some trades up to this point, then you should find that this is pretty easy to get started with and you can pick out one of your favorites and use that strategy for your plan. You may find that creating a checklist of the parameters that you want to follow for day trading is a great place to get started. Some of the other things that you may consider while making your trading plan will include:

- The stop losses and the targets
- The timeframe that you want to use for day trading
- The size of your position
- What you would like the entry and the exit positions to be

Algorithm

Once you have your strategy in place, you will need to come up with the algorithm that you will use to do the trades. If you already have a bit of technical knowledge, you may be able to input these instructions and come up with the algorithm all on your own. This can work with a bit of learning as well because the code is pretty simple. However, if you don't have the technical knowledge to do this and you don't have the time, then hiring someone to assist with writing the code may be the best bet.

Backtesting

Before you use any kind of automated system, you need to take the time to backtest the strategy. This backtesting is going to allow you to put your system to the test before you actually risk any of your own money. What you will do is run the software and your algorithm, against some of the historical price data for the market or even a particular stock, and then see how well it performs. Then, if there are any issues or bugs in the system, you can quickly identify them and remedy the issues that may come up.

One simulation that you may want to try out for doing this is known as the Monte Carlo. This one is going to continuously repeat the steps of your algorithm and then inputs random data into the parameters. This will make it easier to forecast how well the system will perform before you place your capital on the line with the system.

Hopefully, with some hard work and a good algorithm, you will then be able to implement the software and then can sit back and watch what the passive income is able to do for your account. This doesn't mean that you can never check back in on it. You want to have a routine schedule in place to check whether or not the software is performing as expected. Even with a good system and algorithm, it is possible that some glitches and some anomalies in the system will occur.

Copy trading

Another method that you can use to help with passive trading is to use the method known as copy trading. Rather than spending a lot of time and your own energy coming up with your own strategy and then having to monitor the market, you can use the success that other traders have enjoyed and then follow their lead.

For this method, you simply need to choose a trader and then your chosen program is going to mimic the buying and selling that trader does, using the capital that you provide. However, you will find that the particular trader you choose, as well as the website, will take at least a small amount of the profit you earn so factor that into your wins. But you can also use that as a way to make money; allow others to copy your trades and then earn commissions when they do. So, in a way, this can help you earn income passively in two ways, from the traders you just copy without coming up with a full plan, and from others who decide to copy you.

There are a few drawbacks that can come from using this method. This may sound like the perfect way to get started with investing, and you may be drawn to it because it provides you with a way to trade without having to worry about doing all the work, but there are several reasons why it may not be the best trading strategy for your needs. These would include:

- You will risk capital: You must be prepared for that because of the amount of volatility that occurs in the market, this method can make it easy to lose out on all the capital that you invested in the beginning. If you are averse to risk with your strategy, then seeing a lot of big losses for a few days could be stressful and may be enough to turn you away from this method.
- Choosing a trader: Picking out the trader you want to follow is not something easy to do. For example, if you follow a cryptocurrency trader who is more aggressive, you may clear out your account in just a few days. But then if you follow someone who is too risk-averse, you may not be able to earn anything. You want to consider the approach

and the instrument choice of the trader and look at the history of their most current trades. You want to make sure that your results are consistent and steady. You may even find that it is best to work with a few traders in this.

- Not following the trades proportionally: There are some sites that won't allow you to do this. However, for good, if not always clear reasons, traders are going to invest specific quantities into each trade. Therefore, make sure that you are able to stick to copying the trader of your choice as much as possible.
- Learning tool versus a money generator that is guaranteed: Many argue that working with trade copying is a tool that beginners can rely on to learn about the various instruments and markets they can trade in. But you do have to put in some work so it may not be seen as the best method to get the passive income you want out of day trading.

Overall, those who want to make a passive income working with day trading may want to use a combination of these two methods to help them out. Each can help you to reduce the time that you have to spend on the computer to do the day trading, while still making as much money as possible. While there are some risks and drawbacks, which is why not everyone chooses to work with these methods, it does provide a unique challenge to help you to find the trading style that works the best with your own needs.

How to Make Passive Income with Forex

Another area that you can work on in order to earn a passive income is the Forex market. The Forex market has a lot of opportunities that you can work with, and understanding how the market works as a whole, while also working to turn the income into something you can do passively, can make a big difference in the results you will get with your income. The good news is there are a few different techniques that you can follow in order to do passive income day trading with Forex and they include:

Forex signals

For this strategy, the investor is going to select a trader who has good results with their own trading. Then they will go on a specialized service and then subscribe to receive some trading signals. Then when the same trader goes on and opens a position, the investor will get a signal sent to them, through e-mail and/or SMS messages in most cases.

From there, the investor is able to make a decision about whether they want to open up an analogous trade in their own account or not. While this can be a bit risky since there are a lot of bad traders out there even on these specialized sites, it can definitely give you a leg up if you can find a good trader to follow along with it, and often the potential profits that you can earn from this investment are going to be higher.

Forex robots

You will find that it is easy to find a Forex Expert Advisor. These are going to represent a certain program code, which can work to make automatic trades on your brokerage account based on the algorithm that you send it. If you would like to work with this option, you need to go through and install the app or program for Expert Advisor into your trading terminal. And then, when you are ready, you will run the program. When this is done, the robot is going to do all of the work for you, opening and closing, automatically, the trades you do once certain conditions in the market occur.

The nice thing about this is that you get the chance to take a look at this Forex Expert Advisor and decide how it should rely on things or the criteria that it needs to meet. You can set up the size of your stop loss points, your take profit sizes, and the risk level that you are fine with. You may also find that as an investor, you can go through that the robot is turned off at any time that you need.

This type of investment can ensure you get some of the best trades possible, but it does require that you have a good understanding of how the market works and what is going on with it. This ensures that you can give the right directions to the robot so that it can execute the orders without taking on risks that are excessive.

PAMM investment

Another method that you can use is to make an investment into a PAMM account. With this manner, you will be able to choose the strategies that are good for you, then you will get them on a brokerage website using the funds that you already have available. Relationships between an investor and their own account manager are going to have some regulations in place by a special agreement or offer, where the commission for the investor and the compensation of the manager will be earned when you make a profit on a trade.

Now, with this method, if the manager is going to have 35 percent profit with the offer, then this means that the income of the investor is going to be 65 percent. So, with an example of this, if the monthly profit that you can earn on the brokerage account is \$5,000, then the account manager of this is going to receive \$3,250.

You can also choose to allocate the profit that you earn on a stated tie, such as weekly, bi-weekly, and monthly. The managing trader is going to hold onto the rights to only manage the funds of the investor. But they won't be able to physically go in and dispose of those funds at any time for personal purposes. So, what this means is that the managing trader will not be able to

take funds out of your account or move them to one of their other accounts during the trading time or any time after that.

If you are interested in setting up this kind of an account, then it is important to discuss it with your broker ahead of time. Some brokers will be happy to talk to you about this, but always go over the rules and regulations, and even the commissions for it with your broker to ensure you are on the same page.

Many of the methods of investing in the Forex market are going to be similar to the method of passive income on the other markets that we have discussed. But because there is a lot of volatility that occurs in this kind of market, it is important to really know how it works, to pick out the right algorithms, and to ensure that you really know what is going on with the market before you decide to get started. But when all of this comes together and you have the right tools in place, it is possible to earn a passive income on the Forex market.

Making a Passive Income with Cryptocurrencies

When you think about making money from these cryptocurrencies, you may imagine that someone is manically day trading or buying new ICOs in order to make the money. However, there are many other methods that you can use in order to earn income from these currencies that aren't all that active and won't require as much time as before. These methods will have a range in them, going from semi-active, which require a bit of effort but not much, to a fully passive income, which won't require any of your time at all. Depending on the capital that you have available and a willingness to sign up for a few things, there are some methods that you may like better than others. Let's take a look at some of the passive income methods that you can use to make a passive income with cryptocurrencies.

Staking

Many of the blockchains that run these various cryptocurrencies are going to use proof of stake variants, which will allow the traders to earn additional coins just by staking the coins that you already have. For helping to secure the network and locking up the capital you have for a bit, you will then be able to receive a proportional amount of the inflation that occurs on the coin.

There are going to be many proofs of stake coins that are going to differ in how you can implement them and the amount of rewards that come with them. You may want to consider each of the different coins that you can choose to work with. You should do some research to make sure that you find the right coin that can help you earn the right money.

Now, this does require a bit of work to get started. You will need to set up the account and put the right amount of money to start. The amount you need to get started is going to change based on the coin you want to work with. Some will require you to set up a consistently online node, and then there are others that will just need a one-time setup through the wallet. Node staking can often be more lucrative compared to other methods, but it does need more startup capital and it can take up more time. If you want to

make this method as passive as possible, working with an option like Ark for staking will give you a return of ten percent with very little setup outside of owning the coins and choosing a delegate at the start.

Exchange coins

The next option that you can make is to exchange coins. There are several exchanges, like COSS and Kucoin, that have some tokens available which will allow you to receive a share of any fees that they collect on their sites. For the most part, a certain percent of the collected fees on that site will be given back to the token holders. And then, inside that portion, the dividends that you receive will be based on how much you invested and the number of tokens that you hold onto.

The method is not always the most consistent because it will completely rely on the volume of exchange that occurs during a period of time. But if you are able to get into a coin ahead of time, before it does gain a ton of volume, you could earn a higher rate of return because the initial price was low and then it goes up as the trading value increases.

Of course, this one can be a bit risky because things can go in the opposite direction as well. If the volume does decrease on the exchange, it is possible for you to lose money in terms of dividends and the token price. Also, remember that the dividends can come in the form of the different coins on the exchange, rather than the exchange coin. This means that if you are only holding onto a smaller amount of an exchange coin, you may receive amounts of each individual coin that the exchange has, and the amount can come in so small that you won't be able to sell them.

Dividend coins

There are also some exchanges out there that will offer you some dividends in the form of other coins just by holding onto the original coin. For example, NEO is able to generate Gas and Vechain will generate THOR. Each unit of the original coin is going to generate some predetermined amount of the new coin, and then these coins are going to be related back to

paying network fees, while the original coins are more of a way to pay the equity of the network.

You will find that the rate of return that you earn on these is going to be pretty low, like under three percent. But since they won't require much work outside of owning the original coin, it is a way to make some passive income through cryptocurrency. If you know that there is going to be a higher trading volume on one day compared to another, then it is a good idea to get into the market and hold onto it for a day to see the results.

Day trading is a great way to help you earn a good amount of income when it comes to many different markets. Passive income is a great goal to reach because it ensures that you are able to make some good money with your trades, without having to be glued to the computer all day long. Use some of the methods above to help you get started with some passive day trading and bring in that income today.

Considering the Taxes



One thing that you need to consider when it comes to day trading of any sort, but especially of passive incomes, is that there are going to be some rules and regulations that are worth your consideration. Some tax systems, depending on the country, will split up the types of earnings you can do into three categories that are kept separate. These three earning type categories that you need to be careful about when it comes to your taxes and other rules and regulations include:

1. Passive: This is often going to be seen as net rental income, or it can be some income you earn from a business, that you didn't materially participate in. It can sometimes be something like self-charged interest. This type of definition is broad because it is meant to encompass a big range of activities. You can fall into this bracket or category if you are

not directly involved with the intraday trade activities, but you still benefit from it.

2. Portfolio: This would be any of the capital gains that you get from either trading in securities or in commodities. This means that if you earn income from ETFs, gold, currencies, stocks and more, then you have earned portfolio income. Depending on the manner that you earned this, it could be considered passive income. If you purchase a stock and then hold onto it for the long-term, such as with your retirement account, you may earn dividends in a passive way. Most day trading activities are going to be more active and this would place the portfolio as an active source of income instead.
3. Active: As you can guess by the name, you will have an active income when you are continuously and substantially involved with the business activity that is earning you money. So, if you spend most of your day at the computer participating in your day trading, you would then fall into this category.

Of course, there are some changes that will come in these definitions based on which tax jurisdiction you are in. The main point here is that you should always double check what type of trade activity will constitute as passive income where you live, and then check if there are some special tax regulations that you need to be aware of ahead of time. This helps you to prepare during tax time and can keep you protected.

Now, there are some countries that will take the passive income and will consider it as taxable along with any non-passive income. However, there are times when it can be treated in a different manner. For example, inside the United States, the IRS will allow some of the losses from passive income to be written off only against the passive gains. So, when the losses exceed the income that you earn from passive day trading activities, the remainder of the loss will be carried to the following year, as long as there is actually some sort of passive income to write it off against.

Passive income is something that a lot of people wish they could have. They would like to make some money on the side, maybe along with a regular job, that would help them to pay off their bills, get rid of debt, and

see more results with living the life that they would like. While most day trading activities are going to be considered active income sources, and they often take up a lot of time in order to generate the income that you want, it is possible to turn some of your trades into a passive income. Thanks to some of the modern technology that we get to use, many times individuals can at least rest and relax a bit, even though they should check in on occasion and still earn a profit from trading. However, it is important that you take the time to find a good system that suits your circumstances, that consider the risk you are comfortable with and thinks about the tax rules in your area.

Conclusion

Thanks for making it through to the end of *Day Trading Playbook 2019*, let's hope it was informative and able to provide you with all the tools you need to achieve your goals, whatever they may be.

The next step is to keep working with your day trading strategies and account and utilize some of the different techniques that we have talked about in this guidebook. There are so many different strategies that you can utilize throughout your trading adventure, and the strategy that you choose to work with will often depend based on how the market is going, how much you are willing to risk on the trade, and which stocks you want to work with. This guidebook took the time to explore some of these trades and some more of the intermediate strategies that will take your money further.

Day trading is often seen as a misunderstood method of trading in the market. And it does come with its fair share of risks, especially compared to some of the other long-term trading methods that you may choose to go with. But for those who know how to work with the market, know how to read the charts, and are willing to pick the right strategy, day trading can be the best way to invest your money!

Finally, if you found this book useful in any way, a review is always appreciated!

Day Trading Playbook

*Veteran's Guide to the Best Advanced Intraday Strategies and Setups for
Profiting on Stocks, Options, Forex, and Cryptocurrencies*

Skyrocket Your Passive Income in Weeks!

By

David Reese

Introduction

Congratulations on downloading *Day Trading Playbook 2019* and thank you for doing so.

The following chapters will discuss all the advanced strategies that you can enjoy when it comes to day trading. There are so many great opportunities that you can enjoy when you decide to work with day trading. Even stocks that are doing well and seeing a healthy upward trend can benefit from some ups and downs each day, and this is where day trading is going to come into play and make things easier for you to make money. And the best part is that with day trading and with some of the strategies that we will discuss in this guidebook, you can start earning a profit today, compared to waiting months or even years with long term investing.

This guidebook is going to go over some of the more advanced strategies that you can use in order to turn your day trading journey into a full-time income. There are a lot of different strategies that we will discuss including candlesticks, the fallen angel stocks, opening trend breakout, ABCD strategy, and so much more. Each of these can be used, and when you work with them in the correct manner, you will see some amazing results and be able to bring home a profit on all of your trades.

In addition, we will take a look at some of the other things to consider when it is time to be an advanced trader. We will look at how to develop your skills and not just your strategy with day trading, how to reduce the risks that you are dealing with when it comes to day trading, and even how to size up the position that you are working with on each trade to get the best results.

When you are ready to take your trading to the next level with day trading, make sure to check out this guidebook and learn all of the advanced trading strategies that will work for your needs.

There are plenty of books on this subject on the market, thanks again for choosing this one! Every effort was made to ensure it is full of as much

useful information as possible, please enjoy!

Chapter 1: Why Day Trading is the Best Way to Make More Money Investing



Day trading is one of the best methods that you can use to make money in the stock market and with other securities as well. Many people are interested in finding a way that will earn them a good profit, and none will find a better option than day trading. Unlike some of the other methods that you can use out there, day trading is unique in that you can start earning profits on your very first day. While other traders may end up having to wait a few months to many years to receive a profit, a day trader is able to get into the market and earn a lot of profits in a short amount of time.

The Benefits of Day Trading

There are many benefits to working with day trading, which is why so many people choose to use this as their way to make money in the stock market. They are interested in joining this market and making money quickly. In fact, once you get some of the basics of day trading down, you will be able to use these strategies to earn a lot of money in a short amount of time and even in the same day! Some of the different benefits that you will be able to enjoy when you get started with day trading include:

1. Day trading is able to eliminate the overnight risk that others may deal with. The market can be very versatile and volatile in the evening, and right when the market opens. Many traders are trying to decide if they want to keep or get rid of their securities. If you hold onto your own securities overnight, it is going to be really hard for you to know how much they will be worth the next day. Day trading takes this risk away because it helps you to get out of the market during the same day, without having to worry about what is going to occur overnight.
2. You get the benefit of leveraging: Many brokers out there are going to allow you to use several times more than what you have in your account for capital. This will provide you with some more opportunities to control your investment and to take on more of an investment than what you would be able to do otherwise. If you are careful with the trading that you do, this can help you to really multiply the amount that you can make. Beginners are often told not to work with the margin or with leveraging, but if you have had some time in the market and really know how to protect your investment and be safe, then this can really help you to grow and see results.
3. Gives you a chance to learn more about the market: Those who decide to work with day trading get a nice crash course in investing and how the different parts of the market work. You will get a good look at a lot of different types of securities that are out there, and you will be able to get some more experience than what you can find with other forms of investing.

4. You can do all of the work at home: While it is best if you are able to do the work of day trading for quite a bit of your time, you do have the option of doing day trading in your free time and around your own schedule. You would just need to make sure that you could enter and exit the trades around your other obligations.
5. Lots of challenges: Some people decide to get into day trading because it offers them some unique challenges that they aren't able to find anywhere else. Many traders find that having all of the changes and the ability to trade in different strategies and different stocks can end up providing them with a big feeling of accomplishment. It can be a big adrenaline surge to enjoy the trading and getting the best results possible.

While there are a lot of benefits when working with day trading, there are also going to be some negatives that a lot of traders need to deal with. While there are some who are successful at using the strategies and the other tips that we talk about in this guidebook, and can make some good money on them, there are also some negatives and some other things that you need to pay attention to as well.

First, when you enter into a trade, you will need to leave your focus just on the trade, at least until you take out the profits or cut your losses. If you don't have enough free time to watch it all, or if you have trouble keeping your focus for a longer period of time, then day trading may get a bit frustrating. Day trading means that you need to watch the computer quite a bit and stay on your toes if you want any hope of seeing results.

While it is a benefit that you don't have to worry about the big swings that can occur with trading at night, you are also going to miss out on a few good trading opportunities that you may want. There can be a ton of money that you are leaving on the table when you don't take advantage of those overnight gaps, but trading overnight doesn't work well with day trading.

Another thing to consider is that it's possible for the market to move a lot, but this doesn't mean that the trade you are working on is going to have that same movement, and this is common with day trading. How often has the

market done some big movements and then you either had to take a loss, or you earned a profit and it barely helped you to break even.

For some people, the market hours are going to end up being a big pain. Those who live on the east coast can get in a few hours of good trading based on the eastern time zone before they even have to head into work. But for other time zones, this just makes it difficult to do one day trading without missing work.

Day trading can be beneficial to some people, but it is important to know when it is going to be beneficial and when it is going to be hard to keep up with. This helps you to make a great decision on whether day trading is the right option for you or not.

Using Day Trading to Make a Living



There are two divisions when it comes to professional day traders. The first one is those who work alone. The second is those who work for a larger company. Most traders who do this kind of trading for a living will work for a large company. This is helpful because these individuals will have access to a lot of tools that an individual trader only dreams about. These can include some expensive analytical software, a lot of leverage and capital to start, and a direct line to the trading desk. These types of traders are looking for profits that are easy and ones that can be made looking at news events and arbitrage opportunities.

This doesn't mean that an individual trader isn't able to do day trading on their own. They may not have a trading desk of their own, but they may have some strong ties to a brokerage and some other resources. If you are an individual trader, you won't be able to compete with some of the larger companies, but there is still a niche market that you can join.

If you wish to use day trading as a method to make a living, then there are a few things that are required to make this happen. These include:

- Some sort of access to a trading desk: This tool is often reserved for those traders who work for a larger company or those who will manage a lot of money. The dealing desk provides these traders with the ability to do trades instantaneously, which is very important to the success of day trading. If you don't work for a large financial organization, you may need to discuss with your broker what options are available for you here.
- Several news sources: News is going to provide you with the information you need to pick the best trades in day trading. You need to be one of the first to know when something big is about to happen. Then, you can jump into the market in the beginning and get a good price. Once everyone else catches onto the news, you can sell your security and make a profit. Having at least three or four news sources that you look through each day can help you figure out the right trades to make.
- Analytical software: When it comes to day trading, analytical software is going to be so critical. It may be a bit expensive when you get started, but it is a necessity for most day traders. For those who are working on swing trades or technical indicators, you will rely more on this software than the news. Some of the features that you will want to find in your software includes:
 - Pattern recognition that is automatic: This means that when you work with the trading program, you want it to identify technical indicators, such as channels and flags. You may even want some complex indicators such as the Elliot Wave patterns.
 - Neural and genetic applications: These are programs that will utilize genetic and neural networks to help make your trading systems better. They are good at making more accurate predictions when you are trying to figure out where the price is going to move in the future.
 - Broker integration: Some software applications are going to make it possible to interface directly with the brokerage. This makes it easier for an individual trader to do an automatic execution of trades. Not

only does this help you to get into and out of the markets at the right time, but it can also take some of the emotions out of the game.

- **Backtesting:** Backtesting can be useful because it allows a trader to practice a bit. You will take your strategy and test out how it would have worked if you used it in the past. This is not always completely accurate, especially if the market turns a different way. But in some cases, it can give you an idea of how your current strategy will work in the market by basing the information on historical data.

When these tools are combined, they can provide a trader with a big edge over others in the marketplace. And when it comes to working with day trading, they are really important. Without them, and the right experience, many traders can lose money in the market.

Chapter 2: Fallen Angel Trading Strategy



Fallen Angel Strategy

Fallen Angel is defined as a bond that was once attached with a stable or high rating, but as a result of some unfavorable circumstances, it experienced a serious fall thus sustaining a decline in market demands as well as ratings. The bond is usually downgraded by one or more of the big three rating services, which comprise of Standard & Poor (S&P), Fitch, and Moody. The reason for a bond downgrade may be due to declining revenues or other financial issues experienced by the bond issuer. Factors such as rising debt levels coupled with the continuous drop of revenues only increase the chances of a bond being downgraded.

Explaining Fallen Angel Bonds

Momentum investing which entails investing in shares that are soaring in value and making the most out of the current trade is one of the most successful and popular investment strategies. However, there are those contrarian investors who take the opposite route when investing, which is buying bonds downgraded to junk status and investing in shares that have greatly dropped in value. Such investors believe in capitalizing on the ability of the entity to recover.

Essentially, fallen angel bonds are considered to be higher-quality bonds when compared to the average high yield bonds. More so, they also have the potential of bouncing back to the investment grade. Issuers of fallen angel bonds are usually larger companies that are mature and have well-known brand names. This is because such companies have the financial muscle to help them bounce back to investment grade.

This is how it happens. Normally, the downgrade process begins when the debt is placed on negative credit watch by a rating service company. Following this, the portfolio managers may be required to sell positions depending on covenants that are fund specific. It is the actual downgrade to junk status that usually fuels an increase in selling pressure, especially from funds that are restricted to holding investment grade debt exclusively. For this reason, fallen angel bonds have the potential of presenting value within

the high-yield category. However, this only happens when the issuer has a fighting chance of recovering from the conditions that originally caused the downgrade.

What the Fallen Angel Strategy Entails

The basis of the Fallen Angel investment strategy is that investors have a higher tendency of overreacting whenever a share price dramatically falls. As a result, the market's forced sellers push the price further down, thus allowing fallen investors to pick up these shares at very low prices.

With fallen angel bonds, it entails picking up lots of bonds that large institutions have had to sell because of downgrading. Similarly, the massive number of forced sellers further pushes the price down. While investing in Fallen Angels is not an easy strategy, there are funds on the market that cover this type of investing also known as the Market Vectors Fallen Angel High Yield Corporate Bond.

Reverting back to the stock market, there are merits to using the Fallen Angel investment strategy. According to research, shares that haven't done well, over time, will eventually do better than those that have been doing well.

The Characteristics of Fallen Angels

Here are some of the features of a Fallen Angel:

- Is susceptible to higher volatility since there is a major shift in the firm's status.
- Can be sold off by the market in bulk quantities before an anticipated downgrade and index infusion.
- Allows investors to rush and buy fallen angel bonds post the downgrades for speculative purposes.
- The firm has hopes in recovering and earning high price returns provided the fundamentals are strong.
- Average higher credit quality when compared to original-issue junk bond indexes as well as other junk bonds.
- Has a lower credit risk since about 75% of fallen angel bonds are BB-rated?
- Has a 3.51% average 12-month default rate as compared to overall high yield bonds with 4.22% and original-issue high yield bonds with 4.51%.

Examples of Fallen Angels

Think of an oil company which due to the continuous decrease in oil prices, has sustained losses over a few quarters, thus resulting in its investment-grade bonds to downgrade to junk status because of increase in debt. Due to this downgrade, the prices of the bonds of the oil company decreases while yields increase. This makes the debt more attractive to contrarian investors who only see the drop-in oil prices as a temporary situation.

Keep in mind, however, that there are a few conditions in which issuers of fallen angel bonds may not recover. One such instance, for example, is of a company experiencing a drop-in revenue as a result of the introduction of products that are superior to theirs, such as the progression to video streaming from DVDs which originated from VCR tapes.

For sovereign and municipal debt issuers, investment-grade bonds may be downgraded to junk status as a result of a combination of declining or stagnant tax revenues and increasing debt levels. In many cases, these conditions lead to further decline since shortages in revenue which come as a result of an increase in tax receipts catalyzes the ongoing issuance of debt to fund sovereign or local obligations.

The Risks and Opportunities that Come With Investing in Fallen Angels

When a deep analysis is conducted, the Fallen Angel investment strategy does offer its fair share of pros and cons. Some of the opportunities associated with fallen angels include:

- Investors get to enter the market by purchasing fallen angel bonds at a lower price even if the downgrade is expected to be temporary in nature.
- Fallen angels can offer potentials for much higher returns if they are held for some time, especially if the firm's fundamentals are strong.

Some of the associated risks include:

- A decline in the price value which is the result of a bond's inferior credit quality development which in turn results in the downward fluctuations of a portfolio's value.
- Inability to maintain pace with the rising technological advancement and competition. Therefore, to adapt to the changing requirements, it needs to regularly re-evaluate itself.
- Most of the times, firms find themselves in this situation because of specific issues arising within the company itself or the industry it operates in as a whole. For this reason, the firm's fundamentals should be equally robust and the microeconomic situation kept under control.
- The company's adopted strategy ought to be in sync with confronted situations. Keep in mind that most times, when issues arise as a result of the organization's internal struggles, it is mostly because of the use of debt instruments for financing during the wrong part of the development process.

Applicable Strategies Used in Recovering Fallen Angels

Below are some of the strategies that help investors in recovering fallen angels.

Reducing your expenditure

While this is a less popular way of getting back on track, it is still a worthy tactic that is adopted across the globe and it entails of the following:

- Limiting resources by using similar quality or superior materials whose prices are lower than what the company uses.
- Slashing or reducing benefits such as pension or healthcare until the business is able to reach the process of recovery.
- Terminating the services of some employees or limiting resources to those workers whose tasks are less critical in the overall process.
- Using automation to help reduce the number of resources attached to certain departments or support process.
- Employing contractors or retrenching some of the company's employees

Changing your business segments

A company or entity may be facing a downgrade in credit rating as a result of low performance in a specific segment of the business. A good example of this is Nokia where the telecommunication business generated more revenues when compared to the handheld device segment.

This happened as a result of technological advancement coupled with a shift in customer preference. In the end, the company was unable to generate adequate revenues from the handheld device segment of the business because of more sophisticated competitors such as Microsoft, Samsung, and Apple who were entering the market with a bang.

Finding it extremely hard to get back on track, Nokia's shares turned out to be a Fallen Angel. The ideal solution when in such a situation is to close up shop or sell the struggling division and then projecting the resources towards high-profit potential. Applying a similar thing, Nokia was able to focus on improving its telecom equipment segment.

Changing your capital deployment

A firm or entity that is struggling with a Fallen Angels situation can make changes in the Capital deployment process through the reductions of the amount of capital that is allocated to segments that are underperforming. They can then allocate the extra capital to subsequently enhance the segments that are performing well. This can involve:

- Disposing of some of the company's assets to raise additional capital or funds.
- Improving the allocations of capital to the most productive segments in order to extend the base for revenues.

Factors Leading to the Superior Performance of Fallen Angels

The performance of fallen angels can be attributed to several factors as a result of both structural and human behavior. Here are some of them:

- The ability of the issuer access capital through the equity markets for the repair of balance sheets.
- Forced selling by various markets.
- Call features that are attractive enough to offer superior returns when spreads tighten.
- The management of incentives for the purpose of recapturing investment grade status.
- The extrapolation and overreaction of current events into the future.

Going forward, these factors are likely to remain in place. Therefore, we can draw the following conclusions about Fallen Angels:

- If you are a high yield investor, you ought to consider a strategic plan to the segment of the Fallen Angel's high yield universe.
- As an investment grade investor, you should avoid constraints or situations that might lead you to be forced to sell.
- While Fallen Angels are an attractive segment of the high yield market, some investors may consider it as a significant component of a portfolio that is well deserved.

How to make the most of the Fallen Angel Strategy

The best way to access and make the most out of Fallen Angels is by hiring the services of a skilled and active manager. However, if you are unable to invest in fallen angels with the help of an active manager, or you lack the

sufficient assets for a dedicated strategy, consider a modest allocation of a fallen angel EFT.

Just like high yield, investing in fallen angels is not for everyone. For this reason, they should not be considered as a substitute for a high-quality income that is risk-reducing but as part of an allocation that is return-seeking. The main risk involved in this is that there is a possibility that the fallen angels' benefits will not persist, thus resulting in the poor performance of the overall market for high yield.

It is important to note that while fallen angels have historically outperformed, you shouldn't assume the same will automatically happen for you. Therefore, it is paramount that you carry out extensive research and get the services of deep sector expertise if you want to enjoy the potential boost of long-term returns. To make the most out of the opportunities that fallen angels offer, avoid unnecessary risks by identifying the best firm to invest in.

So, does a Fallen Angel Strategy work?

According to a 1985 study done by Richard Thaler and Werner De Bondt, portfolios holding the worst performing stocks were found to beat the performance of the portfolios containing the best stocks over time. However, the fallen angel strategy is not that simple because there are a number of things that can interfere with its performance. In the US for example, the fallen angel strategy tends to work better at the end of their tax years as compared to other times of the year.

To answer this question, try looking at countries or sectors that have fallen in value to see whether you can find any shares that are trading at bargain prices. Remember, you have a significant amount of information to see whether investing in fallen angels can be a worthwhile investment strategy for you.

Chapter 3: ABCD and Reverse ABCD Pattern

As someone who is new to the idea of trading with day trading and the strategies that it has, you may decide that the ABCD pattern or strategy is the one that you want to go with. This pattern is basic and pretty easy to trade with. And even though it is an older strategy, it is still simple and very effective, and you will find that there are many traders who are still willing to work with it. When you are working in this strategy, you will decide to follow along with what other traders are doing at the time because you want to follow the trend. To help you see how this works a bit more, let's take a look at some of the steps below:

Now, the ABCD pattern is going to start out with a really strong move that goes up. When you see this, it means that the buyers are aggressively purchasing the stock where that point A is, and that helps to make consistent new highs on that day as well, which bring you up to point B. You want to join in on the trade right now, but you don't want to chase the trade because, as we have already discussed, point B is already going to be seen as really high prices. And with this point, you won't be able to come up with a good stop loss point, and this is critical for success with this trading method.

When you are sitting at point B, you will notice that the traders who already came in and bought the stock earlier on are going to start doing some selling because they are able to make a profit. This will bring the price of the stock down a bit. You do not want to enter into the trade right now if you missed point B because it is hard to know exactly where your pullback will show up.

However, if you see that the price is coming to a specific level, such as point C, this means that there is potential support in place for the stock, and this is great news. You will now be able to plan out your trade and then put in all of the stops that you need, to help you get the stock at a low point and then sell it at a higher point later on.

This is a simple strategy that you can choose which makes it a great option for beginners. There are a few steps that you can take to make this strategy more successful. These steps include:

- When you look through the scanner to find a stock, that surges up from its original point A and this reaches a new high for the day or its point B, you need to pay some attention. You will need to look at that stock and see if the new price is able to become a support than what was found at the original point A. If it does have enough support, this will then become point C for your trade. Be careful looking at this because you don't want to make an assumption and trade too early.
- After you have made your point C, you can watch the stock carefully throughout its consolidation period. From the information you glean during this time, you can choose the preferred share size to work with. This is a good time to come up with a good stop and exit strategy.
- When you see that the price is holding onto that support at point C, you should enter the trade at a point that is on or close to point C. The goal here is that your chosen security is going to move up to a new support point, known as point D, if not even higher.
- To work with this strategy, you want to have the stop loss end up at point C. If there is any time of the day where the price goes lower than your set point C, then you need to sell your stock and accept any losses that occur. The closer you can purchase the stock to that point C, the better with this strategy so that you can make sure your losses aren't too high.
- If you see that this stock continues to go higher, you will want to sell about half the position when it gets to point D. You can then move your stop higher to your entry point to help you make a profit.
- As soon as you see that the target is hit, or you see that the price is losing steam, even if it doesn't reach the goal, then you should sell the remaining shares that you have. When the price gets to a new low, this shows that the buyers are exhausted, and the trend will go backward.

This is a simple strategy that really only has a few steps for you to follow and see results. What you need to know, and know well, is how to read all of the charts that you have, and then have some patience to wait until the right time to enter the market so you can make the biggest profit possible. And of course, since this is a day trading strategy, you can't just enter the market and then walk away and hope that it all works out well for you. You have to sit down and actively work on this trade to figure out all of the benefits and all of the different opportunities that may present themselves throughout the day. The trend in this one may seem strong, but there are times when it is going to turn on you, and then there could be an issue with runaway losses, which is why this strategy can sometimes end up being riskier than some of the others. But as a beginner who may be able to spend more of their time on the market, the ABCD strategy is a great option that can bring in some good profits.

Chapter 4: Bull Flag and Bear Flag Trading Position

A trading position is the amount of currency, commodity, or security which is owned by a dealer, an individual, institution, or other fiscal entity. A position could also be described as how much of a financial security an investor owns or has borrowed to sell later. There are two types of positions, which are short positions and long positions. Short positions are usually positions which are borrowed and subsequently sold, while long positions, on the other hand, are owned and then sold. The profitability of a position is usually dependent on market trends, fluctuations, as well as movements. There are two important positions in day to day trading which are Bull Flag trading position and Bear Flag trading position.

In this chapter, we are going to take a look at the Bull Flag and the Bear Flag trading positions. These are two unique forms of investing that can take some time to perfect and get right. But if you are able to make them work, you are going to see some amazing results. Let's take a look at both the Bull Flag and the Bear Flag trading positions and how you can get them to work for you!

Bull and Bear Flag Trading Positions

A bull position is a long, hence positive position in a security. A bull position seeks to make profits from the rising prices in certain securities. In the case price rises, a bull position becomes highly profitable. A price fall, however, decreases the value of a bull position. The bull position is one of the most well-known positions and is usually used in the buy and hold investing. The buy and hold investing style is a strategy which sees an investor buying stocks and holding on to them for a long duration of time, not minding the fluctuations in the market.

Bear position, which is a short position, is the opposite of bull position. A bull position is an investment, taken by an investor with the foresight that the price will rise while bear positions are initiated with the belief that the prices of security will fall. Typically, bear positions are often riskier than bull positions, as they are difficult to get right. Trading using a bear position usually puts investors in a position of capped reward and unlimited risk. These positions are understood better using a flag pattern for illustration.

What Is A Flag Pattern?

A flag pattern is a trend continuation pattern. These trend continuation patterns are called flag patterns owing to their visual similarity to a physical flag on a flagpole. Put in other words, a flag pattern is a technical term, which refers to the situation of a trading chart, in which a security's price undergoes rise or fall. A flag is usually composed of two key elements which form the flagpole and the flag itself. The flagpole is formed by an explosive strong price move while the flag is formed by diagonally and orderly symmetrical pullback. There are two types of flag patterns, which are bull (or bullish) flag pattern, as well as bear (bearish) flag pattern.

Bullish Flag: Bullish flag patterns are usually characteristic of investments with the strong uptrend. The bullish pattern as expected is identical to a flag on a pole. The flagpole of bullish patterns is formed by a vertical rise in stock, while the flag is formed from a period of consolidation. Bullish flag patterns usually start with a strong and almost vertical price spike. The spike typically takes short sellers off guard. After a while, the price peaks forming an orderly pullback, one in which the highs and lows are parallel to each other, subsequently forming a tilted rectangle.

The upper and lower trend lines when plotted reflect the parallel diagonal nature of the bullish flag. Breakout forms when price surge towards the high of the formation, causing the upper resistance trend line to break again. This causes an explosion and triggers an uptrend move and another breakout. Generally, the sharper the spike, the more powerful the bull flag is.

Bearish Flag: A bear flag can be described simply as the upside-down version of a bull flag. Both flags have the same structure, with the bearish flag being an inverted version of the bull flag. The flagpole of a bearish flag pattern is formed on a panic price drop which forms an almost vertical pole as bull patterns get blindsided by sellers. This flag is formed by a bounce having parallel upper and lower trendlines. Whenever the lower trendline breaks, this triggers panic sellers as the downtrend continues the leg down.

Similar to the bull flag, the extent of the drop on a flagpole is largely determinant of how the bear flag will be.

The flag pattern is very important to every trader, as it is a clear indicator of the failure or success to be gotten from a particular investment. If the resistance breaks in a bull flag, the trader can be sure the price will continue upwards. Also, if the support of the bull flag is breached, it is clear that continuation is unlikely, making the pattern invalid. The reverse is the case for bear flag here.

Bull and bear flags are a trader's friend in the trending market, although they might not perform as advertised every time. In some instances, patterns can present false breakouts which might be misleading. It is therefore needed for you as a trader to critically study the market before making any move. One thing to keep in mind is volumes. You should avoid aiming for an asset price if the bear flag or bull flag breakout is not backed by strong volumes. Low volumes move are indicators of a false breakout, which traps investors on the wrong side of the market. That being said, it is necessary to know the technicalities of bull and bear flags; knowing when and how to put them to use. These factors are discussed below.

Everything about Using Bear and Bull Flags

Bull Flag Patterns

As explained above, a bull flag pattern occurs when a stock is in a strong uptrend. It has also been explained how the flagpole and flags are formed on a bullish flag pattern. Here are some features of a bull flag pattern:

- Stocks make a strong move up on a high relative volume thereby forming the pole.
- Stocks, on a lighter volume, consolidate near the top of the pole forming the flag.
- Also, stocks break out of consolidation patterns on a very high volume, hence continuing the trend.

How to Trade Bull Flag Patterns

This answers the questions of when and how to trade bull flag patterns. Bull flag trading is quite straightforward, and you can find them easily with scanners. There are also certain things to look out for before deciding when to trade your bull flags.

- Volume: The most important thing to check is the volume. The volume ascertains major moves and the assurance that a breakout will be highly successful.
- Descending Trend Line: A defined descending trend line is another thing you should look out for. Usually, at the top of the flag, it allows you to watch the point of breakout.

When traded correctly, bull flag patterns have a great statistical edge, but you must know when to get out should the set-up fail.

Tips for Trading Bull Flag Patterns

Here are a few tips for trading bull flag patterns.

- Ensure the stock is surging up on high relative volume.
- Confirm that prices consolidate with defined pullback pattern.
- Buy stock when prices breakout above the consolidation pattern.
- Your profit target should be times two your risk.

Planning Entry, Stops, and Exits

There are a couple of ways to manage bull flag pattern trades. The best thing to do is manage your entry, stop, and exits very well. Entry is quite straightforward, you can choose to enter on the break of the highs or wait till the market closes above the highs. There are advantages for both types of entries. When you enter on the break of the highs, you get the best possible price. If you wait for the close above the highs, you enter at a higher price but avoid the chances of a false breakout. You, however, have to be consistent with whatever approach you choose.

There are also different methods for stopping losses. The easiest is to place a stop below the consolidation area. At this point, you know the set up does not work out anymore. You take a loss and move on avoiding a hit. The other way is using the 20-day moving average as a stop. This way, if prices close below the moving average, you close out your position. Exiting your winners when trading bull flag patterns are easy. You can simply trail your stop loss till the market takes you out of the trade.

Bull flag patterns are easy to spot and trade, with full understanding of the only thing needed. This makes them a great setup for new traders to learn and use.

Bear Flag Patterns

The bear flag pattern as explained above is an inverted form of the bullish flag. It is constructed by a descending trend. Also explained above, is that a strong move downward can bring about a bear flag pattern. The bear flag pattern is evident in an environment where the market forces have been shifted badly either in the direction of supply or demand.

How to Trade the Bear Flag Patterns

Trading bear flag patterns are something that requires patience and precision. It is quite different from trading bull flag patterns. There are certain things to look out for in trading bear flag patterns.

- **Sharp Decline:** You should not be quick to trade a bear flag as soon as you spot one. You should be mindful of finding the right price structure and context for a bear flag which is tradable. You, therefore, need to identify the market trend; every valid bear flag pattern should have a sharp decline. The decline is evidence that the market forces (supply and demand) are out of balance.
- **Flag Price Formation:** Examining the flag price formation is also necessary, as this helps you to note the price action. For a tradable bear flag, the price action should move in a narrow range between two parallel lines. The range and its narrowness are the key factors in determining the success rate of a bear flag pattern. All you need to do is to spot one resistance level and one support and check to see if the price action is narrow.

Planning Entry, Stops, and Exits

It is necessary to adequately plan your entry, stops, and exits in order to make the most of your trade. On entry, there are two common approaches with the bear flag pattern. Aggressive traders prefer to enter at the top of the bearish flag. This is because it secures a bigger profit. For conservative traders, you can choose to wait for the flag breakout to enter the market. Aggressive traders run at the risk of running a false breakout, while the conservative traders run a lesser possibility of risk. For your protective stop loss, it is in your best interest to place the protective stop just above the flag. This is a tight stop loss, with two major advantages which are a higher risk to reward ratio and small losses.

Establishing your exits where you take your profits is also quite simple. The profit target is the length of the flagpole measured from the top of the flag down. There are other strategies, which are employed by aggressive traders. Using this measure is, however, the safest way to exit.

Identifying the bear flag pattern is an easy job and employing the right trading positions will help you build your account swiftly. The strategies that work in the bear flag trading market are not applicable elsewhere. You, therefore, need to be sure to follow the right steps.

Bull and bear flag patterns are opposite patterns, but when used rightly, both can be a great tool in the hands of traders. All that needs to be done is to study the trends closely and use the tips highlighted above. Volume is also very paramount for both patterns, as it determines whether or not a breakout will be successful.

Chapter 5: Opening Range Breakout

Another strategy that you can work with is known as the opening range breakout. This kind of strategy is great for all traders because it is going to cause a signal that tells you when to enter into the trade, but at times, it isn't going to give you a good outline of where you want to place that profit target. The good thing about this is that you are able to pick out the profit that is best for you based on some of the other strategies that we will discuss in this guidebook, or you can look over the various charts that are available and pick what works out from there based on how the stock is going.

What this means is that while the opening range breakout isn't always going to work the best for exit points and the profit target, it is going to help you to know when you can enter into the trade. But if you can use this along with some of the other rules for trading, then you will be able to figure out the best exit points that work for your needs.

When you are ready to start working with the opening range breakout, you must have a good idea of what is going on with the market. When you take a look at the charts during this time, you may notice that a lot of stocks are going through a time with violent action in the price. This is the first few minutes that the market is opened and there are a lot of sellers and buyers who are flooding into the market right when it starts to open. This is why it is often recommended that you don't join the market during this time. You want to be careful during this time.

Even seasoned investors may see that there is a lot going on during this time of the market. They may notice that the position they had tried to go with earlier on went down at night and they may go through a bit of a panic and try to sell off their stocks. Then there are those new investors who join the market and decide to get started right away in the morning. Both of these movements are going to be important because they will determine a lot of what is going to happen in terms of the trends for the day.

As a more experienced trader and one who isn't going to hold onto the position for more than a day at most, you want to wait out this market open because it is going to be too volatile for most trades. It is best to wait about five to ten minutes after the market opens to make sure that things settle down, and that you are going to see a few trends show up before you decide on the way to trade.

Once this opening period is all done, the trader is able to work on a plan that they would like to use for the trade. For this kind of strategy, you may want to do a plan that is either on the hour or on the half-hour breakout. There are some that like to go on a much smaller time frame of fifteen minutes. The longer the time frame that you choose to work on with this strategy, the less volatility so this can make it easier for most beginners to use.

Similar to other setups that we have used in this guidebook, the opening range strategy will often work the best if you are able to work with mid to large range stocks, or ones that aren't going to work with big and unpredictable price swings during the time period that you hold onto them. You also want to avoid any of the low float stocks here. It is best to pick out stocks that are able to trade with a smaller than ATR option.

Some of the steps that you can follow when it comes to working with the opening range strategy include the following:

- After you have had some time to create your watchlist in the morning, you should wait until the stock market has time to settle down, so wait for about five minutes. During this time, watch the price action and the opening range. You can also check out how many shares are traded during that time and then figure out from that information if the stock is going down or up. This time is when a ton of orders go through the market and you want to look at these numbers to see how liquid a stock actually is.
- During this time, you can also look through to see what the ATR of that stock is. You want the opening range to be smaller compared to the ATR so make sure the ATR number is nearby.

- Once those first five minutes of a market opening are finished, you may see that the stock will stay in that opening range a bit longer depending on what traders and investors want to do. However, if you see at this time that the stock is breaking out of this range, it's time to enter the trade. Enter the trade going the same direction of the breakout. If you can, go long if you see the breakout is going up, but go short if the breakout is going down.
- Pick out a good target for your profit as well. You can find this by looking at the daily levels from the previous day and identify where the stock is before the market opens. You can also look at the previous days' close, along with the moving averages, to come up with a good target.
- If you can't find the right technical level for your chosen target or for the exit, you can choose to go long and then look for signs of weakness. On the other hand, if you want to take a short position, and then the stock goes high, this shows you the stock is strong, and you want to cover the position as much as you can.

This method is going to work when you are doing the opening range and can work with any time frame that you want, such as fifteen minutes or half an hour, but the steps above are for a five-minute trade. You will have to watch the market and see what the best opening range breakout is depending on the market you are working with.

The opening range breakout is one that works well and can help ensure that you won't be fooled by any changes that occur right when the market opens that morning. But you do get the option to use it to look at how the market is doing for the day. Just make sure that when you do the opening range breakout, you don't trade during the first five to ten minutes or you may be caught in the wrong side of things.

The beginning of the market can be really volatile, and it just isn't a good idea to jump on during this time. But after the opening of the market is done, you will be able to move into the market and utilize the breakouts that occur after it is done.

Chapter 6: Understanding How to Work with VWAP Trading

There are a lot of different strategies that you can choose to work with when you are working with day trading. This makes it easier for you to find the right securities to work with. The next strategy that we are going to go through when you are ready to advance your skills with day trading includes the VWAP and MVWAP strategy. Let's take a look at how each of these strategies works and how they can help you complete a successful trade.

VWAP and MVWAP

The Volume Weighted Average Price (VWAP) is a common indicator used by business people in the short-term trading actions. VWAP is useful in algorithm-based trading techniques. On the other hand, Moving Volume Weighted Average Price (MVWAP) is suitable for long term trading. However, both trading practices take into account the prices of the commodities and their volumes in the market as common factors for considerations in business. Therefore, a more accurate estimation of the average price may result from the correct implementation of these methods in tradeoffs.

Volume Weighted Average Price (V)WAP

The Volume Weighted Average Price is a tradeoff standard that is commonly used in pension plans and is as a result of the total finances traded for every transaction against the shares exchanged for the period. The use of VWAP ensures that the actual value of the market stock is computed correctly by eliminating any barriers that may cause imprecisions. Therefore, VWAP is vital in determining how a stock trades for a particular day and provides clues to investors on the best prices and times to buy or sell their products. To unravel the importance of VWAP on the day's trading activities, some calculations need to be done.

Calculating VWAP

The steps to follow in calculating VWAP include:

- a) Choose a convenient time frame for which you wish to figure the VWAP
- b) Find the typical price of the stock by adding the high, low, and close prices then finding their average. i.e. $(L+H+C)/3$
- c) Find the product of the typical price (TP) and the volume (V) for the period chosen by multiplying the given values to get $TP*V$
- d) Keep the sum of the subsequent $TP*V$ by adding the most recent $TP*V$ values to the ones obtained previously. Repeat this step until the final figure is present at the end of the day.
- e) Find the cumulative volume, which is the overall sum of continually adding the new amounts to the previous values. Carry out the calculations for the entire day.
- f) The values obtained in (d) and (e) above will help to calculate the VWAP.

$VWAP = \text{Cumulative TPV} / \text{Cumulative volume for the day.}$

How traders can use VWAP to determine the price to sell or buy stocks

VWAP provides the average prices for a share in the market. Therefore, prices that range below the VWAP value could indicate the cheapness of security, while a value higher than the VWAP price shows how costly the commodity is daily. Since the volume of the goods is crucial in determining the liquidity of assets, VWAP acts as a measure of the optimality index of the trade fills in the stock market.

Moreover, the best time to sell stocks is when the prices range above the calculated VWAP as this is an indication that buyers have taken control of the market. Therefore, most of the transactions that occur when the prices are above VWAP could result in projected profits for traders. On the other hand, when the price is below the calculated VWAP, investors could risk making losses on their various tradeoffs for the day if they sell. However, this is the best time for traders to buy stocks as they anticipate better prices to sell their goods.

VWAP is essential for investors that pay more attention to the adverse effects of their trades on the price of the security rather than the timing of the transactions. Moreover, the VWAP value may act as a reference point for chartists as they seek to determine daily price trends and compare the market prices with them. In the cases of sideways markets, the VWAP figures may as well act as resistance lines for traders, and this helps to reduce the losses that investors may incur.

VWAP is useful in different ways and its efficacy depends on the target market and the time frame for use and the current trends in the markets. The three aspects work dependently on each other in ensuring the attainment of maximum profits. Traders should warrant the factoring in of the transaction costs on their stocks as they also contribute primarily to the total expected returns.

It is crucial to analyze any VWAP strategies before traders can consider them for their tradeoffs to ensure that they understand the underlying dynamism in the algorithms. Thus, investors can realize the shortcomings

of their ventures and the possible gains that they expect from different stakes.

Automated VWAP Strategy

There are three crucial elements for consideration in VWAP algorithm formation: the analysis of incoming orders of stock, their volume distribution, and the ability to work the shares intelligently with provisions for minimal mistakes.

In the analysis stage, the orders that can suit other trading means and still provide optimal profits are sorted and set aside. If the algorithm encounters tradeoffs that may seem too large, they are diverted and considered illiquid.

The second step takes into account the aspect of volume distribution, and the automation seeks to guarantee optimal accuracy in this process. The algorithm should help in the determination of a volume distribution pattern of the current stock at the specific periods and initiate the creation of a trading distribution. The algorithm then ensures that more trading occurs when the volume is highest, and this allows the order to produce optimal results when the stock is most liquid.

Finally, a VWAP algorithm should ensure to obtain the best execution on various trades when the stock has the highest liquidity. The automation of VWAP has remained a challenge in its implementation stages as there are several factors for consideration but is a worthy investment for any stock traders. Traders who intend to sell and buy significant market shares without causing any considerable impact on the market should use the VWAP strategy to increase the efficiency, effectiveness, and success of their transactions.

Improving VWAP Values

The creation of large volume profiles based on the historical trends may help to improve a stock's VWAP. By increasing the percentage volume of stock traded daily, it is possible that VWAP may grow beyond the estimated

values. A high VWAP increases the profit margins for traders who sell at the time.

Shortcomings of using VWAP and algorithms

VWAP creates the potential to incur high opportunity costs by traders as they sell and buy their stock as the algorithm does not guarantee consistency of the average prices. Moreover, VWAP is subject to influence as it takes into consideration the estimates of future rates. In the cases when a trader overloads their stocks by buying or selling more than estimated in the VWAP, it is more likely that a negative market impact will occur. Thus, the prices of the goods face alterations, and such instances may lead to unpredictable losses to the buyers and sellers.

Additionally, VWAP algorithms demonstrate risk aversion traits, and therefore, traders may be locked out on opportunities that could lead to the improvement of their profit margins. Furthermore, the dynamism of prices is exhibited on a day to day basis as the reasonable prices at a point in the day may fall to low rates at the end of the day. Therefore, traders should always stay updated on the VWAP to avoid losses and ensure that they gain from their tradeoffs.

Overcoming the VWAP Shortcomings

Since VWAP poses the risk of high opportunity costs, there is a need for traders to ensure that they minimize any losses as they seek to buy and sell using the algorithm. The participation algorithm helps to solve this challenge. The algorithm allows a trader to sell and buy their stock within the impact that they can live. For instance, if a stock dealer believes that they can only allow for implications that result from minimal participation, then they ensure to participate in the tradeoffs minimally. As such, if any losses occur from the transactions, they affect only a fraction of the traders' commodities.

Moving Volume Weighted Average Price (MVWAP)

MVWAP is a strategy that traders can use to determine their trading expectations for the long term. The calculations of MVWAP use the available calculated VWAP values over a specific time. MVWAP is the average of the VWAP values but keeps changing as its calculation occurs for the long term. Traders that perform their transactions, in the long run, can use MVWAP, which is a moving average of VWAP to determine the most appropriate times to buy and sell their stocks.

Notably, the implementation of MVWAP is more achievable where the VWAP algorithms are already in place, and all a trader may need is to adjust the number of periods for which they need averages in the calculations. Moreover, charting platforms are useful in the VWAP and MVWAP integration as they provide for the relevant variables and have editing functionality to suit the traders' diverse needs.

Calculating MVWAP

For example, if a trader wants a 5-period MVWAP, they would calculate the average of the first five VWAP values. This scenario is as illustrated below:

$$(VWAP1+VWAP2+VWAP3+VWAP4+VWAP5)/5$$

Use of MVWAP

The application of MVWAP values is similar to that of VWAP. In cases when the prices shoot above the MVWAP value, it is an excellent opportunity for investors to sell off their stock. Whenever the market prices fall below the MVWAP, this is an opportune time to buy shares as this will guarantee desirable profits.

Moreover, MVWAP is useful for price reversal traders, and the application of crossover strategies is suitable for use by the investors. The crossover strategy suggests the use of 'fast averages' in trend determination in the market whenever it crosses to the 'slow averages.' The implementation of

shorter periods for the attainment of 'fast averages' works perfectly for price reversal dealers and this ensures a quick diagnosis of price shifts and determines the optimal entry point to the market.

The advantage of MVWAP over VWAP

MVWAP is customizable, and traders can use it to achieve their specific needs as they wish and measure the current market's responsiveness for both the short and the long term. Moreover, MVWAP is less susceptible to particular trading periods.

Differences between VWAP and MVWAP

VWAP provides a total running value for an entire day with the last amount providing the day's VWAP. On the other hand, MVWAP provides traders with an average of the number of VWAP calculations that they can analyze at a time. Therefore, there are no final values for MVWAP as it runs from day to day, unlike VWAP that runs for only one day.

The role of anonymous liquidity in risk control

The use of VWAP and MVWAP could become more profitable to stock dealers if anonymous cash is taken into consideration when developing VWAP automation algorithms. This type of liquidity reduces market impact and can be accessed without information leakage. Therefore, traders are free to deal with smaller percentages of daily volumes as they seek to achieve their optimal profit margins. The use of single and double-sided lists for stock keeping reduces the probabilities of losses in trading since trading one stock acts to reduce the overall risk of all the remaining stocks.

The VWAP and MVWAP trading strategies are crucial in ensuring that investors can secure maximum profits from their various tradeoffs. The most important and useful aspect of employing these techniques is the fact that they can help in the predictions of the optimal market entry times for buyers and sellers. Moreover, the VWAP automation ensures that traders can transact during the maximum liquidity periods to increase the chances of profit making. Furthermore, in the quest for the reduction and

elimination of market impacts, the participation algorithm allows traders to participate as much as they can handle any effects.

The fact that MVWAP is customizable makes it an added advantage as it also helps in the prediction of the market trends over long periods.

Therefore, traders for the short term can use VWAP while long term investors should consider MVWAP or both. VWAP automation is an essential aspect for traders who seek to obtain optimal profits without physical monitoring of the market trends.

Chapter 7: Other Advanced Strategies to Help Put Money in Your Pocket

Now that we have spent some time looking at a few of the most popular advanced strategies that you can work with when you are day trading, it is time to look at a few other options that can be used. After you have spent some time looking through the other strategies and maybe you have done a few trades along the way, it is time for you to move up to the next level, and these strategies will be there to help you out. Some of the other strategies that you are able to do with day trading include the following:

News Trading

One strategy that is pretty successful in day trading is called news trading. With this strategy, you are able to predict some big changes that will happen in the stock market, or for a particular stock, before others can catch on to the news. When this strategy is successful, you are able to purchase the stocks that you would like before the news is released, usually at a lower price. Then when the news breaks, you will be able to sell the stock at a higher price so you can make a good profit.

This strategy is going to require you to do quite a bit of research ahead of time. You need to be able to read the news and recognize some signs in different stocks to tell when a big change will occur to change the value. You will find that some of the news is going to help increase how much the stock is worth. You would want to purchase the stock before the news breaks so you can get it for a low price and then when the news comes out, you can sell the stock when the price goes up. On the other side of things, it is also possible to read the news and realize when a stock is about to go down in price. If you already own the stock, you would want to sell it quickly before you lose out or you would want to avoid purchasing this stock at all since the price is likely to go down.

Range Trading

Another strategy that you can work with in day trading is known as range trading. This is a strategy where you are going to look over the charts and try to find the overbought and the oversold areas for a particular stock. You must be able to find the support and the resistance lines so if you are not able to find where these are, then you may need to go through a different strategy or see if you can wait and try another day.

This strategy can work on if you notice that a few of the markets you are looking at are kind of meandering, or if there are some markets that have a ton of up and down to them. You want to look and see whether there is a trend or a pattern that will go with these or not, and then use that to your advantage.

Pairs Trading

Many beginners like to work with a strategy that is called pairs trading. This strategy helps you to remain neutral in the market and it can match together a short position with a long position so you reduce your risks and can make some good money in the process. When you are a pairs trader, you are going to look for some weaknesses to occur in the market before going long on a stock that is underperforming and then going short on the stock that is overperforming. This will effectively close up the position so when the gap closes back up, the market gets back to normal and you are able to make a profit from these positions.

You will find that the profit you are able to get from pairs strategy is going to come from the difference in price that will occur between your two instruments or your two stocks, rather than from where they are both able to go inside the market. Basically, what this means is that you will be able to get a profit if the long position goes up more than the short one, and a profit can be made if the short position ends up going down more than the long one. This is why pairs trading can be so successful. It is possible to earn some money on different market conditions, even if there is an issue with low or high volatility, or the market starts to go in any direction.

The most difficult part of working with pairs trading is picking out the stocks that you want to invest in. There are actually quite a few options that you can work with, but you need to make sure that you are pairing the right ones together, so you make a profit as well as picking the right one to go long on and the right one to go short on. If you are able to do this successfully, you can do a great job with pairs trading.

Contrarian Trading

The next option that we are going to take a look at is known as contrarian trading. This one will sometimes work against the other strategies that are listed above, but if you can get onto a trend at the right time and beat the crowd, you will see some good success with this method. The contrarian trading strategy is going to work against some of the other strategies that you may find because you can take a look at the market, and then whatever trend you see there, you are going to go against it and find some of the assets that are performing poorly right now. But the trick is that even though they are performing poorly now, you expect that they are going to do well in the future, sometime soon (today, since we are doing day trading).

Sometimes you will be able to find a lot of good stocks in the market. But they are performing badly in the market for one reason or another. With the Contrarian strategy, you would make it your goal to find these stocks, purchase them while the prices are low, and then when the value goes up, you will be able to make a good profit.

With this particular strategy, you want to look for a strong motive as to why people are doing a certain thing based on the charts. You will believe that people are telling you that the market is going up, but you also believe that they tell you this because they have already invested in the stock and they don't have the option to do another purchase. When this starts to happen, the market is already near or at the peak, and if you purchase that security, it is going to end up costing you a ton of money because it is overpriced.

The same can be true on the other side of things as well. If you hear a lot of noise out there that says the market is in a downturn, this means that other traders around you already sold the stocks and the market is about to finish with the downturn. This is a great time to make a purchase of the security because you will be able to get it for a good price, and it is likely that the price is going to head back up soon for a profit.

The main idea that goes behind this form of trading is that if you follow the path that others are using, then you are going to miss out on a lot of great opportunities, and you will spend too much and make too little in the process. This one goes on the idea that with the charts, you are seeing what others have already done, and if you follow along, you are really just harming your profits and all the good you can get out of the system. It is best to get in early on to avoid issues with this and to go against what others are doing to ensure you see the best results with your trading.

Momentum Trading

In addition to working with contrarian trading and some of the other methods that we have already talked about, you can also work with a strategy that is known as momentum trading. If you are right with this one, you may end up making a good profit with this method. There are also a couple of options that you can use to guess which way the momentum in the charts will go.

The first thing you should do is to take the time to watch the charts on these stocks. By taking a look at the charts, you can find some patterns that occur, ones that are back and forth between the highs and the lows. And when you are able to catch onto these patterns, it is easier to know when you can purchase and when you should sell.

Now, all of the stocks that you work with will have some trend with them, even if that trend looks a little bit sporadic at the time. Some are going to stay high for some time, some will stay low, and then there are those that like to have a lot of up and down movement. But when you are going with the idea of momentum trading, you will be able to take a look and figure out the direction of any security based on where it was and how it behaved in the past.

For example, if you notice that a particular stock has a trend of going up and down, you may be able to look at one of the downward trends and guess how the price is going to go up pretty soon based on what it has done in the past. This makes it the perfect time to purchase the stock because it is at a low price and then it is likely to go back up.

This can be used to help you know the best time to avoid a stock, or when you should be ready to sell one of the stocks that you already own. If you know the trend of a stock pretty well, which is something you should be doing with momentum trading, then it shouldn't be too hard to know the trends that come with that stock. You will be able to look and notice that after staying high or heading up for a bit, it is likely that the stock price is

going to come down pretty soon. This is an indicator that you should sell the stock before the price makes its way back down.

If you see that the stock has been at a high price for some time, then this means you shouldn't consider purchasing it if you don't already own it. Purchasing at this time simply means that you are going to pay way more for it than it is worth, and you will end up losing in the process. Wait until the trend is done going down and purchase at that time if you still want to get into the mix.

Heikin-Ashi trading

When you look at the charts for this one, you will notice that it looks like the candlestick chart, but the method of plotting and calculating the candles will be a bit different compared to using the candlestick chart. On a traditional candlestick chart, each of your candlesticks will show up for numbers including the low, high, close, and open prices. But with the Heikin-Ashi candle, we are going to be able to do our candles based on some information that came from the previous candle.

Some of the things that we would look for with the Heikin-Ashi candles include:

- The close price: The Heikin-Ashi candle is going to be the average of the open, close, high, and low price.
- Open price: For this candle, it is going to look at the previous candle and look at the average of the close and open.
- The high price: For these candles, the high price is going to be chosen from one of the high, close, and open price, based on which one has the highest value.
- Low price: The high price on this candle is going to be chosen from the close, open, and high price from the previous candle that will have the lowest value.

All of the candles in this method are going to be related to each other because the close and the open price on each candle are calculated with the information from the previous candle. You will look at the open and close price of the previous candle to determine the new candle that you create.

Candlesticks

Now that we have taken the time to look at a few of the other strategies that you can work with as an advanced trader, it is time to take a look at the candlestick patterns. There are actually quite a few of these patterns that you can work with in order to see some great results with your endeavors, and each one can be modified or used based on the market conditions at the time.

These kinds of charts can be really effective at helping you to see some great results with your trading, but you will need a few things in order to make sure that you can set up the candlestick in the proper manner. Some of the things needed to make these candlestick charts include:

1. The price values for the stock at closing for every time period that you are trying to show.
2. The lowest price that is going to happen at the time frame that you chose.
3. The highest price that shows up in the chosen time frame
4. Your opening price.

The nice thing about working with these candlesticks is that they will work with almost any strategy, any time of trading, and even any kind of market that you want to concentrate on. Of course, since we are talking about day trading in this guidebook, you must make sure that you are going with a time frame that will fit into one day. Some people will go with a time period that takes up the whole day, but these candlesticks can certainly work even if you are limited and can only take a few hours to do the trade. Just make sure that whatever kind of time frame you choose to go with, it is consistent.

The hollowed or the filled-out part of the chart is going to be the body. Then there are the thin lines that are found above or below the body, which are there to show you the low and the high ranges. These lines go by a few different names including the tails, wicks, or shadows of the candlestick.

When we are looking at the high part of this chart, you will be able to see it with a mark on the upper shadow near the top. Then the low is going to be at the bottom or the lower shadow. If you notice that your chosen stock seems to be closing higher than what you saw at the opening, then you can go into this chart and draw it so that the hollow candlestick is near the bottom of the body. This is the bottom that will show you the opening price, and then the top part of the candle is going to show the closing price.

In some situations, the stock is going to end up closing at a price that is lower than the opening price. When this happens, you must go through and fill in the candlestick at the top with the opening price and the bottom as the closing price to help others and yourself see what is going on.

One thing that any trader is able to remember when they are working with these kinds of strategies is that the hollow candlesticks that have a close that is higher than the open means that in the market, there is a bit of buying pressure. If the close ends up being less than what we saw at open, this means that the sellers have the pressure and the control.

Bullish candlesticks

Now that we know a little bit more about these candlesticks, it is time to look into a few of the different ones that you can work with. One of the nice things about this strategy is that you can use it in any type of economy, regardless of if the economy goes up or down. You just need to find the right candlestick strategy to make that happen.

The first type of candlestick that you can look at is the bullish candlestick. Any candle that has a larger body near the top will be seen as bullish. This means that the buyers are in control of the price of that stock. When you notice that this chart is going on, realize that the buyers are the ones who keep pushing on the market to make the price go up higher and higher. This candlestick is not going to really tell you the price that the security will go up to, but it will tell you that the bulls are winning and that they have the power, for now, to determine where the price will go.

Bearish candlesticks

On the other side of things, there are also bearish candles. These are a bit different compared to the bullish candlesticks, and you will want to trade in a different manner. When we look at a bearish candle, it means that instead of the buyers being in charge, the sellers will be able to control the price action for the market. Purchasing the stock at this time is not a great idea, but if you already own the security, now is the time to sell.

When you look at the charts and see that there is a candle that is filled in and the body is pretty long, this means that the opening for that security was high, but the closing dropped down. This is the best way to tell that the market is currently bearish, and it is not a great time for traders to get into it, unless they want to spend way too much on the security and not earn much, if any, of a profit.

Indecision candlesticks

Another part of the candlesticks that we need to take a look at is known as the indecision candlestick. There are a few types of these, but the two that we are going to concentrate on are known as spinning tops and Doji's. Let's take a closer look at what these are about and how you can use them to get some great results with your trading.

Spinning top

The first type of candlestick that we are going to look at is the spinning top. When you look on your charts, this is going to be the type of candle that has a high wick, and they will look similar in size for the most part, with some lower wicks that are larger on the bottom and show up as indecisive. When we are going with a chart that has a spinning top, it shows that the buyers and sellers are sharing their powers, and the stock has the potential to go either way. Neither party is controlling the way the price goes, and there is going to be a bit of a struggle as they try to figure out which of them is going to win.

You may find that when a spinning top is occurring, there is going to be a low amount of volume. Most traders are waiting it out to figure out which side is going to win before they join in. None of the traders want to get into

the trade and then find out that they are at the wrong end of this when the side is chosen.

The trend that shows up in this price is going to start appearing right after the spinning top shows itself, so this is a decision that is going to be made fast. Once one of the parties win, whether it is the sellers or the buyers in this case, the price is then going to start out with a new trend. This is why most traders like to watch the spinning top and then enter once they notice a trend showing up.

If you are watching this, and you see that the price is starting to move up, you can then jump on it because you know that the current price is a deal and that jumping on now can help you earn a good income as it rises. But if you notice that the price is going down, you may want to wait a little and see if the market is likely to go back up before you make any purchases to see what happens and then determine your trade.

Dojis

Another type of indecision candlestick you can work with is known as a Doji. There are a few shapes and forms of this candlestick, but they end up having no body to your candlestick in the graph, or the body is pretty small to start with. When you look at your charts and see that there is a Doji present, it means that there is a big fight going on between your buyers and sellers, and no one is coming out the winner in it yet.

There are some exceptions to this though. There are times when the Doji does show a bottom and a top wick, but these are not going to be equal. If the top wick is longer, this means that the buyer is trying to push the price higher, but they were met with failure on this. This is sometimes an indicator that the buyers are not holding onto the power and the sellers may try to control the price.

You may also see some charts where the wick on the bottom is the longer one. With this, it means that the seller was trying to control the price, but they were met with failure on this. This means that it is more likely there will be a takeover price by the buyers.

You can definitely use this to help you see what trends are going on. If one of these candlesticks shows up during a bullish trend, it means that the bulls are wearing out and now the bears are trying to take over control of the price. If this candlestick forms when there is a bearish downward trend, it suggests that now the bears are tired and now the buyers or the bulls will take over the price. This can help you to see when a trend is about to occur in the market and can help you to make some smart decisions.

The candlestick pattern is a great way to predict how the market is going. When the market is going up based on these candlesticks, you will want to purchase and then sell before they go down. When the market is going down based on these candlesticks, you will either want to stay out of the market if you are not already in, or you will want to sell before the price goes down and you lose too much money. Take some time to learn how to make these charts, and you will find that they are a fantastic way for you to monitor the way that the market is going.

Chapter 8: Advanced Forex Strategies



Forex trading is another way that you can put your money to work, and because of all the volatility that occurs in the market, it is possible to get this to work well too. This kind of trading can be as simple or as complicated as you would like it to be. In the beginning Forex, and with some of the other trading that you may have done, it may have seemed like it was easy to trade in this market. It may seem like your only job as a trader is to choose which way the currency pair will head, and then you will end up getting the profit. Or maybe you are trying to find a 100 percent accurate forex trading system on the internet. If only it were that simple!

There are a lot of different strategies that you can use when it comes to the Forex market. Many traders like to work in this market because there are some unique benefits that come with trading in this market. And there are some great strategies that work as well. Some of the different strategies that you can work with to see results with the Forex market include:

Hedging

Hedging is one method that you can use to help reduce your risks. You reduce these risks by taking on both sides of the trade at once so that no matter which direction it goes, you can hopefully make some kind of profit. If your broker is going to allow this, it can be an easy way to make some money. And one of the methods that you can use to make this happen is to just work with a long and a short position on the same pair. Some advanced traders will decide to work with two different pairs and then make it into one hedge, but sometimes this gets complicated and most traders don't want to work this way.

For example, to do this, you may decide to go short on the USD/CHF pair because you see that it is sitting at the top of a recent price range. From here, you are able to initiate the short. After you get a chance to set up the short, you will take a look at your pair and decide that it looks a little bit strong. You will then look it over and see that it is possible this will make a break upward, and this can cost you a lot of money.

An advanced trader would maybe decide to do a type of balancing act. It can get complicated, but it is going to ensure that you are able to save your investment as much as possible and will make it easier for you to earn some profits, even when the first position isn't going the way that you would like. To do this balancing act, you would need to take some time to look at other USD pairs. You may find that the EUR/USD pair tends to move inversely to the USD/CHF pair.

So, with this in mind, you may decide to complete the hedge and go short on the EUR/USD. The USD will then break the resistance and can move in a strong direction against the CHF. Your short EUR trade will be the one that comes out the winner, and then the USD/CHF trade is going to be the loser. While you did end up with one loser and one winner in this, you were able to limit the amount of risk that you dealt with because these two are going to come close to evening out.

Position Trading

Position trading is another option that you can work with to help with the Forex market. The position trading is going to be based on the exposure that you want to put with the currency pair. The position is going to be the average price that you have for a currency pair. For example, if you decide to short trade with the EUR/USD pair at 1.40, there are a few things that could happen. You may find that the pair is ultimately going to trend lower, but then it has a retracement up. You can then add in another short near the 1.42 mark. This means that the average position that you are at will be 1.41. Once this pair goes back to the 1.41, you would be back at a profit overall and can take that with you.

Dealing with Forex Options

A Forex option is going to be an agreement between you and the owner of that currency pair to purchase that pair at a predetermined price at a specified time. Let's say that you are long at the EUR/USD at 1.40 and you have a feeling, from your charts and other research, that it is going to fall to 1.38. Not wanting to risk a deeper reaction, you will then go in and put a stop at 1.3750, setting yourself up for a loss that is potentially at 250 pips.

This amount of pips can sound painful to any investor, so you decide that you want to go with what is known as a forex option to help lower and limit this pain a little bit. You will purchase the option with the strike price of 1.3750. If you see this currency pair go up and it doesn't touch this amount, you would end up losing just the premium that you paid for that position with the currencies.

But if this currency pair falls and it does touch the option and the stop loss that you place, you may be able to receive a profit on that option. This will depend on the amount of premium that you decided to pay. And you would be able to realize the loss of the long trade with the EUR/USD. The options profit would be able to come back and make up for some of the loss on the currency trade.

Scalping

If you have worked with the day trading market in the past, then you have probably worked with or heard about scalping in the past. Scalping is the process of making a short-term trade, only aiming for a few pips, and usually with high leverage. Scalping is typically going to be done at the same time as very strong supportive conditions technically or with a big news release.

The trades that are done with scalping are usually pretty fast, and they will occur anywhere between a few seconds to a few hours. Many people who are new to the idea of forex trading won't want to start out with scalping because it is fast and hard to keep up with all of the changes. But as a more advanced trader, you may find that scalping isn't that hard to work with and it can provide you with a nice steady source of income that makes a difference. And it won't take that long to figure out.

However, there is a bit of risk that can come with scalping. Don't just jump into it because it seems like the best option at the time or because you don't think you will be able to lose with it. There is that potential to lose a lot of money, just like there is the potential to gain a lot of money. In general, you will find that scalping is a risky strategy and it won't always pay that well when compared to the risk that you may take.

If you plan on doing some scalping, then it is best to do these trades in conjunction with another trading position, rather than letting this be your primary method of trading. It can work well, but often it is risky and it can take up a lot of your time if you are not careful.

There is a lot of potential that you can work with when it comes to advanced forex trading. If you have been working in forex for some time and you want to be able to increase what you are able to do in this market, then checking out some of the strategies that are listed above can really help make a difference. And if you have never worked with forex in the past, then as an advanced trader, it may be worth your time to try it out now!

Chapter 9: Advanced Cryptocurrency Trading Strategies



In addition to using stocks and some other forms of investing that we have discussed so far in this guidebook, there are a few other things that you need to consider as well. For example, many people have found that doing day trading in the cryptocurrency market can prove to be very profitable for them. There are a lot of different types of cryptocurrencies, and if you haven't heard about them or traded in this market at all, you should definitely find some time to look into this and figure out how to do it because there is a lot of profit that comes with it.

When it comes to trading in cryptocurrency, there are a few things that you need to learn about first. Some of the things that we need to consider and know about before getting started includes:

Volatility

First, one of the major differences that show up between trading real-world assets and cryptocurrency, even with day trading, is that there is more volatility. Volatility is when the price of a particular asset is going to go up and down very fast. This means that it can either bit a huge success or a big failure for the trader, and often it moves so fast that it is hard to tell which one will happen.

For example, if you decided to get started with day trading some stocks on the New York Stock Exchange, it is unlikely that there would be huge changes in the price over a 24-hour time period. This is because most of the companies found on this exchange are going to be safe and have been operating for a longer period of time. There is going to be some up and down in the market, and that is why day trading exists. But compared to the ups and downs that you can see with cryptocurrencies, it is going to be a relatively small amount.

But when you take a look at the market for cryptocurrencies, you will find that the price of these is volatile. It is not that uncommon to see the coin go up or down by up to fifty percent in a single day, and there have been times when the amount is even more for a day. For example, in February 2018, one type of cryptocurrency known as E-Coin was able to increase its value by 4000 percent in just one day. But then after that, it ended up falling right back down to the original amount. Those who jumped on at the right time were able to make a good profit in one day. Those who waited too long to jump on, and who didn't see the signs, ended up missing out and not earning anything, perhaps losing money in the process.

Make sure that you find the right currency

When you look at the cryptocurrency market, you will quickly notice that there are a ton of choices in coins that you are able to make. In fact, almost anyone with some computer knowledge is able to jump in and make their own currency on this market, and as long as a few other people are willing to trade in it, then it can be an option that you go with. There is also no regulation with this market, so you have to do your research and make sure that you find the right currency that is going to make you money in the process and not one that will fold and make your money disappear.

It is estimated that there are at least 1000 different cryptocurrencies out there that you can work with. Each one is going to come from a different place, have a different use, and have been developed for different reasons. For example, Bitcoin is used just like regular currency online. Ethereum is an option that you use when you want to fund some startups and other companies who are trying to make some developments in the blockchain technology. And there are many others you can choose from.

Because there isn't any regulation in the market, and there are so many different options that you can choose with when it comes to picking out the currency you want to work with, it is sometimes difficult to know which one to work with. Taking your time to look into each of the currencies, reviewing how they work and how other people liked them, and looking through the market to ensure that it is stable and that you will actually be able to make some money from it, can go a long way in ensuring that when you invest in a cryptocurrency or in a few of them, you will actually be able to keep your money safe and have the real potential to make an income in the process.

Consider working with a few different currencies

It is usually not recommended that you work with just one kind of cryptocurrency. Putting all of your money on one thing, especially in this market, can be really bad because these markets are so volatile and risky to start with. So, what this means is that you should take the time to go through and pick out two or three types of currencies to invest in, and then spread out the money that you want to invest in between them. This way, if one of them doesn't necessarily go the way that you would like, Then you still have the other options, which are hopefully making you money, and you can still end with a profit.

Watch the market for a bit

If you have never worked with cryptocurrency, you may need to stop and explore the market a bit. And you will have to look at each individual coin and its history to make sure that it is doing well, and to get an idea of what it will do in the future. A few cryptocurrencies have been around for a few years and you will be able to look at their charts and get a good idea of how they will do. But for some of the newer currencies that are joining the market, it can be hard to find the charts that you need.

With any currency that you want to work with, make sure to check them out, look over any market research and charts that you can find, and make sure that you have done enough research to know how these actually work and how they are likely to behave in the future. Never try to jump into the market and hope it all goes well without doing some research to start.

Consider adding in some long-term trading as well

While this guidebook has spent some time exploring more about day trading and some of the techniques that you can use to make this successful, you may also find that working with a long-term strategy on one or two cryptocurrencies may work as well. If you feel that there isn't enough movement in your chosen currency to make it worth your time to work with that currency on day trading, but you feel like it is going to go up over the next few weeks or few months, or even over the next year, then working with swing trading or another longer-term strategy may be the best for you.

There are many coins that can do well with a long-term strategy. They may not see much of a change in a day to day basis, but there is a big incline in the price of the currency over the long term, especially if the coin is a nice and strong one. You can still do some day trading with a few of the currencies but adding some money into a cryptocurrency and letting it sit there for a bit longer can do wonders when it comes to helping you earn some more money with your investing.

Trading in cryptocurrencies can be a great way to see some profits in day trading and with some of the other trading methods that you choose to work with. But since they are so new and they aren't regulated at all, it is sometimes difficult to know which way the market will go and how your investment is going to turn out. Make sure to check out this chapter and some of the tips to ensure that you will see some great results when you decide to day trade with cryptocurrencies.

Be willing to accept the loss

The E-coin that we just talked about is a good example of why you have to understand how trading, even day trading, in the cryptocurrency market isn't always going to turn out the way that you want. You have to be willing and able to accept the losses when they occur, but this is just something that happens, and it is sometimes hard to predict how these will go.

Cryptocurrencies are unique that they have traders from all over the world, and they are open 24/7. You have to be able to not only predict how things are going to affect you in your own country, but you also have to predict how news and events in other countries may affect the currency. And it isn't just between one currency pair like in Forex. Every country can use these cryptocurrencies, and all of them can have some kind of influence on the price of the coin.

You have to be able and willing to accept some of the losses that may come from a volatile and hard to control market. Chasing losses is something that should never occur, especially as an advanced day trader. Chasing a loss is an act where a trader who went through a bad loss is attempting to make that money back by taking risks that are too high. It is important to just recognize when you can leave the market, and cut your losses, rather than taking more risks.

Practice makes perfect

Before you look into day trading with cryptocurrencies, it is important that you take some time to practice ahead of time. Although right now none of the major exchanges for these coins allow a demo account, a good place you can consider starting in is known as Coins2Learn. This site is going to offer you a nice trading simulator that you can use. Inside, you will work with fake money and try out a few of your trades. They even offer a few tips to help you see more success with your trades.

Once you have had some time to practice a bit, you will then understand more about the market and you can jump in and do the real thing. Of course, even though practicing is a great way to make sure that you are confident when you get into the market, remember that it doesn't always prepare you for some of the losses that you can get in the real world.

When you join the cryptocurrency market, make sure that you start off with some smaller amounts. Never use all of your account and remember some of the rules we talk about when it comes to position size to make sure that you are set and ready to go.

Chapter 10: Trading is About Skills, Not Just the Strategy

Remember, when we are talking about trading, there isn't really one strategy that is the best. All of them are going to be successful at different times, in different markets, with different traders, and even with different securities. You have to find which approach and which strategy seems to be the best for you. There are many traders who will go to a professional and ask which strategy seems to work the best. Just like there isn't one car on the market and how you need to pick the best car that meets your needs, you also need to decide which strategy is going to meet your needs.

If you are interested in finding the best trading strategies for yourself, you also need to take the time to look at your personality and your circumstances. What is the time of day that you choose to trade in? Sometimes this will depend on your time zone as well. But if you are interested in working with the opening day breakout, then you have to be available to trade right after the opening of the market.

But if you feel that these opening range breakouts are too volatile for you, and even though you have tried them in the past and you feel like you are always getting stopped out and not making any profits, then you may want to try some other methods. The VWAP false breakout or one of the other strategies may end up working the best for your needs.

Again, it is your job to not just take a strategy because it seemed to work well for someone else you know. Instead, you need to take some time to research and experiment in order to find the strategy that works the best for you, the one that you like the best. All of them can be successful, as long as you learn how to use them the right way.

As a day trader, it is so important for you to come up with the trading strategy that you want to use and you will want to write out a good trading plan that will help you stay on track during the work that you do. And then, once you enter into the trade using this particular trading plan, you need to keep with it until you have closed out your position, either with a win or a

loss. Once the position is closed, you can then go back through and adjust the plan if needed.

The truth that you need to remember about many of the new traders out there is that they often fail in the beginning. They are going to lose out on money, and many of them are not taking the time to learn what they need to know to have a successful day trading career. This doesn't mean that you need to have years of experience in the market and a Ph.D. in order to do day trading. But you do need to have a good understanding of how the market works, the different securities that you can trade in, and some of the best strategies that can put you ahead. Without all of this, you will end up failing and losing a lot of money.

Of course, one way that you can gain some practice and some experience with day trading is to make sure you never do a live trade with a brand-new strategy until you have a chance to prove it is going to work. If your broker has a demo service that you can try out, then this is definitely something that you should spend some time with. If not, you can always take your aides and try them out on some historical data to see how they will do in the past before using them in the future. There is never any shame in using a simulator, even after you have been trading in the market for some time. It is a way to try out new ideas and see what will work, without having to waste any of your own money in the process.

Your focus while going through this book, and any other day trading book that you decide to utilize, is to develop a good strategy, one that will actually help you to trade well and can bring in the profits that you want. Remember, the market is always there. While you may be excited to make some profit with this method of trading, you don't need to rush into it and make some costly mistakes. Day trading, even though it can be fast-paced for some, is more of a marathon when it comes to making it a career, rather than a sprint.

There are a lot of different parts that come into play when you want to be a successful day trader. Some of these include.

You must make sure that the right platforms and tools are in place for trading.

You must make sure that you are using the right stock at the right time. Trading a stock that isn't considered in play at the time is going to result in a big loss, even for the best traders out there who are working with some of the strategies we have discussed.

You need to take a look at your charts and define a meaningful support and resistance on them before you can even get started with trading. You can then use these as the basis for your stop loss and profit target levels when you make your plan.

It is your job to analyze the balance of power that occurs between sellers and buyers. And then you need to make sure that you bet on the group that wins.

Before you take on a trade, you must make sure that you come up with a plan and a strategy that will help you to win.

You must make sure that you are practicing excellent money and trade management so that you can earn a profit, and not have your whole account wiped out if you make a bad trade.

You should make sure that you have enough self-discipline that you are able to follow with your trading plan. This ensures that the emotions stay out of the way, no matter which way the market is going. Always avoid the temptation that is there to make decisions based on your emotions.

Creating a plan is one of the best things that you can do as a trader. This allows you a lot of freedom because you can learn exactly what should be done, and it can take out some of the guesswork that you may have had to do in the past. Yes, it takes some time, and day trading does ask that you move pretty fast in order to see the results that you want. But taking even a few minutes to write out a plan that you can use, perhaps with a few trades depending on how the market goes, can make a world of difference.

In your plan, you don't have to make things too complicated. Adding in some information about your entry points and the exit points that you want to work with, such as the stop loss and the profit target, and then you are set. You can list out the strategy that you want to use with your trading to ensure you get the best benefits possible. Some people even take it further and write about the different market conditions they want to watch out for, and some of the other things they would like to see happen with their trade in order to see some success.

One mistake that many beginners are going to make is that they only focus their attention on finding the best strategy for trading. New traders will at times let themselves believe that they have found the one best strategy out there. And then when it does work out for them, and they won't be able to make a profit from it, they get discouraged and want to quit the game.

But in this situation, it isn't the strategy that is the problem. It is the fact that the beginner trader is missing out on some of the other important aspects that need to show up with trading. As a trader, you must have an understanding of the price action, to have the ability to work with the price action, to be able to find where the support and resistance are, to have the right size and stop loss to manage all the risk that is there and be able to make decisions quickly and efficiently. When all of these come into play, it can help you to do really well with day trading.

If you are able to use a combination of everything that we discussed in this guidebook and all the things that we listed above, you are going to see success with day trading. It may take some time and some effort to do, but you will learn the ropes and be able to do some wonderful things with day trading.

Chapter 11: Making Sure Your Day Trade Doesn't Turn into a Swing Trade

As we have been discussing in this guidebook, day trading is the process where you purchase a security in the morning, and then your goal is to sell the security by the end of the day. This is seen as a short-term strategy, and the goal is to take advantage of all the ups and downs that occur naturally in the market. Even the securities that are seen as the most stable are going to see some up and down movement, and this is where the day trader is really going to see some great benefits.

In this chapter, we are going to explore day trading and compare it with swing trading, another short-term strategy that is similar but does have some major differences that you should know about. Let's get started and learn the difference between day trading and swing trading, and why you shouldn't mix things up when you get started with day trading.

What is Swing Trading

This guidebook has spent some time looking at swing trading and all of the things that go with it. Swing trading is a great thing that you may want to add to your trading strategy. In fact, many day traders also do some swing trading as well, which makes it a good option to learn a bit more about. But even though these use a lot of the same plans and strategies as each other, it is important to learn how these are different, so you don't get the two trading styles mixed up.

So, here we are going to take some time to look at swing trading and how you can get started with this trading method. Swing trading is a method that attempts to capture the gains of a stock or any other financial instrument that you want to work with, such as stocks, cryptocurrencies, forex, and even options, within a hold overnight up to a few weeks. Most swing traders are going to rely on technical analysis to help them find stocks that have a short-term price momentum. Then they will use the intrinsic value, or the fundamentals of a stock in order to analyze what price trends and patterns tend to show up.

The trader who wants to work with a swing trade will need to act in a quick manner in order to find any situation in the market where a stock has a lot of potential to move in a relatively short time period. You will not have months to work on this as some of the long-term trends that are out there. Instead, you will have from overnight to two weeks maximum in order to catch the momentum from your choices and to make a profit. This can make it a bit trickier to work with than other methods, but it still is a bit more than what you will see with day trading.

Because of this fast movement, swing trading is often going to be used to stay at home traders and day traders. There are some big institutions that may do this on occasion, but often they are so big that it is hard for them to move in and out of the stocks in a quick enough manner. The individual trader is going to gain some advantage here because they can take care of

these short-term stock movements without having to compete as much with some of the major traders on the market.

When you enter into a position that is with swing trading, it involves holding a position, either going short or long, overnight at a minimum. But you can also hold this position for several weeks. You don't want to start the swing trade and go for more than that couple of weeks because that is just not what this strategy is about and doing so is going to harm any profits that you are able to make in the process.

The goal of swing trading is to capture a larger price movement than what is found with day trading, and hopefully, even though you have to wait a bit longer to get the payout, it is usually going to be quite a bit bigger than what you were hoping to get before. Swing trader assumes that there is going to be a bigger price move and a bigger price range compared to other options like day trading, so it requires some careful position sizing to make sure that you aren't taking on more risks than before.

Depending on the strategy that you want to work with, you may use a mixture of technical analysis and fundamental analysis. And many times, the swing trade is going to rely on some bigger time frames to help with the trading, including the fifteen minutes, the sixty minutes, the daily, and the weekly charts to help make some decisions. Swing trades will often require a bit more holding time than what we have seen with the day trading we have talked about so far, which means that you are anticipating a larger price move.

One of the biggest issues that can come with swing trading is that holding the position overnight is going to make you a bit susceptible to volatility that could come overnight. Any news that comes after the market close is able to affect the prices and the direction of your security, but you won't be able to do anything about it until the market opens. This can make it a bit riskier than some of the other choices for investing that are available.

One thing that you may notice when you are working with swing trading is that the best time to do one of these trades is when the market is pretty

stable. Many people think that going with a market that is either really bearish or really bullish would be the best option. But in reality, working with a market that is pretty steady, and then making sure that you look for some big news events that will help you know whether there will be a big change in the security, going one way or the other, and just for that security, is best to see the good from swing trading.

One of the benefits that you will get when it comes to swing trading is that you are able to ride the stock up and then ride it back down again. When the market goes through an extreme, whether it is bearish and bullish, the stocks aren't going to be in the habit of making the ups and downs. This may be surprising. You may think that you want that direction. When you are in a bull or bear market though, the momentum is going to carry the stock in one direction for a longer amount of time. This can give you some profits if you bet the right way, though a stable market can give you these up and down moves as well.

A key to success with swing trading is picking out the right stock for you. The larger cap stocks can be great candidates for this because they are going to be the most often traded. Remember that when you are trading, it is going to be all about supply and demand and jumping into the market at the right time. The more the stock is traded, the more of a price movement you are going to see. When the market is pretty active, you are going to see some big price swings. As a swing trader, you will need to work to ride the wave up and then ride it back down to make the money.

For the most part, the swing trader is going to work with technical analysis in order to figure out the best times to enter and exit the market. Since you plan to hold onto the stock for multiple days, you must have a good idea of where it is heading. You can't just enter the market and make some trades simply because others tell you that it will be a good one. You need to take the time to read the charts and then see what they tell you is a good trade. Candlesticks are going to help give you a sense of the direction, but working with indicators like RIS, MACD, and moving averages can help paint the picture you are looking for.

Now, there are two main securities that you can take advantage of for swing trading. These include stocks and options. Options are pretty awesome when it comes to working with day trading. You can buy the puts and the calls depending on which direction you see the market going. Stocks can work as well, but you may find that not all brokers are going to be able to provide you with the stocks you need if you are trying to go short. Put options are the bearish plays and brokers will always have these available. With options, it works better because it is easier to trade, no matter the direction that your stock is heading in.

How Are These Two Similar?

These two strategies can be seen as very similar to each other. They work on the same idea of being short term strategies. If you want to be able to make some good money in a shorter period of time, then these are the strategies that you want to work with. They are simple and use a lot of the same types of strategies, including the ones that we bring up in this guidebook, to help you see success. But it sometimes depends on the timeline, or the amount of time, that you want to use to trade in.

With day trading, you just get one day to do all of the trades. You are responsible for starting a trade at some point, and then selling that same position within the same day. Sometimes, you may hold onto the position all day long. Other times, it may be a short amount of time, such as a few hours, or even a few minutes, depending on the strategy and how the market goes.

Swing trading is also a short-term investment strategy, but it takes a little more time to accomplish. You will need to hold the position overnight in order to get the results that you want, but you get up to two weeks to hold onto it as well. This strategy is looking to capitalize on a big movement that is supposed to occur with a company and its securities in the short term, and usually, it is entered into right before an expected news release comes out. Many traders like to either do a combination of day and swing trading, or they will just do swing trading because it provides them with an income in a short amount of time, but they get a bit longer to do the investing instead of just working on a day.

How to make sure that your day trade doesn't turn into a swing trade

One of the most important things that you need to watch out for when it comes to day trading is that you don't want to turn it into a swing trading. Even though these are both seen as short-term strategies, it can be dangerous to combine them together into one strategy. Many beginners may think that they can do this at the end of the day. They may see that the trade is not going the way that they wanted, so they jump on board with the idea

of swing trading and try to switch up their strategy right in the middle of the day.

Remember, one of the worst things you can do to manage your risks with day trading is to try to change your trading strategy right in the middle of a trade. And even though the ideas of swing trading are similar to the ideas found in day trading, you still need to be careful with how you do this process. One has to be done within the same day, and the other can have a bit more time and can take up to two weeks to do the whole trade.

If you want to make sure that you aren't taking a day trade and turning it into a swing trade, just check and see that all of your positions are closed before the market closes at the end of the day. Even if you have to take a loss on the strategy, and this is going to happen sometimes, you need to be able to close the position to avoid any negative things that can happen in the market overnight if you choose to keep the position open. No matter what, close up all the positions that you have to preserve your capital and to help you make some smart investment decisions the next day.

Swing trading and day trading are very similar strategies. One is going to involve doing the whole trade, starting with the purchase and ending with the sell, all within the same day. The other one will involve you purchasing the security and then choosing to sell it within a few weeks, but at least overnight. Both of these are short term strategies that can work well but keeping them separate and not mixing them up can be key to seeing success with day trading.

Chapter 12: Managing Your Risks

One of the most important things that you can do when it comes to taking care of your investment and making sure that even day trading will be successful for you is to learn how to manage your risks. While it is true that any kind of investment you try to work with is going to come with some risks, you also have to consider whether you are taking on too many risks with it, or if you are taking on the right amount of risks for what you are dealing with.

Day trading can be very risky. But there are things that you can do that increase this risk, and then things that you can do that may reduce the amount of risk that you are dealing with as well. If you want to turn this into an endeavor that is profitable, then you must be able to learn what some of the risks are and then reduce them as much as possible. This chapter will take some time to look at the risks that you may have and then can help you to reduce and eliminate them as much as possible.

Make sure that your emotions are left out

The number one thing that you want to do when it comes to working with day trading is to keep your emotions out of the game. There are many times when the world of day trading is going to get emotional. You will see a lot of ups and downs in the process, and it can take a lot out of you when you first get started. This is why many beginners will just need to stick with a few trades during the day, rather than trying to take on 50 or more like many advanced traders will do.

When the emotions start to get into the game, you are going to miss out on so many things. You will stay in the market too long and try to regain some of the profits that you lost when the market goes down. Instead of putting that stop point in place and working to get out and cut your losses, your emotions will tell you to stay in the game and see if you are able to reclaim some of the losses along the way. This often just leads you to lose more and more money instead of seeing the regains that you are looking for.

The emotional factor can come into play when you are making profits as well. Many times, greed can take over and we will stay in a trade for much longer than we know we should. We think that the market will just keep going up and up and that we will know when to get out before we lose a lot of money. So even when the security is making record profits, we choose to stay in the market and not leave.

The problem with this is that it is often hard to predict when the market is going to turn. And often it does it so fast, that we miss out on the signs that we should be paying attention to. Without the profit target in place, we may hold onto the position so long that we end up making mistakes, miss out on the signs, and then all that profit disappears in no time.

If you start to feel that your emotions are becoming a part of the game, consider taking a break. It is much better to lose a few days of trading to calm yourself down and to ensure that you feel better than to empty out your whole account because you thought you were making sound decisions, and instead you were letting your emotions take control.

Never trade on the margin

There are very few traders who should even consider working on the margin. This may sound enticing and like it is going to bring in a lot of money for you, but in reality, it is just putting your money at risk.

When we are talking about trading on the margin, we are talking about the ability to borrow money from your broker in order to complete the trade. This allows you the ability to trade with more money than you have in your own account and could yield a good deal of profit if you do it right and get a good trade.

If the margin trading works, you will be able to take the money and pay back the broker, along with any of the commissions and fees that you discussed with them before starting. You can then keep the profit, which should be substantial since you were able to borrow some extra money to make it happen.

But what happens when the trade doesn't go the way that you would like? If the trade does go south and you don't make any money on it, then things can be difficult. You will still owe the money to your broker, along with their fees and commissions even though you lost all the money. This can wipe out your account and make it so you have to leave the market.

It is much better to only use the money that you can afford to use at the time. Stick with the money that is already in your account and agree to only spend a certain percentage of it at a time. This may seem like you are going to be missing out on some of the different trades that you want to do, but at least you know that your trades are going to be safe.

Avoid revenge trading

Another thing that you need to pay attention to and be careful with when you are trading is something that is known as revenge trading. Revenge trading is when a trader gets a loss, and then decides they need to earn that loss back as quickly as possible. While it is normal to feel bad after a loss, you need to be careful with how this affects you.

If you let your emotions get in the way, your goal will be to take bigger and bigger risks in order to earn back the losses that you took on one or two trade during the day. Since you are taking on more risks overall, you are going to find that it is almost impossible to actually make any gains in the process. You can keep trying and trying, but when you are dealing with revenge trading, your emotions are so in the way that it is almost impossible to make smart decisions about your trades, and you will just continue to lose more money until your account is empty.

When the emotions start to take over, this means that it is time for you to take a break. After a particularly bad loss, take the rest of the day off from the day trading and go and do something else. You are not going to miss out on that much when it comes to trading, so taking a break, giving your emotions a rest, and just relaxing can-do wonders when you come back to trading later.

Remember those stop points

No matter what kind of security you are working with, you always need to remember to work with some stop points. These are there to protect your investment. The stop loss that is lower is going to make sure you never lose too much money, and the profit target will make sure that you at least get to keep a little bit of profit, even if it isn't necessarily the most that you could have earned on that trade.

The first stop loss that we are going to take a look at is the stop loss to protect your profits. There are a lot of reasons to consider having this kind of stop point in place. But the most important one is that it allows you to protect any capital that you put in and ensures that you won't lose more money than you need to. If the market starts to go down, you will find that the stop point will pull you out of the market, preventing a much bigger loss that could happen along the way.

Picking out the right stop-loss point is sometimes hard to work with. You want to make sure that it is low enough that the market is able to dip a bit without you getting pulled out too soon before a big increase but close enough to your entry point that you won't end up losing too much money in the process. As you learn how to read the charts for a little bit and you understand the market, especially the market for that stock, then you can come up with the right stop point for your trade.

Another place that you should use the stop loss is with the profit target. This is the spot where you can reasonably assume that the stock is going to head at some point during the day. You don't want to pick out the maximum that you think the security will reach. While it may get there, it is going to take some big movements in a short amount of time. The profit target is there to ensure that you at least take home a profit. If your security reaches that point and then goes down, you will exit the market and still get to keep that profit.

Sure, there are going to be times when the market keeps going up and you could make a higher profit on that security. But the point of the profit target

is to ensure that even if the market goes down, you will be able to make a profit in the process, and can then earn money on the trade, rather than taking a loss.

Of course, the entry point is going to be really important in this situation as well. But for the most part, the place that the stock is going and how it is going, and the strategy that you choose to work with, will all help to determine when you are going to enter into the trade. Picking a good entry point, one when you can get the security for a good price, can make a big difference because it allows you to earn a good income when it is time to sell the stock.

Never use more money than you can afford to lose

The risk that you take on any trade needs to be kept down to a minimum. There are many different amounts that you may want to spend, but never risk too much of your capital on any trade or even a day of trading, or you will end up losing too much and having to get out of the game completely.

The first thing that we can look at here is the amount that you put in your account to even get started. This money should be reserved just for day trading activities. It shouldn't be linked back to your personal bank account, and it should never use money that you had reserved for other purposes. Doing this can turn some of your trades into more personal affairs and can make it harder for you to see the results that you want out of the work. Once those emotions get involved, it is hard to keep them in check.

The best thing to do is set aside a special account that is just for the day trading. You can take money out and use some of the profits for other things when you want, but none of the money there should be needed for other things. You can then withdraw this money into your brokerage account any time that you are ready to trade, without any worries.

The next thing that we need to pay attention to is the amount that you are willing to risk on each of the trades that you work with. The amount that you will risk is going to depend on a number of factors, and we will look at position sizing in the next chapter. But most experts recommend that you never risk more than 2 percent of your account value on any trade. And many people choose to risk even less when it comes to their trades to help reduce the risk even more.

When you only risk up to two percent on your trades, you are going to find that you won't really harm your capital, even if one of your trades turns bad and doesn't go the way that you would like. If you are only going to lose, at a maximum, a few hundred dollars on a trade, then you won't get as emotionally involved in the trade, and there won't be any issues with losing too much.

Before you enter into any new trade, take the time to consider how much you are willing to risk on that trade. Pick out a percentage and then stick with it. Don't be enticed by some good-looking stocks or options, don't think about trading on the margin, and don't try out anything strong just because something looks too good to pass up. We are looking at ways to protect your investment and chasing after possible opportunities can really make it hard to keep your money safe.

Pick a good strategy

The first thing that you need to work on when it comes to day trading, and on any investment that you want to use with your money, is that you need to pick out a good strategy that can work well for your needs. There are a lot of different strategies that you can work with. We discussed many of them in this guidebook, and there are a ton of other ones that you can work with as well.

What is really interesting here is that none of the strategies are necessarily better than any other. Some are going to work better in a variety of market conditions. So, some may work better in a volatile market, some will work better in a calm market, and some will work better when the market is going up or going down. Knowing the market conditions, and knowing how each one works based on the market conditions, can make all the difference as well.

The important thing to consider is that you need to pick out a strategy that is good and strong. This ensures that, as long as you follow the strategy the whole time, you will be able to make some money in the process. The worst mistakes that you can make with your strategy is to either not follow it the right way, or you choose to start out with one strategy, and then you decide in the middle of the trade will go with a different strategy than before.

All strategies can do well when you give them the time and attention that they deserve. But if you decide to switch out from one strategy to another one in the middle of the trade, your trade is doomed to fail. Each strategy is going to be a bit different and trying to mix and match them will mean that you make mistakes, and you won't be able to realize any profits in the process.

Work with a broker

As a more advanced trader, it can be tempting to try to do all of the work on your own. The idea of having some lower fees may seem nice and you may wish that you could get in there and see some results in no time with less money being spent. It is understandable why some people in day trading would want to cut out the middle person and see if they were able to work without the broker and make more profits in the process.

However, even as a more advanced trader, you will want to make sure that you are working with a broker in most cases. You may be able to cut back on the amount of help that you need from the broker, and it is possible that you may be able to reduce your reliance on them a little bit from full service to another option. But it is still not recommended that you completely cut them off.

A broker can prove to be a very invaluable tool throughout your day trading process. They can provide you with advice when you are entering a new market or when you have questions. They can help you with a good platform that makes trading easier. And they can provide you with the resources, tools, and charts that make your trading easier. Even as someone who has spent some time in the day trading market and even has made some money along the way, day trading can be the best option to help you to earn a lot of money along the way.

Take some breaks when it is needed

Sometimes, you are going to run into a trade that is bad. You may not have put in the right exit points, or you may have picked the wrong strategy and it didn't work out well for you. This can be hard, especially if you are a new trader and it is one of your first trades.

After this bad trade happens, or if you seem to be making bad trade after bad trade, it is time to take a break. At this point, if you stay in the market, you will let your emotions take over, and you will continue to make bad trading decisions. You may want to make a lot of income from day trading but sticking in the market when your emotions are involved, and after having a bad time with trading, is just going to make things worse.

The break doesn't have to be long. Even a few days to a week can be enough to help you refocus and come back with a fresh look on your trading. It can be hard to take a break. You want to try a new idea, you want to make the money you lost back, and you don't want to give up. But taking a break doesn't mean you have given up. It simply means that you are giving yourself time to think critically the next time you trade.

Managing your risk is one of the most important things that you can do when it comes to day trading. There is already enough risk when it comes to this market, why try to make it any worse than it is? Follow the tips above, and you will be able to grow your day trading business while reducing the amount of risk that you have at the same time.

Chapter 13: Position Sizing for Better Results

The last topic that we are going to explore in this guidebook is known as position sizing. This is a great tool to work with because it helps you to know what you need to do with every trade that you encounter, and it makes it easier for you to reduce the amount of risk that you undertake on each trade. There are a few different rules that you can follow when it comes to position sizing, and we are going to look at a few of the methods that you have at your disposal when it comes to this.

The 2 Percent Rule

This method is all about managing the amount of risk that you will take in each of your trades. Risk management is going to be the science and the art of limiting your losses that may occur on your account for day trading. One of the most important things that you need to remember about risk management is that having the right share size is going to be important as well. You could start out with a great strategy and a good entry and stop loss points, but you are going to still run into a lot of risks if you allow too much position sizing on a single trade.

So, how do you make sure that the share size that you are trading in isn't too big? There are three steps that are recommended when it comes to figuring this out and they include the following.

First, we need to determine the maximum amount of money that you are allowed to risk for each trade. You can definitely make this amount smaller if you want, but we are going to look at the absolute most that you are allowed to spend on each individual trade. For most traders, the maximum that they will allow themselves to lose on a trade is somewhere between 0.25 and 2 percent of the account. The amount they choose is going to depend on how aggressive they are when they are doing trades.

No matter how aggressive you are with your trades though, make sure that you never agree to risk more than two percent of your account on a single trade. You should determine what two percent of your capital is in the morning before you even do any trades. A good place to start is with about one percent, but you have to determine what feels the best for you and the amount of risk that you want.

So, if you have an account that holds \$20,000 in it, and you want to keep your risks to about 1 percent on a single trade, this means that you are allowed to risk no more than \$200 on that trade. Write that number down and stick with it on each trade that you do for the day.

The second step that we need to look at here is estimating the maximum amount of risk that you are allowed to take for each share, the strategy stop-loss, and the dollars, and even cents, from your entry. This information can often come from some of the strategies that we talked about in a previous chapter. Having a good understanding of the risk to reward analysis is going to be important as well.

With every trade that you decide to do, you must go through and define your stop loss level, as well as the risk value that you are willing to take. So, if you are entering into one of the short trades at \$14 and you decide to put your stop loss at \$14.10, this means that for this step, you are using 10 cents per share. Similarly, if you decide to go long on the stock at \$100.50, and you put your stop loss at the break of \$100, your risk is going to be \$.50 cents for each share.

Now that you have done the two steps above, it is time to divide step one and step two to ensure that you are able to find the maximum number of shares that you are allowed to trade each time. You can then figure out the best amount that you are able to spend on each share to ensure that you are really growing your portfolio and that you will see the best results in the process.

Now, it is possible that you could come in with the argument that it is difficult to calculate the share size or the stop loss based on a maximum loss on your account when you are in the middle of jumping into a trade. But the truth is, you must be able to make some decisions fast, or you will end up missing out on some great opportunities along the way. This process can be difficult, but it is important to learn how to do it, and then do it as quickly as possible, to ensure that you can join the market and see the results that you want quickly.

Gambler's Fallacy

Another unique method that you can use when you are trying to see some results with your day trading is known as the Gambler's Fallacy. For this one, you will want to work to reduce your share size if you see that the account is dropping. If you are going through your trades and you have a series of losses, you will notice that the amount in your account is dropping. This means that you need to make sure that your share size is reduced.

However, you will find that this is the exact opposite of how gamblers think, and if you have the mind of a gambler in day trading, you are going to run into some troubles with trading. Gamblers are often going to work to increase their bets when they see they are in a losing streak. This is because they believe, mistakenly, that if something happens a bunch of times in a row in a short amount of time, it must happen less frequently in the future.

Think about roulette players who head to the casino and then bet \$10 on one color, it can be black or red. If they end up losing, they will then bet \$20 on that same color because, in their minds, they assume that now the odds are in their favor and they are more likely to get a win. But if they lose again, they still see things this way and they will bet \$40 on the same color again. And they will keep going with this until they win or lose out of money.

But this way of thinking is going to be completely wrong. Statistically speaking, when you make a trade of some sort and then you lose, it doesn't mean that the probability of your next trade is going to be a winner any more than it did before. You have to realize that each trade is going to be independent of the others, and every time you head to the market, your chances of doing well will be the same, whether it is your first trade or your 100th. The only thing that is really increasing here is your level of psychological pressure and your stress.

The most famous example of this gambler's fallacy occurred in a game of roulette that was played at the Monte Carlo Casino in Monaco on August 1, 1913. During this game, the ball fell on black 26 times in a row. This was a

very uncommon thing to happen, and it is estimated that it had a 1 in 136.8 million chance. Gambler of that game lost millions in francs betting against black, reasoning, in an incorrect fashion, that the losing streak was going to increase their chances of hitting red when the next spin occurred.

There are several schools out there that talk about gambling and how it relates back to day trading. And there are some who think they are similar and some that believe they are different. If you go into the market and you don't have a plan in place to help you succeed, and you assume that you are going to get rich quick, then day trading is probably not the right option for you because it is a lot like gambling. With that said, if you go into the market with a plan and a strategy, and you learn how to manage your risks as much as possible, you can actually earn a pretty good income on this in the process.

Another thing to remember here is that it does take some time when you are first getting started with day trading. You are not going to hit it rich with just a few trades, and this can be hard for some traders to deal with. As you start to advance, you will learn how to read the charts better and can make better guesses and trades overall. But as a beginner or someone who only has time to trade on occasion, you need to be patient and learn the ropes first.

On average, it can take about eight to twelve months before you are really consistent with the number of profits that you can take home from this. This doesn't mean that all of your trades will be failures when you start with day trading and that it will take up to a year before you start to see any wins. If this were true, there would be many more people crying out against day trading. But you will see a lot of negative trades during this time period as you learn more about the strategies and get better at doing the trading overall.

Position sizing can be so important when it comes to working with day trading. Since these trades are moving so quickly, and you have to enter and exit them within a few hours, and no more than the same day, you have to be careful with the amount of money that you are willing to risk as well. If

you are careful about the size of the position that you start, and you manage your risks well, you will be able to see some great results with your day trading endeavors.

Conclusion

Thank you for making it through to the end of *Day Trading Playbook 2019*. Let's hope it was informative and able to provide you with all of the tools you need to achieve your goals whatever they may be.

The next step is to get your strategy started as soon as possible. There are a lot of things that can work well for you when it comes to day trading. There are many strategies, many different markets that work well, and so much more. This guidebook is going to help you to move your skills up to the next level so you can really see the results that you are looking for.

Finally, if you found this book useful in any way, a review is always appreciated!